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**EXECUTIVE
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July 11, 2019

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From: The Secretary

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***At the time of circulation of this paper to the Board, the authorities have indicated that they need more time to consider whether they will consent to the Fund's publication of this paper. Publication will only proceed upon the receipt by the Fund of the member's explicit consent.**



ZAMBIA

STAFF REPORT FOR THE 2019 ARTICLE IV CONSULTATION

July 11, 2019

KEY ISSUES

Context. Zambia's development strategy has targeted a rapid scale-up of public investment to address infrastructure needs. This has resulted in large fiscal deficits, financed by nonconcessional debt and the accumulation of domestic arrears, adversely impacting the private sector. Recent efforts to adjust the fiscal stance have delivered some improvement in revenues, but deficits have continued to rise following faster-than-budgeted execution of foreign-financed capital spending. With the anticipated growth dividend yet to materialize, the debt burden has risen sharply, resulting in currency weakness and rising local borrowing costs that have further pushed up the interest bill. Reserve coverage has fallen to 1.7 months of imports.

Outlook and Risks. The path forward is very narrow. With the outlook already subdued, the drought in the south and west is further weighing on growth, via agriculture and the heavy dependence on hydro power, placing vulnerable groups at risk. While tightening cash constraints are forcing some fiscal adjustment, Zambia's public debt under current policies is on an unsustainable path. Zambia has remained current on debt service obligations, but a significant reorientation of the fiscal policy stance is needed to preserve macroeconomic stability and begin reducing debt-related vulnerabilities. With an end of the drought and progress addressing arrears, growth would accelerate in the medium term. However, risks would remain elevated.

Key Policies. A large, frontloaded, and sustained fiscal effort is needed to bring debt down to safer levels. This should include a moratorium on contracting new external non-concessional borrowing, steps to raise revenues, halt the buildup of domestic expenditure arrears, and to better prioritize public investment projects. Avoiding too harsh a drag on growth or priority social spending is key, and effective responses are needed to the drought. The authorities agreed on the need for action to restore stability and reduce debt accumulation. Decisive steps forward to build confidence and deliver meaningful fiscal adjustment will be essential. Appropriately tight monetary policy also has a role to play in securing stability. Reserves should be replenished over the medium term. Steady attention to the business environment is also needed to support private investment going forward.

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Approved By
David Robinson (AFR)
and Martin Sommer
(SPR)

Discussions were held in Lusaka from April 16–30. The staff team comprised Ms. Goodman (head and SPR), Messrs. Kalonji, Gupta, Pondi Endengle (all AFR), and Li (SPR). Mr. Robinson (Deputy Director, AFR) joined the mission’s concluding policy discussions. Mr. Mwansa (Economist, Office of the Resident Representative) assisted the mission. Ms. Mannathoko (Alternative Executive Director) and Mr. Sitima-wina (both OED) participated in policy discussions. Staff met Minister of Finance Margaret Mwanakatwe, Bank of Zambia (BoZ) Governor Denny Kalyalya, other senior government and BoZ officials, members of parliament, senior officials of selected parastatals, as well as representatives of the private sector, labor unions, civil society organizations, and Zambia’s development partners. Bakar Ould Abdallah, Krisztina Fabo, Cleary Haines and Sandrine Ourigou (all AFR) assisted from headquarters.

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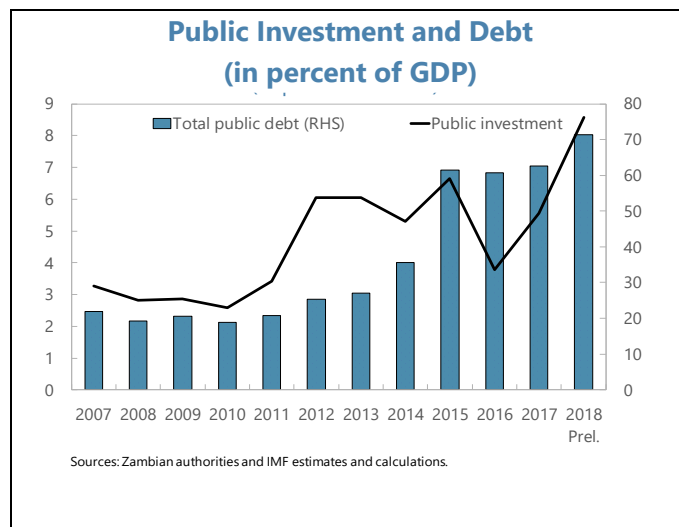
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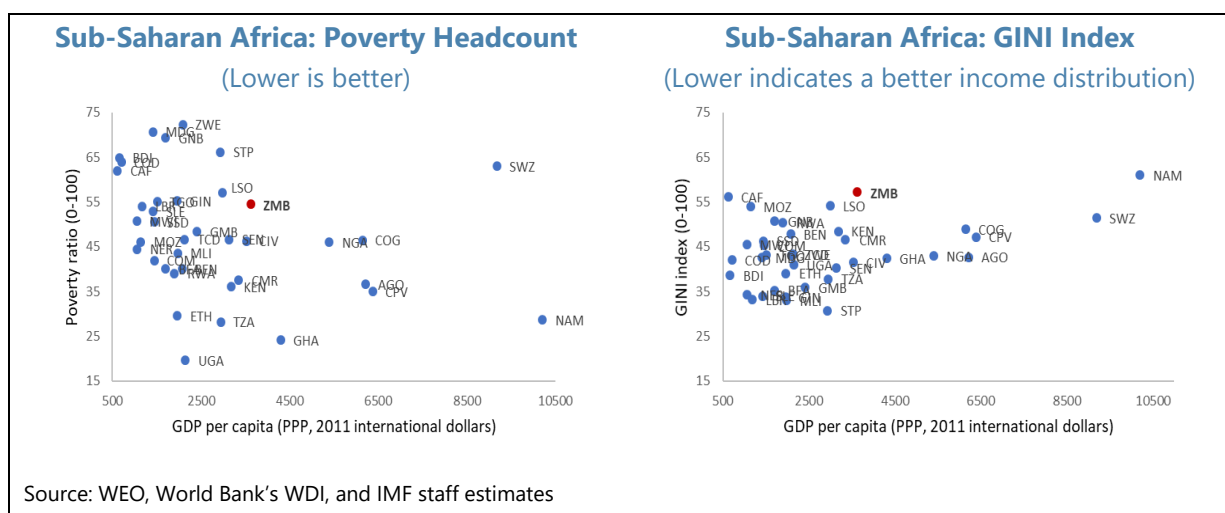
CONTEXT

1. **Zambia is facing slowing growth and acute vulnerabilities.** The growth slowdown seen since 2011 reflects a protracted fall in copper prices and severe droughts in 2015/2016 and 2018/2019 that constrained hydropower electricity generation and lowered agriculture output. An expansionary fiscal stance financed by nonconcessional borrowing and domestic expenditure arrears has resulted in a rapid increase in debt and negative spillovers to the private sector. Reflecting these vulnerabilities, Eurobond spreads rose to 1,575 in early June.



2. **Presidential elections are due in 2021.** The Patriotic Front Party came into office in 2011, retaining office in the 2016 elections, and has pursued the development strategy elaborated in Zambia's Vision 2030 long-term development plan and the Seventh National Development Plan (7NDP). This is centered on a significant ramping up of infrastructure spending, notably to extend the road network on which Zambia—a landlocked country—significantly relies.

3. **Poverty and inequality are among the highest in SSA.** The poverty rate has risen since the early 2000s, though it declined somewhat during 2010–15, while the GINI coefficient also has risen. Unemployment stood at 12.5 percent at the end of 2018. In addition, Zambia currently hosts over 70,000 refugees from neighboring countries, adding pressure on government resources.



4. **Implementation of past IMF policy advice has been limited** (Annex I).¹ Staff recommendations to rein in the fiscal deficit and reduce debt vulnerabilities were not implemented. Structural reforms in public financial management and public investment were delayed. Approval of the Public Finance Management Act in 2018 should help strengthen budget execution. However, accompanying legislation needed to support implementation, promote transparency, and introduce fiscal risk management remains pending (e.g. the Planning & Budgeting Act and the Loans and Guarantees Act). Fuel subsidies were eliminated in 2017, and price adjustments continue to be made, while electricity tariffs were adjusted to start the process of cost recovery. In addition, the Bank of Zambia (BoZ) has made good progress in strengthening the monetary policy framework and reforming the regulatory, supervision, and crisis frameworks, though enforcement has lagged.

RECENT ECONOMIC DEVELOPMENTS

5. **Economic activity has remained subdued even as public investment increased.** In 2018, growth ticked up to 3.7 percent from 3.5 percent in 2017, driven by a modest expansion in telecommunications, financial and insurance activities, wholesale and retail trade, and mining. With a drought in the southern and western parts of the country, agriculture's contribution was negative. (Box 1). The growth impact from the significant ramping up of public investment has been muted by the low efficiency and high import content of public investment and a continuing build-up of public sector expenditure arrears that has hampered private sector activity.

6. **Inflation rose in 2018, reflecting price increases in food and fuel and the large exchange rate depreciation.** The kwacha depreciated by 20 percent last year, mostly in September, reflecting a weakening of Zambia's economic fundamentals and downgrades by all major international rating agencies amid broader EM pressures. Year-on-year inflation hovered around the upper end of the BOZ's target band (6-8 percent) in late 2018, rising to 8.1 percent in May 2019 due to increasing food prices and renewed exchange rate pressures. In light of rising inflationary pressures, the Monetary Policy Committee (MPC) increased the policy rate by 50 basis points to 10.25 percent at its May meeting.

7. **Revenues performed strongly in 2018, but the deficit rose to above 10½ percent of GDP reflecting a further increase in public investment and a rising interest bill.** Despite the rationalization of public investment announced in June 2018 through a moratorium on projects less than 80 percent completed, foreign-financed capital expenditure for the year exceeded budget targets by 3½ percentage points of GDP. Interest payments reached almost 20 percent of total spending. A combination of tighter domestic debt markets and structural weaknesses in expenditure controls led to an accumulation of about 1½ percent of GDP in domestic arrears. In addition, almost a percent of GDP in audited but unpaid VAT refund claims accumulated. The cash deficit widened slightly to 8.3 percent of GDP from 7.7 percent in 2017.

¹ The Executive Board completed the last Article IV consultation in October 2017.

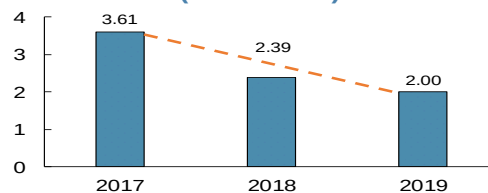
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Box 1. Impact of Drought and Other Climate-Related Shocks

Climate-related shocks are impacting the current growing season (October 2018–April 2019) and hydroelectricity generation.

The drought hitting southern Africa is impacting southern and western Zambia, while flash floods have occurred in the north. Agricultural activity contracted by 21 percent in 2018, and the most recent Crop Forecast Survey projects a 16 percent drop in agricultural production for this growing season. With drought affecting Lusaka and Central provinces, which account for about one-third of the national maize output, production of the country's principal food staple in 2019 is estimated to be roughly 55 percent of 2017 levels. The power deficit is projected to average roughly 13 percent of Q2–Q4 average load, and ZESCO, the national utility, began implementing four hours of daily load-shedding in early June. A limited regional supply of electricity for import and ZESCO's financial weakness may complicate the response to this shock.

**Estimated Maize Production
(million MT)**



Source: CSO.

The rural population is particularly at risk. The vast majority of the rural population depends on agriculture, which directly or indirectly represents more than 50 percent of total employment while contributing under 10 percent of GDP. It is dominated by small and medium scale farms that heavily rely on rainfall as irrigation systems are still lacking. Zambia's high levels of rural poverty (77 percent) amplify the impact of such shocks. The World Food Program estimates as many as 1.3 million people may require humanitarian assistance between July 2019 and February 2020 due to reduced incomes and higher food prices, with food security hotspots already emerging in drought-affected districts.

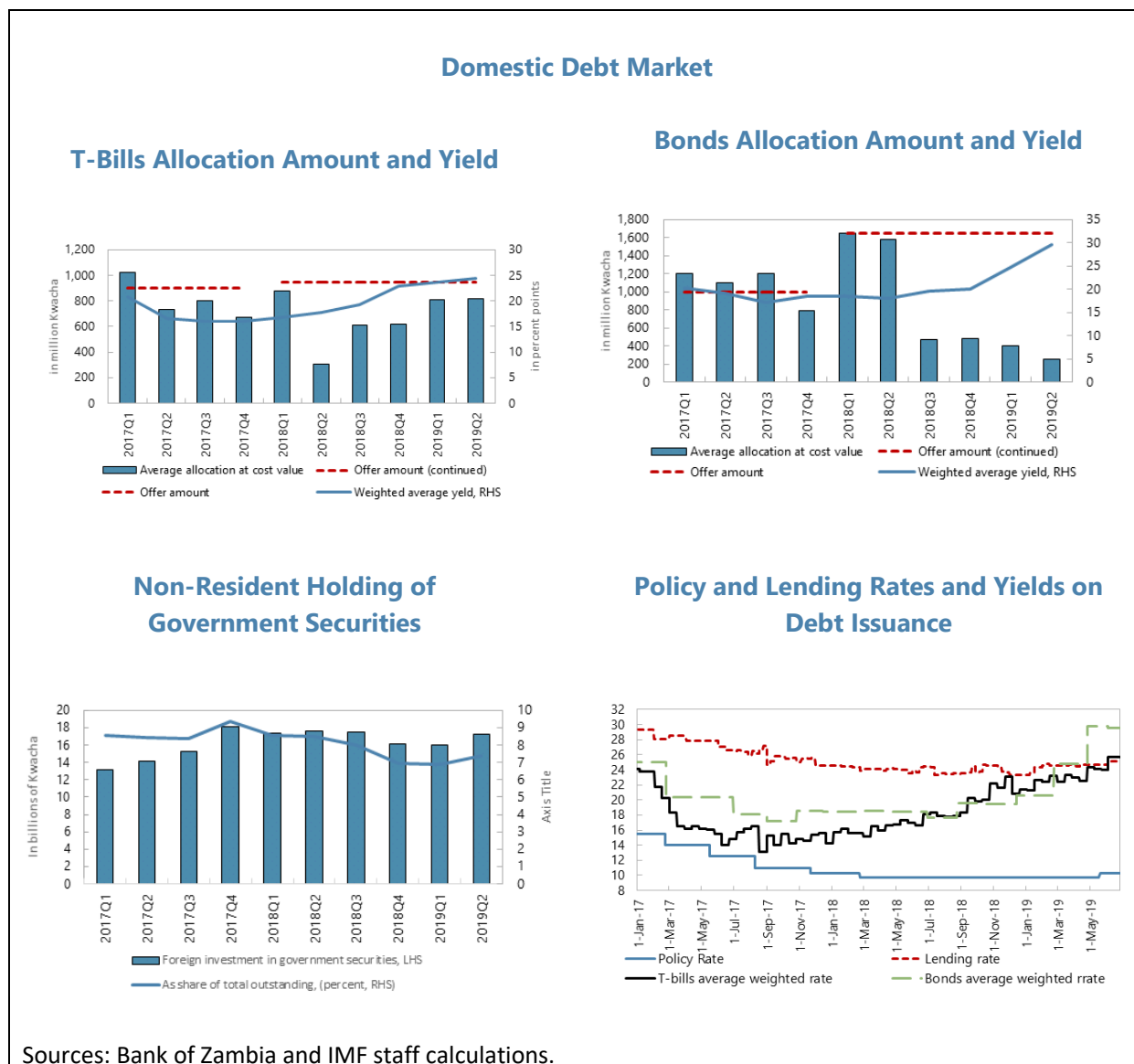
The government's short-term response is centered on the Food Reserve Agency (FRA), while maize exports have been banned. The FRA manages a national food reserve, buying and selling maize to ensure food security in times of shortages, reduce the volatility of grain prices, and provide liquidity in the market. The authorities expect current maize stocks to be adequate to ensure food security in 2019. Past experience indicates inefficiencies associated with FRA's involvement in the market and that its price stabilizing policies disproportionately benefit the relatively better-off in procurement and sales operations.¹ Looking forward, the authorities see increasing larger scale agricultural production in the northern part of the country as a way to improve food security.

Steps are underway to improve Zambia's resilience to weather-related shocks and food security, supported by development partners. Zambia experienced 3 droughts and 12 floods since 2000. Average annual temperatures have also increased by 1.3 degrees since 1960. The government response has focused on subsidy programs, with the result that Zambia has become an overall surplus producer for maize. Increasing agricultural productivity will require increased investment in irrigation systems (supported by the World Bank), the adoption of new technologies, and enhancing farmers' education and market information. In 2017, the AfDB launched a climate-resilient livestock management project to improve smallholder livestock production and productivity, create market linkages, and increase household income.

¹ See World Bank, Zambia Economic Brief, Volume 9, June 2017.

Contributors: World Bank Poverty and Equity Global Practice and IMF staff.

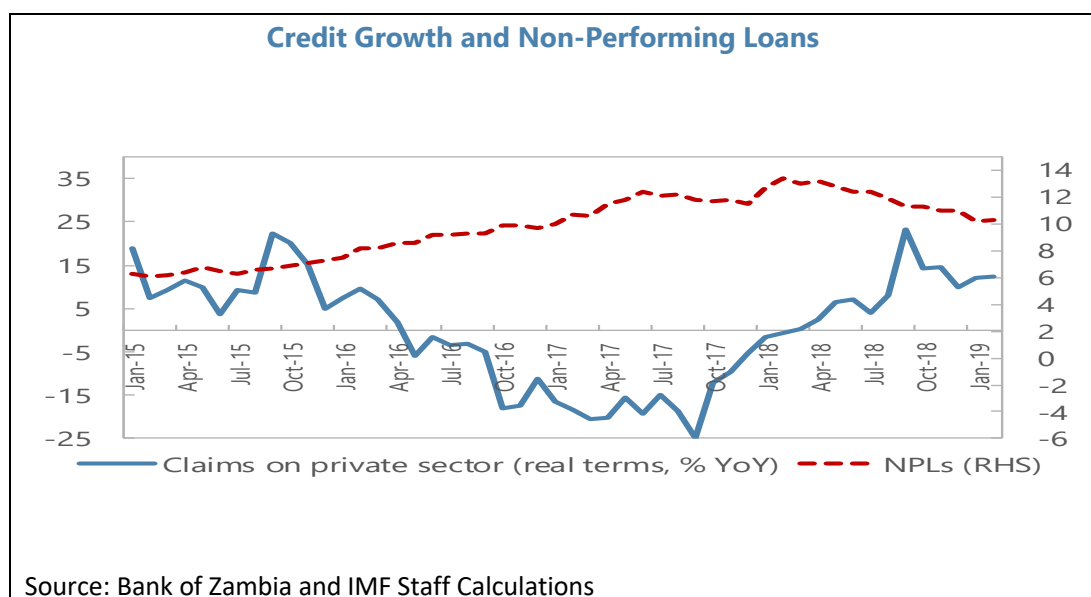
8. **Domestic markets have tightened, but non-resident investors have maintained their exposure.** Starting in mid-2018, treasury securities auctions were regularly undersubscribed. With yields rising sharply and reaching around 20 percent on T-bills and government bonds in September, the government did not roll over the full amount of maturing treasury bills in 2018, repaying 1.9 billion Kwacha (0.6 percent of GDP) on a net basis. Government bonds auctions were also undersubscribed but were complemented with private placements of around 4.2 billion Kwacha.² While foreign investors have not been active participants in primary auctions since mid-2018, they have broadly maintained their exposure and recently increased their activity in the secondary market.



² Around 2 billion Kwacha was raised from NAPSA and the remaining amount from commercial banks.

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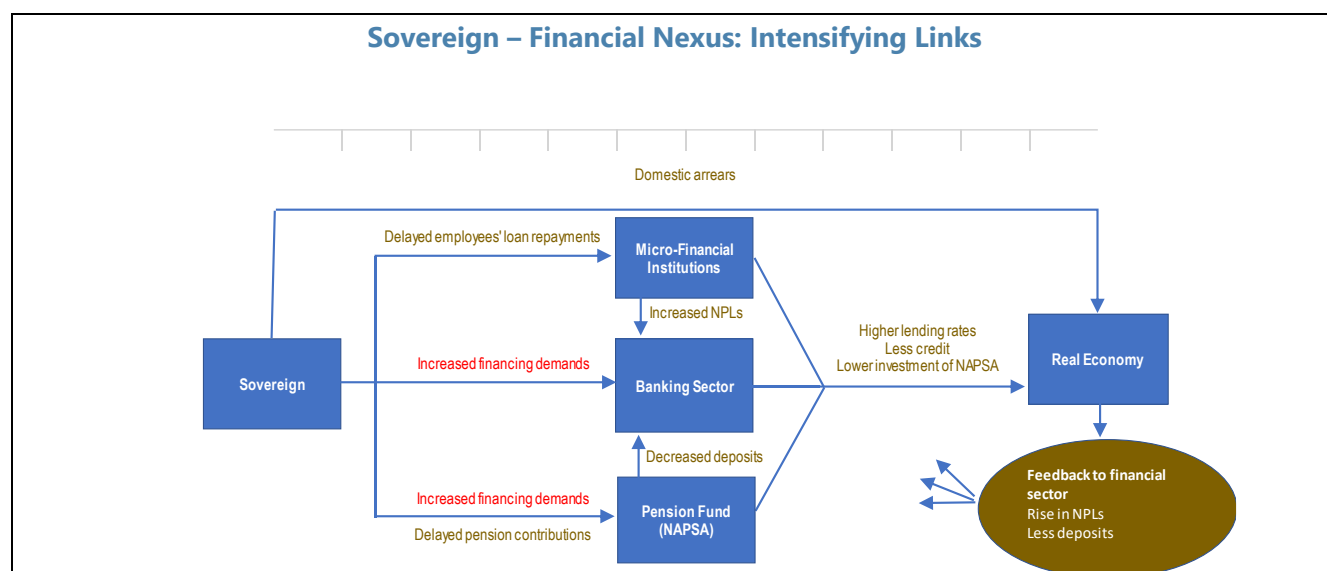
9. **Lending rates have remained elevated.** From early 2017 to March 2018, the monetary policy rate and the statutory reserve ratio (SRR) were progressively lowered by a cumulative 450 bps and 1000 bps respectively prior to the recent policy rate increase. Despite this significant easing, lending rates remained high as commercial banks benchmarked their lending rates on rising government yields. As during the 2015-16 crisis, many commercial banks have sought to maintain high liquidity, enhancing their resilience to growing macroeconomic vulnerabilities (Table 7).



10. **Stresses from the sovereign-financial nexus have increased** (Annex IV). High levels of domestic arrears³ are exerting pressure on private sector creditworthiness, slowing the decline in NPLs and holding back credit growth⁴ and private sector-led economic activity. Recent delays in remitting pension contributions and payroll-based deductions for civil servants' loan repayments could increase liquidity pressures in the financial system and boost NPLs at micro-financial institutions (MFIs), which provide large share of loans to individuals and play a vital role in financial inclusion.

³ The stock of domestic expenditure arrears was K15.6 billion (5½ percent of GDP) at end-2018.

⁴ The September 2018 increase in credit to the private sector reflects exchange rate depreciation and the high share of foreign currency denominated loans in total loans (around 40 percent at end-2018). Credit in domestic currency increased by 3 percent in real terms.



11. **Public sector indebtedness has continued to increase, with the stock of public and publicly guaranteed (PPG) debt reaching 78 percent of GDP at end 2018 from 65½ percent in 2017, two-thirds of which is held by foreign creditors.**⁵

External debt increased from \$9.5 billion (38 percent of GDP) in 2017 to \$11.3 billion (48 percent of GDP) in 2018, reflecting project disbursements and the depreciation in late 2018. External PPG debt service increased from \$0.5 billion in 2017 to \$0.9 billion in 2018 (21¾ percent of government revenues) as grace periods on several project loans ended.

Text Table 1. Zambia: Stock of Public and Publicly Guaranteed Debt (2013-18) (billions of U.S. dollars)

	2013	2014	2015	2016	2017	2018
Total public debt	7.4	9.4	10.4	13.2	16.3	18.3
External public debt	3.8	5.4	7.3	8.0	9.5	11.3
Multi/pluri-laterals	1.5	1.5	1.5	1.6	1.7	1.9
o.w. IMF	0.4	0.3	0.3	0.2	0.1	0.1
Bilaterals	1.2	1.5	2.0	2.4	2.7	3.0
Paris Club	0.1	0.2	0.2	0.2	0.1	0.1
Non-Paris Club	1.1	1.4	1.8	2.2	2.6	2.9
Commercial	0.8	1.8	3.2	3.2	4.3	5.1
Guarantees	0.3	0.6	0.7	0.8	0.7	1.2
Domestic public debt	3.6	4.0	3.1	5.3	6.8	7.0
Treasury bills	1.6	1.5	0.9	1.0	2.0	1.5
Treasury bonds	1.6	1.6	0.9	1.4	2.8	3.3
Others (incl. supplier arrears)	0.4	1.0	1.2	2.8	1.9	2.1
Memo: foreign-held LC debt 1/	0.3	0.4	0.2	0.6	0.9	0.7
Memo: total public debt to GDP (%)	27.1	36.1	62.3	60.7	65.5	78.1

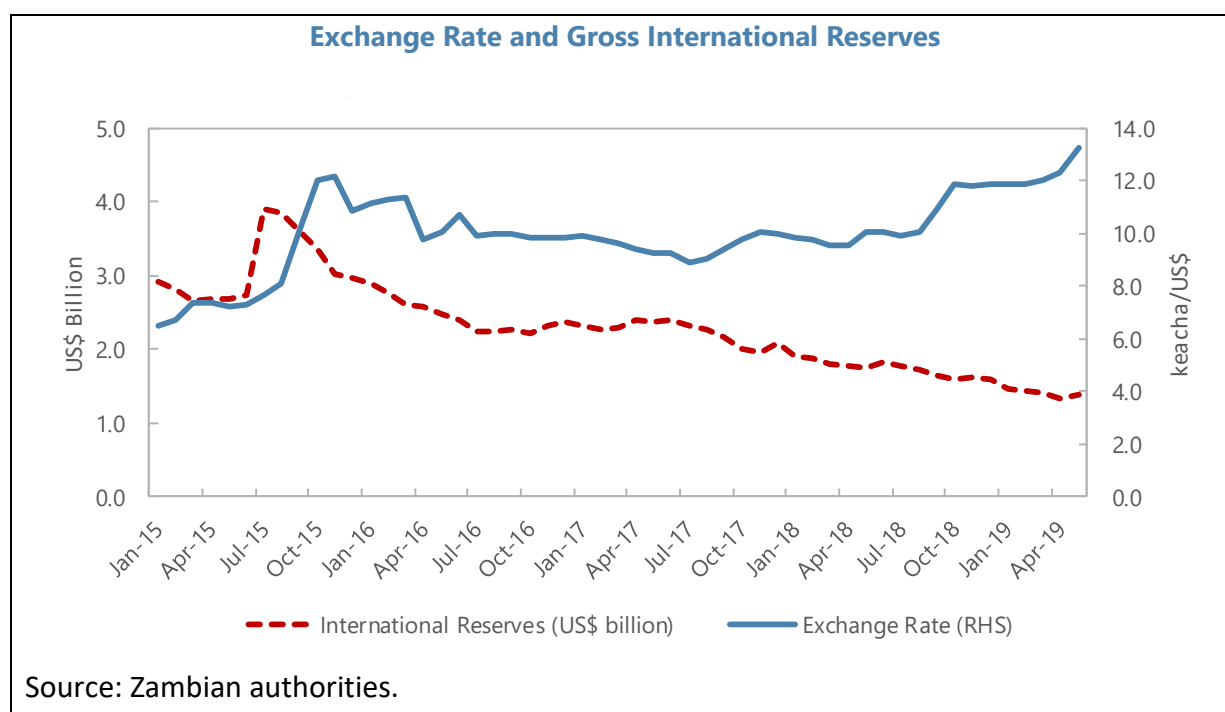
1/ Included under domestic debt in this text table but considered external debt in the DSA, which is conducted on a residency basis.

Source: Zambian authorities.

12. **Zambia's external position weakened in 2018.** The current account deficit widened modestly to 2.6 percent of GDP owing to higher imports and interest payments, despite a recovery in copper exports on higher prices. FDI contracted as foreign firms repatriated earnings and new investment remained subdued against the uncertain outlook. Foreign portfolio investors, who earlier had been increasing their participation in domestic primary debt markets, broadly maintained their exposures while local commercial banks continued to maintain dollar liquidity overseas. These

⁵ The PPG debt stock includes outstanding central government direct and guaranteed debt (including budget expenditure arrears), consistent with the authorities' official debt coverage. The Debt Sustainability Analysis (DSA) uses a broader debt coverage which includes nonguaranteed external debt of ZESCO (see accompanying DSA for more details) and totaled 80¾ percent of GDP at end-2018.

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imbalances in trade and financial flows led to a sharp decline in FX reserves—from 2.4 months of import cover in 2017 to 1.9 months in 2018. Rapidly rising public sector external indebtedness has led to a deteriorating international investment position, putting pressure on the exchange rate. Considering the challenges to external sector sustainability, staff assesses the external position to be moderately weaker than fundamentals and desirable policies, although the CA and REER EBA models do not provide clear evidence of misalignment (Annex II).

OUTLOOK AND RISKS

The medium-term outlook is clouded by substantial debt vulnerabilities. The drought and subdued mining sector activity are negatively impacting growth in 2019. With financing constrained and debt service increasing, a forced fiscal adjustment is under way.

13. **Growth is expected to slow markedly in 2019 and remain subdued going forward absent a large up-front fiscal adjustment.** Growth in 2019 is expected to drop to 2.0 percent as agriculture and electricity production continues to suffer from weather-related shocks, domestic demand remains weak, and mining activity declines somewhat due to lower international copper prices and in response to changes in the mining tax regime and a planned shift from VAT to a nonrefundable sales tax (See discussion of mining sector issues, Annex V). While a rebound in agriculture and a moderate recovery in mining activity is projected for 2020, growth is projected to decline next year and over the medium term as financing constraints force continued disorderly cuts in public expenditures. Liquidity constraints and depreciation pressures would lead to a contraction of both manufacturing and import-dependent services, notably wholesale and retail trade (which account for 20 percent of GDP), pushing growth down to 1.5 percent by 2023. Absent an effective policy adjustment strategy, inflation would remain above the BoZ's upper band in 2019 and 2020 due to the pass-through of exchange rate depreciation in addition to the impacts of the drought.

14. **External imbalances are projected to widen, adding to pressure on reserves.** The current account deficit is expected to widen in 2019 on lower copper exports (with lower prices and production) and the higher imports and interest payments associated with public investment. FDI and other financial account inflows are expected to remain subdued. International reserves under the baseline are projected to decline to 1.6 months of imports by end-2019 and to around 1 month of imports by 2021, leaving little buffer to cushion external shocks or for redemption of the 2022 Eurobond. Additional risks are posed by foreign holdings of local-currency debt (currently at about \$0.7 billion, or half of FX reserves).

15. **Risks to the outlook are tilted to the downside** (Annex 3). The impact on rural households in regions impacted by the drought could be more severe than anticipated, presenting challenges for an effective policy response. Low water levels could further restrict electricity generation and negatively impact growth prospects, while drought-related price shocks could further pressure inflation. Delayed policy adjustment could exacerbate the erosion of consumer and investor confidence and result in large capital outflows, exchange rate depreciation and further tightening of domestic financial conditions. A weaker kwacha would increase the debt service burden, further crowding out priority social spending. Tightened global financing conditions would further complicate rollover of the 2022 Eurobond. Escalating trade tensions and a slowdown in growth in China could adversely impact copper prices, while the modest recovery anticipated in mining activity in 2020 after a decline in 2019 is subject to uncertainty.

Authorities' views

The authorities broadly agreed with staff's near-term growth and inflation outlook, notably the impact of the drought on 2019 outcomes. Over the longer term they expected a larger growth pay-off from recent public investments that they consider have significantly increased the country's growth potential. They also emphasized the large investment needs to close the infrastructure gap, especially in the rural areas where fast population growth has led to increasing demand for social, health, education, and transportation infrastructure. They noted that the government will put in place measures to offset the impact of the drought by tapping the strategic maize reserve stocks and providing support to farmers. The decision to begin load shedding was a proactive response to the drought.

POLICY DISCUSSIONS

Discussions focused on reducing debt-related vulnerabilities and preserving macroeconomic stability while implementing structural reforms to achieve higher and more inclusive growth.

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A. Reducing Debt-related Vulnerabilities

16. **Under current policies, public debt is on an unsustainable path** (see accompanying DSA). Total public debt is projected to increase from 78 percent of GDP in 2018 to 91½ percent of GDP in 2019 as the large stock of undisbursed project loans (roughly 40 percent of GDP) continues to disburse. The debt service burden is also expected to rise above 30 percent of government revenues in 2019. While the DSA baseline is characterized by large and protracted breaches of both solvency and liquidity indicators, the authorities have committed to remain current on their debt obligations and there are no arrears on either external or domestic debt.⁶ The risk of debt distress has increased substantially since the last DSA (October 2017) and is currently assessed to be at a very high level.

17. **Under an alternate scenario, a large upfront and sustained fiscal adjustment can begin reducing debt-related vulnerabilities and build credibility** (Text Table 2). Orderly adjustment anchored on frontloaded revenue mobilization, a moratorium on new external nonconcessional borrowing and guarantees, and scaled-back capital spending would put debt on a downward trajectory to about 60 percent of GDP by end-2029, enabling the government to meet its obligations in a timely manner while also allowing adequate resources to be allocated to priority social spending and arrears repayment. While the adjustment would have a

drag on growth in the near-term, fiscal multipliers are estimated to be low based on the limited impact on growth of the recent sharp increases in government spending. Halting accumulation of expenditure arrears should improve domestic liquidity, and with a buildup of credibility financing conditions should ease. Growth would pick up starting in 2020. Strong and sustained implementation of fiscal adjustment would also boost market confidence and capital inflows, leading to a buildup of

Text Table 2. Zambia: Selected Economic Indicators, 2016–23

	2016	2017	2018 Prel. est.	Baseline					Adjustment				
				2019	2020	2021	2022	2023	2019	2020	2021	2022	2023
Real GDP growth (%)	3.8	3.5	3.7	2.0	1.7	1.7	1.6	1.5	1.6	1.9	2.1	2.4	2.8
Inflation (y-o-y, %, end-period)	7.5	6.1	7.9	12.0	8.0	8.0	8.0	8.0	9.5	7.5	7.0	7.0	7.0
Overall balance (cash basis, % of GDP)	-6.1	-7.7	-8.3	-4.8	-5.1	-3.4	-3.1	-2.9	-4.3	-4.0	-3.4	-3.0	-2.7
Overall balance (commitment) ¹	-9.0	-7.0	-10.7	-9.0	-5.6	-4.0	-3.1	-2.9	-6.3	-3.4	-2.9	-2.5	-2.3
External current account balance (% of GDP)	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-3.7	-3.2	-2.4	-2.0	-1.8
Gross international reserves													
US\$ billions	2.4	2.1	1.6	1.3	1.0	0.8	0.5	0.5	1.6	1.8	2.0	2.1	2.3
Months of prospective imports	3.3	2.4	1.9	1.6	1.3	0.9	0.6	0.6	2.0	2.1	2.4	2.4	2.5
Public debt ²	60.7	65.5	78.1	91.6	95.5	98.0	97.6	96.7	84.6	85.0	84.4	81.6	78.4
External ²	36.6	38.2	48.1	59.9	65.6	69.5	70.8	71.5	52.2	52.7	52.3	50.5	49.1
Copper price (US\$/tonne)	4,868	6,170	6,530	6,058	5,991	6,045	6,090	6,123	6,058	5,991	6,045	6,090	6,123
Oil price (US\$/barrel)	43	53	68	66	64	61	59	58	66	64	61	59	58

Sources: Zambian authorities; and IMF staff estimates and projections.

¹ Adjusted for the accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment projects, and pensions.² Includes public and publicly guaranteed external debt.

⁶ The Zambian authorities are in the process of clearing some *de minimis* arrears recently reported to the Paris Club by Belgium. There is an ongoing internal reconciliation exercise to prevent this from reoccurring. The authorities' records do not confirm *de minimis* sovereign arrears reported by France and the U.K., but they are reaching out to the respective creditors to clarify. In addition, some pre-HIPC arrears to Iraq still exist but an agreement in principle has been reached and is currently pending finalization.

reserves to about 2½ months of imports by 2023.⁷ Even in this adjustment scenario, downside risks would remain very high and additional efforts could be needed.

18. **The 2019 budget envisions the first step in such an adjustment, but binding financing constraints are forcing a sharper disorderly adjustment** (Text Table 3). The 2019 budget aimed to reduce the deficit to 6½ percent of GDP (commitment basis) by increasing revenues and cutting current and capital expenditures. While revenue overperformance continued during the first quarter, higher interest costs coupled with negative net domestic financing more than offset it. To bring cash spending closer in line with available financing, expenditure is being scaled back, including on social programs and transfers to local governments. Arrears to suppliers are rising, with delays also seen in remitting some public employees' loan payment and pension contributions.⁸ Financing constraints are expected to hold the cash deficit to 4¾ percent of GDP, but with weak expenditure controls, arrears will continue accumulating, and the deficit on a commitment basis would reach close to 9 percent of GDP.

**Text Table 3. Zambia: Summary of Budgetary
Central Government Operations, 2018–19**
(in percent of GDP)

	2018 Est.	2019 Budget	IMF
Revenue	19.1	19.3	19.4
Tax	15.8	15.5	15.7
Other revenue, including mineral royalties	3.1	3.1	3.5
Grants	0.2	0.6	0.2
Expenditure	27.4	25.7	24.2
Compensation of employees	7.8	8.4	7.7
Use of goods and services	2.8	2.2	1.6
Interest	4.6	4.7	4.9
Other current spending	3.5	3.6	2.6
Net acquisition of nonfinancial assets	8.6	6.8	7.3
<i>Of which: externally financed</i>	6.6	5.6	6.8
Net lending/borrowing (overall balance, cash basis)	-8.3	-6.5	-4.8
Arrears and VAT refund backlog (- payments)	2.5	0.0	4.3
Net lending/borrowing (overall balance, commitment basis)	-10.7	-6.5	-9.0
Financing (Identified)	8.3	3.9	4.8
Domestic	3.3	1.2	0.9
Foreign	4.9	2.7	3.9
Financing gap	0.0	2.6	0.0

Sources: Zambian authorities and staff estimates.

⁷ This assumes no additional IFI support, which could be potentially triggered by a credible consolidation plan and help replenish reserves to a more adequate level.

⁸ In April, the outstanding amount due to NAPSA totaled 1.1 billion Kwacha (450 million in delayed contributions and 650 million in penalties).

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19. **The 2019 budget announced the replacement of the VAT with a sales tax in line with the authorities' goal of increasing revenues.** While VAT receipts have been strong in recent years, the authorities feel the level of refunds has held back its performance and have had difficulty staying current on VAT refunds.⁹ A dual-rate sales tax has been proposed (9 percent on domestic goods and 16 percent on imports in line with the current VAT rate). It is envisaged as a hybrid between a VAT and sales tax, levied at every stage of production, with exemptions for production inputs (e.g. capital goods) and no scope to claim refunds. The authorities estimate significant windfalls of up to 2 percent of GDP annually from introducing the sales tax. While initially proposed to come into effect on April 1, the introduction has been delayed to allow for consultations with taxpayer groups on key provisions. Staff noted that VAT has performed increasingly well in recent years and urged the authorities to carefully consider the pros and cons of moving away from VAT to a sales tax, including creation of distortions due to cascading, complexity, and the scope for discretion in application of the tax through granting of exemptions and preferences. Staff also urged that, in the event the transition was made, the granting of exemptions and preferences be contained or estimated yields could be substantially reduced.

20. **Staff proposed a more determined upfront fiscal consolidation that would be large enough to create the necessary space to continue to service debt and cover wages and priority social expenditure.** This would mean a fiscal deficit on a commitment basis of about 6.3 percent of GDP in 2019 from 10.7 percent of GDP in 2018. Fiscal consolidation should continue in 2020 to bring the deficit to 3.4 percent of GDP. Achieving such a reduction in the deficit would hinge critically on the authorities' ability to rein back capital spending to recent levels of below 5 percent of GDP while improving the efficiency of spending to limit the negative impact on growth. Key elements would include:

- Ending uncertainty about the tax regime and raising tax revenues to 16 percent of GDP in 2020 by broadening the tax base, reducing tax expenditures and exemptions, strengthening compliance, simplifying the tax system, and enhancing tax audit capacity.
- Introducing a moratorium on new non-concessional external borrowing and guarantees.
- Significantly lowering public investment spending, carefully prioritizing ongoing projects, and ensuring only high-return projects are implemented.

Text Table 4. Zambia: Composition of Recommended Fiscal Adjustment
(Percent of GDP)

	2018	2019 Adjustment Scenario	Savings
Contribution of revenue			
Total domestic revenue	18.9	19.5	0.6
Grants	0.2	0.2	0.0
Contribution of expenditures			
Current spending	18.8	19.0	-0.2
Capital spending	8.6	5.1	3.5
o/w domestically financed	2.0	1.0	1.0
externally financed	6.6	4.1	2.5
Clearance of arrears			
Domestic payment arrears	1.7	1.7	0.0
VAT refunds backlog	0.8	0.3	0.5
Total			4.4

Sources: Zambian authorities and IMF staff estimates.

⁹ The stock of verified VAT claims to be refunded has grown recently and stood at 4 billion Kwachas (1½ percent of GDP) at end-2018. In addition, there is a large stock of unverified claims which the authorities are in the process of auditing with the help of an international consulting firm. Once the stock of outstanding VAT refund claims is verified, the Zambian Revenue Authority expects they would be at least partially offset by overdue tax obligations and the remainder cleared within a year.

- Ensuring adequate space for priority social spending, including on goods and services.
- Halting the accumulation of domestic arrears and gradually clearing the existing stock.
- Restricting new recruitments to essential personnel (health, education and police) and continuing efforts to identify ghost workers.
- Updating the Medium-Term Expenditure Framework (MTEF) to clearly align with a strategy to reduce fiscal imbalances.

Text Table 5. Zambia: Fiscal Operations of the Budgetary Central Government 2016–24)
(Percent of GDP)

	2016	2017	2018		2019	Baseline						Adjustment					
			Budget	Prel. est.	Budget	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
Revenue	18.2	17.5	18.6	19.1	19.3	19.4	19.7	19.8	19.8	19.7	19.7	19.7	20.0	20.2	20.6	20.7	20.7
Expenditure	23.9	25.0	24.1	27.4	25.7	24.2	24.8	23.3	22.9	22.6	22.4	24.1	24.0	23.6	23.6	23.5	23.3
Current	20.2	19.4	18.9	18.8	18.9	16.8	16.4	16.4	16.4	16.5	16.3	19.0	19.1	18.8	18.9	18.8	18.5
Capital	3.8	5.5	5.1	8.6	6.8	7.3	8.4	6.9	6.5	6.1	6.1	5.1	4.9	4.8	4.8	4.7	4.9
Deficit (cash basis)	-6.1	-7.7	-6.1	-8.3	-6.5	-4.8	-5.1	-3.4	-3.1	-2.9	-2.6	-4.3	-4.0	-3.4	-3.0	-2.7	-2.6
Primary balance (cash basis)	-2.7	-3.7	-2.2	-3.6	-1.7	0.2	0.1	1.9	2.4	2.9	3.2	0.0	0.7	1.2	1.4	1.6	1.4
Domestic arrear (flows)	3.4	-0.1	-0.5	1.7	0.0	3.9	0.5	0.6	0.0	0.0	0.0	1.7	-0.6	-0.5	-0.5	-0.4	-0.4
Backlog of VAT refunds (flows)	-0.5	-0.6	0.0	0.8	0.0	0.4	0.0	0.0	0.0	0.0	0.0	0.3	0.0	0.0	0.0	0.0	0.0
Overall balance, (commitment) ¹	-9.0	-7.0	-5.6	-10.7	-6.5	-9.0	-5.6	-4.0	-3.1	-2.9	-2.6	-6.3	-3.4	-2.9	-2.5	-2.3	-2.2
Primary balance (commitment) ¹	-5.5	-3.0	-1.7	-6.1	-1.7	-4.1	-0.4	1.3	2.4	2.9	3.2	-2.0	1.3	1.7	1.9	2.1	1.8
Total public debt ²	60.7	65.5	...	78.1	...	91.6	95.5	98.0	97.6	96.7	95.1	84.6	85.0	84.4	81.6	78.4	74.8

Sources: Zambian authorities; and IMF staff estimates and projections.

¹ Adjusted for the accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment projects, and pensions.

² Includes publicly and publicly guaranteed debt.

21. **Following a Cabinet meeting in May, the authorities announced a series of measures to contain and better control spending.** These included indefinitely postponing contraction of new non-concessional loans; cancelling some committed but undisbursed loans; and increasing control and management of disbursements on foreign-financed loans.

Authorities' Views

The authorities agreed on the importance of a large front-loaded fiscal adjustment to bring debt back to a more sustainable path. They acknowledged the need for timely action to control debt accumulation and stop arrears buildup, emphasizing the importance of Cabinet-level decisions in this regard. The authorities recently announced the halting of disbursement of newly-signed (2018) loan agreements. Separately, they noted there could be challenges including on the legal front to pausing ongoing project execution and related disbursements, which would be done in accordance with contract provisions. They highlighted the importance of effective coordination, noting the close communication across ministries and with key external lenders. They emphasized the challenges posed by the large VAT refunds to the mining sector and anticipated that revenue generation will be helped by the introduction of the sales tax. The authorities viewed the new tax as simpler to

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administer while avoiding the issue of refunds, and noted that similar systems were in place in several other countries.

B. Strengthening PFM to Anchor Fiscal Sustainability

22. **The enactment of the Public Finance Management Act in April 2018 is an important step toward strengthening management of public resources.** If effectively implemented, this would enhance commitment control and improve predictability of budget allocations, reducing the incidence of domestic arrears.¹⁰ Staff recommended:

- moving to early quarterly budget releases so ministries and departments do not issue purchase orders outside of the Integrated Financial Management Information System (IFMIS) and introducing complementary IFMIS functionality to restrict line ministries' total monthly payments to a cash limit; and
- for expenses not subject to commitment controls in IFMIS, such as wages and utilities, effective reconciliation of payroll and HR system data and introducing pre-paid meters and vouchers for utility and rent payments.

23. **The efficiency of public investment also needs to be improved.** The 2017 PIMA estimated an efficiency loss of 45 percent for Zambia's public investment relative to an average of 36 percent for SSA countries. Key areas for improvement included vetting of projects and more systematically conducting appraisals of domestically-financed projects before inclusion in the budget, and procurement processes that undermine efficiency and create opportunities for corruption. In 2018 the Government embarked on development of the Public Investment Management System to establish an institutional framework for coordinating and undertaking ex ante appraisal of new public investment projects. It is expected to begin operating in 2020. Staff stressed that enacting the Planning and Budgeting Bill will be important to enhance the project selection and appraisal process, while revising the Loans and Guarantees Act will provide the necessary framework for medium-term debt management. Staff also recommended that a small unit be established in the Ministry of Finance to monitor and mitigate risks related to implementation of the 5-10 largest capital expenditure projects.

Authorities' Views

The authorities acknowledged the need to rationalize public investment expenditure. They noted that some of the accompanying legislation to the PFM Act requires constitutional changes and thus will take time to enact. They highlighted the role that the Public Investment Management System will play in ex ante appraisal of public investment projects once it is operational. They also pointed to the recent establishment of the Public Investment Board (PIB) as the overall review and decision-making body on public investment management for new capital projects. The authorities committed to enforcing strict adherence to PFM rules established under the PFM Act of 2018 and announced steps

¹⁰ Past Fund TA identified predictability and control in budget execution as areas of weakness (2017 PEFA report), while Zambia fared well on policy-based fiscal strategy and budgeting.

to this effect following the Cabinet meeting in late May. They will aim to release cash warrants in a timely manner to limit the risk of arrears.

C. Strengthened Debt Management and Market Development

24. **Further improvements in debt management would help contain debt vulnerabilities.**

Building on an initial mission in May, a pipeline of debt management technical assistance, informed by a reform plan currently in development, will be delivered jointly by IMF, World Bank, and Macroeconomic and Financial Management Institute of Eastern and Southern Africa in the coming years. The recently-initiated quarterly debt stock update is a welcome step and can be further enhanced by the launch of a quarterly Debt Statistics Bulletin (planned for 2019). Beyond this, key priorities include:

- Strengthening management over the large stock of contracted but undisbursed debt, to ensure clear prioritization of projects and agreement on the pace of project execution.
- Close monitoring and management of portfolio risks against rapidly rising external debt payments (most in foreign currency) and the nearing Eurobond maturities.
- Improving monthly cash flow forecasts to facilitate more flexibility in domestic debt auctions to better adapt to market financing conditions.
- Better inter-agency coordination to ensure timely budget allocation and payment processing to avoid late payments.
- SOE debt (guaranteed and nonguaranteed) should be managed more systematically to allow timely monitoring of fiscal risks.

25. **The BoZ is also taking steps to develop domestic securities markets, including through the planned launch later this year of a Primary Dealership System (PDS).** Under the PDS, primary dealers would be obliged to take up, market, and distribute benchmark bonds to ensure reliable demand for securities and provide market liquidity. The BoZ has been buying government bonds in the secondary market to build a backstop facility. However, the current environment, particularly recent continuous undersubscription of government bonds, presents complications for launching a well-functioning PDS. To encourage market transactions, the handling fee charged on government securities has been lowered to 1 percent from 2 percent.

Authorities' Views

The authorities concurred on the value of public debt transparency and the importance of a prudent management of the contracted debt portfolio. Regarding existing debt, they had engaged in discussions with a bilateral creditor on a voluntary debt reprofiling and the possibility of servicing debt in the lenders' national currency. They also agreed with staff on the necessity of closely monitoring debt payment schedules and associated portfolio risks to ensure timely payments through effective coordination among different government functions.

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D. Enhancing Monetary Policy and Operations

26. **The BoZ has continued to strengthen its monetary policy framework (MPF).** The overnight interbank rate has been maintained within the narrowed policy rate corridor, and the BoZ increased the use of open market operations (OMOs) and announced clear inflation targets that were largely observed. However, the increase in yields on government securities has weakened monetary transmission as elevated bank lending rates reflected yields on government securities. In the Interbank Foreign Exchange market, while volume has remained modest, there is no evidence of FX shortages or existence of a parallel FX market. The BoZ is also developing, with Fund TA, a forecasting and policy analysis system (FPAS) to be used as a key input in monetary policy decision making.

27. **Consistent with the BoZ's forward-looking MPF, some further tightening of the monetary policy stance would address rising inflationary pressures and support reserve accumulation.** In raising the policy rate by 50 bps to 10.25 percent in May, the MPC emphasized its intention of countering inflationary pressures and supporting macroeconomic stability. With inflationary pressures expected to persist, and inflation marginally above the upper bound of the target range, the policy stance should continue to be adjusted to keep forward looking real rates positive and support reserve accumulation. At 1.7 months of imports, the level of reserves is modest compared to public debt service needs, and the BoZ has entered the market in recent months to purchase reserves as market conditions permit. Reserves should be opportunistically replenished over the medium term, with market intervention otherwise limited to smoothing excessive volatility. Staff advised that monetary policy effectiveness would be higher if accompanied by a large and upfront fiscal consolidation.

Authorities' Views

The authorities agreed that the current situation was giving rise to inflationary pressures. The BoZ expressed its intention to use monetary policy instruments at its disposal to ensure that inflation is kept within the its target band but stressed that the efficacy of the monetary policy response would depend on fiscal consolidation. The authorities also indicated their commitment to a flexible exchange rate policy and the importance of bolstering reserves. The BoZ also expressed appreciation for Fund support on FPAS.

E. Securing Financial Stability

28. **The BoZ has made good progress in upgrading the institutional, regulatory, supervision and crisis management framework in line with the 2017 FSAP recommendations** (Annex I). The revised 2017 Banking and Financial Service Act (BFSA) and the amended draft BoZ Act, currently with the Ministry of Finance, appropriately address the BoZ's operational independence, Basel II/III standards and licensing. In completing work on upgrading the BoZ Act to grant the central bank operational independence, staff advised to avoid increasing the BoZ's financing ceiling to the government. In June 2017, the BoZ revised and strengthened the legal framework for Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) and terrorist financing offense. The BoZ is also examining options to implement a deposit insurance scheme, with Fund TA.

29. **The strong nexus between Zambia's financial sector and the sovereign creates potential channels of stress.** While bank capitalization levels are strong, deepening macrofinancial linkages likely will contribute to keeping NPLs above Zambia's 10 percent prudential benchmark and are impacting banks' liquidity preferences (Annex IV). High levels of dollarization¹¹ may limit the effectiveness of BoZ liquidity support in case of a crisis.

30. **Significant progress has been achieved in improving BoZ supervision, and additional steps would support a robust, rules-based progressive enforcement program, including early intervention.** Staff advised to:

- complete the staffing and training of the supervision department and enhance the crisis preparedness and management framework; and
- limit on-site activities to high priority risks and functions, and prioritize onsite inspections of individual banks based on risk assessment.

Authorities' Views

The authorities agreed with staff's assessment of the financial sector and welcomed the intersectoral perspective provided by the discussion of macrofinancial linkages and vulnerabilities. The BoZ also agreed with staff's recommendation on upgrading the BoZ Act, noting the ongoing work to put in place implementing regulations for the new BFSa. The authorities also agreed on the need to improve supervisory capacity by filling vacant positions and prioritizing capacity building, and they noted the importance of prioritizing inspection activities.

F. Achieving Higher and More Inclusive Growth

31. **Zambia is endowed with abundant natural resources, but the poverty rates remain high particularly in rural areas that remain dependent on rain-fed agriculture and with large infrastructure gaps.** Zambia's water resources, at 6,000 cubic meters per inhabitant, are second to Angola in southern Africa. Just 14 percent of arable land is under cultivation despite the high incidence of agriculture as an economic activity.¹² Agriculture remains labor-intensive and highly vulnerable to climatic shocks. The electricity access rate is 31 percent.¹³ Transport logistics and communication services are particular constraints in rural areas, where 77 percent of the population live in poverty. The informal sector dominates employment.

¹¹ Commercial banks' foreign currency liabilities were roughly 47 percent of total liabilities at end-2018.

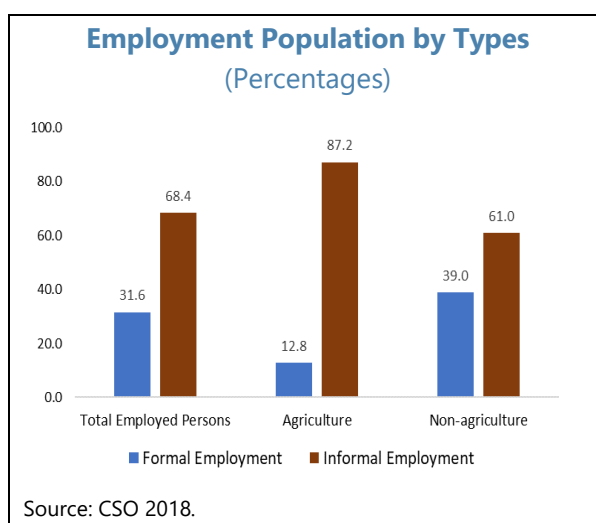
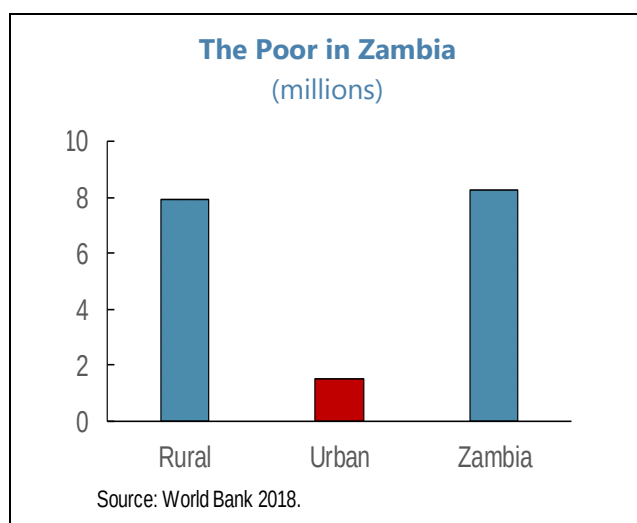
¹² FAO, 2014

¹³ Power Africa, 2018

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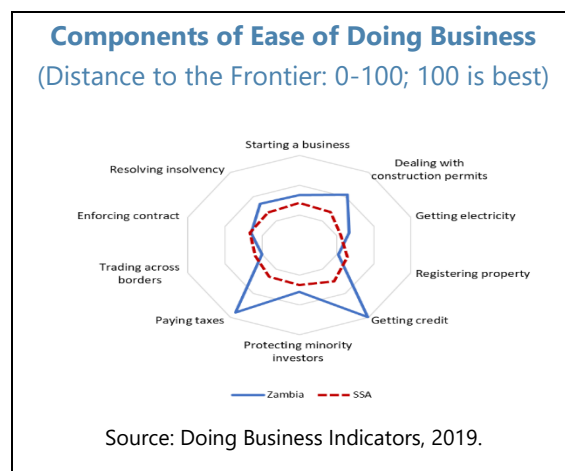
32. **Building resiliency in the agriculture sector would support inclusive growth while also promoting productivity.** Proactive strategies to anticipate and respond to adverse climate shocks and promote well-targeted support programs would bolster resilience in the agricultural sector. Implementation of the Farmer Input Support Programme (FISP) should be improved by targeting primarily poor and small-scale farms. Establishing a more stable and predictable regulation of the maize market would also benefit the poorest.

33. **Addressing constraints in the electricity sector—both generation and distribution – would boost the business environment and lower contingent fiscal liabilities at ZESCO.** Staff advised completing the cost of service study and advancing tariff reforms. Staff encouraged appropriate protection for vulnerable groups given the high cost and poor targeting of existing electricity subsidies (richest decile of households receive 64 percent of electricity subsidies while those in the poorest half receive only 1.5 percent).¹⁴ Looking forward, the significant increase in electricity generation capacity expected by end-2020 (roughly 25 percent of current capacity) as the Kafue Gorge Lower hydroelectric plant is expected to come on stream could help improve the ability to respond to shocks to generation capacity.



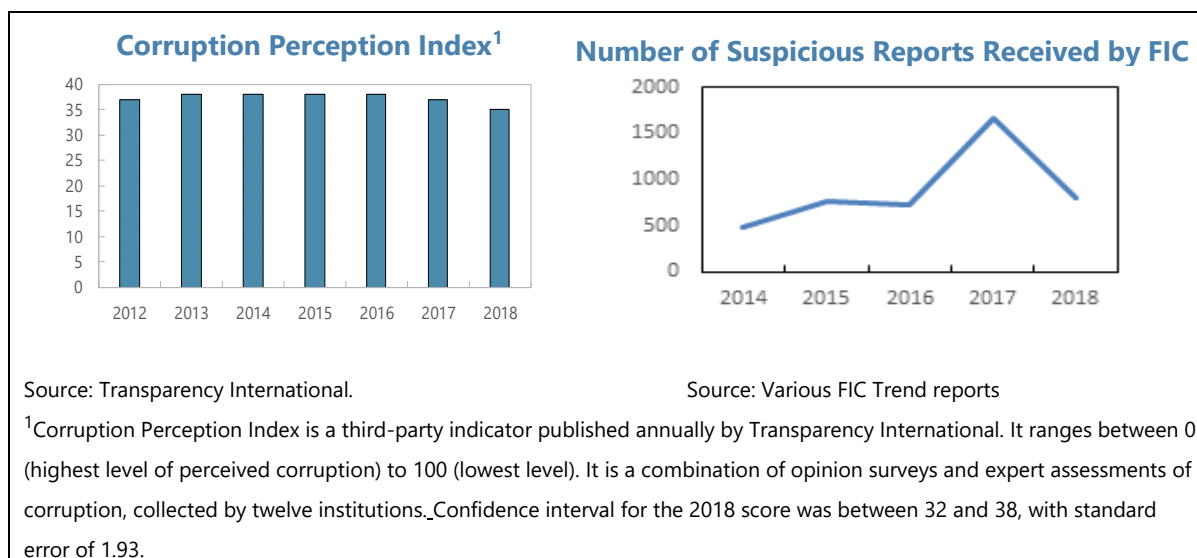
¹⁴ See Zambia, 2017 Article IV.

34. **Steady focus on the business climate is also needed.** While Zambia compares favorably with SSA average on several dimensions of the 2019 Doing Business Indicators, economic growth has slowed and private investment has remained subdued in the current challenging environment (Annex II). Active engagement with mining companies should aim to resolve differences that have undermined confidence.



35. **Governance and institutional quality, as measured by Worldwide Governance Indicators (WGI),¹⁵ are close to the average of the SSA region but have deteriorated recently**

(Annex V). Zambia's Financial Intelligence Center (FIC), the government agency that collects reports on suspicious activities, publishes annual reports of cases related to tax evasion, corruption and public procurement. These have increased in 2017-2018. In 2018, several donors froze aid funds for the government social cash transfer program after audit reports revealed grant misappropriation. The authorities acknowledge the rise in tax evasion and procurement-related cases and have launched reforms aimed at raising accountability and transparency in the allocation and use of public finances. The recently-approved Public Financial Management Act should provide a strong basis to improve fiscal transparency by setting clear guidelines for procurement procedures.



¹⁵ WGIs are third-party indicators which summarize views of many enterprises, citizens and expert survey respondents on the quality of governance in a country. The data are gathered from survey institutes, think tanks, non-governmental organizations, international organizations, and private sector firms. The index ranges between -2.5 to 2.5, with higher values representing more favorable governance. Note that given the confidence interval, uncertainties exist around Zambia's point estimate. The WGI scores are normalized each year to mean zero and hence measure relative performance.

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Authorities Views

The authorities agreed on the necessity to boost electricity generation capacity, increase agricultural productivity and enhance the preparedness to climate-related shocks. They highlighted solar energy projects initiated as part of efforts to diversify from hydroelectric power. They planned to complete the cost of service study but saw risks to increasing electricity tariffs in the current economic environment. In agriculture, they noted that the Zambia Integrated Agriculture Management Information System (ZIAMIS) was developed to support agri-businesses, farmer expansions and extension services for agriculture-related public programs.

G. Capacity Building and Statistics

36. **The IMF's CD strategy for Zambia is targeted at supporting the key policy priority of fiscal consolidation while reducing vulnerabilities and preserving macroeconomic stability.**

(Annex XI) The Fund has provided CD on strengthening budget preparation and execution as well as enhancing the medium-term macro-fiscal framework. A joint IMF/WB debt management reform plan TA mission took place in May and will be followed by a Medium-term Debt Management Strategy TA mission tentatively scheduled for July. Fund CD also targets building BoZ capacity in bank supervision, systemic risk analysis and financial crisis management, drawing on the 2017 FSAP, as well as capacity building on national accounts and price statistics.

37. **Data provision is broadly adequate for surveillance, despite some shortcomings.**

Supported by an active CD program, work has begun on rebasing the current 2010-based GDP numbers, although the process is likely to be delayed beyond its original end-2019 timeframe. Staff encourages further progress on strengthening data collection and estimation of key national account statistics and improving the reconciliation of data on the fiscal outturn between fiscal reports and government accounts in monetary statistics.

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38. **Zambia is facing a difficult macroeconomic environment.** The drought in the southern and western parts of the country—impacting both the agricultural sector and electricity production—has added to the growth slowdown. While the government's development strategy has targeted a significant scaling-up in infrastructure investment, the growth benefits have yet to materialize, resulting in large fiscal deficits financed through non-concessional borrowing. With depreciation of the kwacha and the end of grace periods on several loans, increasing debt service payments are compromising the government's ability to deliver on its priorities and support the most vulnerable.

39. **Fiscal consolidations announced in the 2017 and 2018 budgets did not materialize, in large part as foreign-financed projects were executed more rapidly than anticipated.** The very large stock of contracted but undisbursed debt (equivalent to a further 40 percent of 2018 GDP), highlights the need for strengthened control and prioritization of public investment projects, while weak control of budget execution has also undermined the authorities' efforts to contain spending, contributing to the buildup of domestic arrears.

40. **On current policies, public debt is on an unsustainable path and financing constraints are forcing the inevitable fiscal adjustment to occur in a disorderly manner.** The risk of debt distress has increased substantially, but the authorities remain current on their debt service obligations and reiterated their commitment to remain so. The BOZ has also sought to build up reserves as market conditions have permitted. But with the availability of domestic financing tightening, the government is being forced into cash budgeting seriously impacting the ability to deliver public services.
41. **There is a narrow window for tackling fiscal challenges in an orderly and planned manner.** A large front-loaded and sustained fiscal adjustment is urgently needed to reduce debt-related vulnerabilities. With adjustment already occurring as financing constraints bite, the drag on growth and impact on provision of priority social spending can be contained through a carefully planned and executed adjustment. Revenue mobilization, including scaling back unnecessary exemptions and tax expenditures, is essential to create fiscal space. The Cabinet decision in late May to indefinitely postpone contraction of all new non-concessional loans, cancel some committed but undisbursed loans and increase control and management of disbursements on foreign-financed loans, and to strictly adhere to PFM rules under the 2018 PFM Act are steps in the right direction. Strong and sustained actions are critical. Even with a bold adjustment, risks would remain very high.
42. **Building on approval of the Public Finance Management (PFM) Act in April 2018, stronger procedures are needed to ensure budget execution reflects the authorities' fiscal goals.** Weaknesses in procurement processes and in project selection, appraisal and implementation that undermine efficiency and create opportunities for corruption need to be addressed. Improving public investment efficiency can also help moderate the initial reduction in growth from the fiscal adjustment. The Planning & Budgeting Act and the Loans and Guarantees Act should be advanced to promote transparency and fiscal risk management.
43. **Monetary policy has an important role to play in securing stability.** The BoZ has strengthened its forward-looking monetary policy framework and the increase in the policy rate in May as inflation crept above the BoZ's inflation band is a welcome step. Given persistent pressure on the kwacha and a rise in inflationary pressures, some further monetary policy tightening is warranted to keep real rates positive and support accumulation of reserves which are low compared to public debt service needs. To be effective, monetary policy actions must be accompanied by a reorientation of the fiscal stance.
44. **Financial sector supervisory capacity has improved.** While financial sector indicators have remained broadly resilient, macrofinancial pressures from the strong linkages between the financial system and the sovereign warrant close monitoring. Limiting the buildup of arrears, and avoiding payments delays on pension and loan contributions, would help to avoid further increases in NPLs and liquidity pressures in the financial system. Banking supervision and the BOZ's crisis preparedness and management frameworks should continue to be strengthened, as recommended by the 2017 FSAP, and resolution of non-performing loans should remain a priority.
45. **There is potential for growth to accelerate over the medium term.** Achieving inclusive growth also will require steady focus on improving the investment climate, promoting productivity

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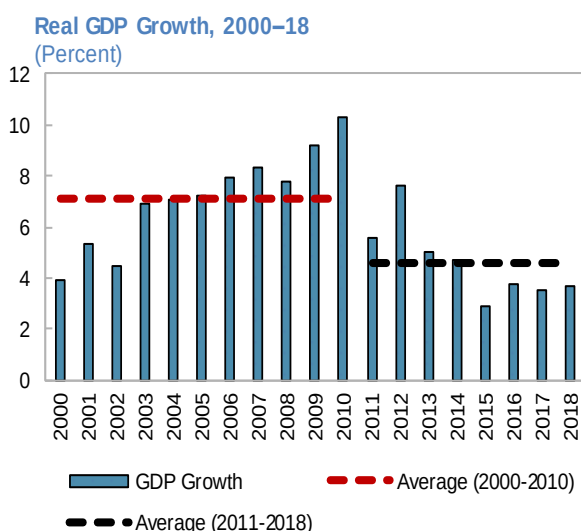
and human capital, and addressing the risks of corruption. Beyond the response to the current drought, proactive strategies to anticipate climate-related risks and promote well-functioning support programs in the agricultural sector would support resilience.

46. **Zambia maintains one exchange restriction subject to Fund approval under Article VIII, Section 2(a) (see Informational Annex).** Staff does not recommend approval, as there is no timetable for its removal.

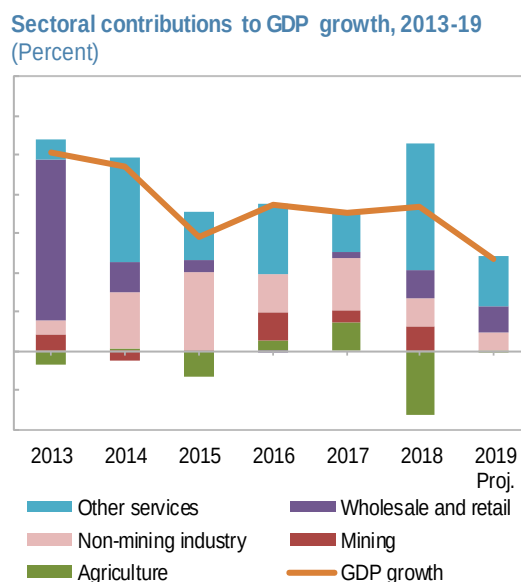
47. **Staff recommends that the next Article IV consultation be held on the standard 12-month cycle.**

Figure 1. Zambia: Recent Developments

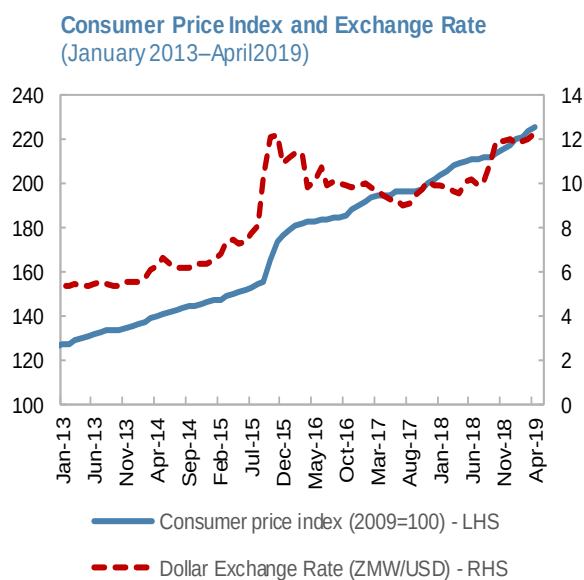
Growth has slowed in recent years.



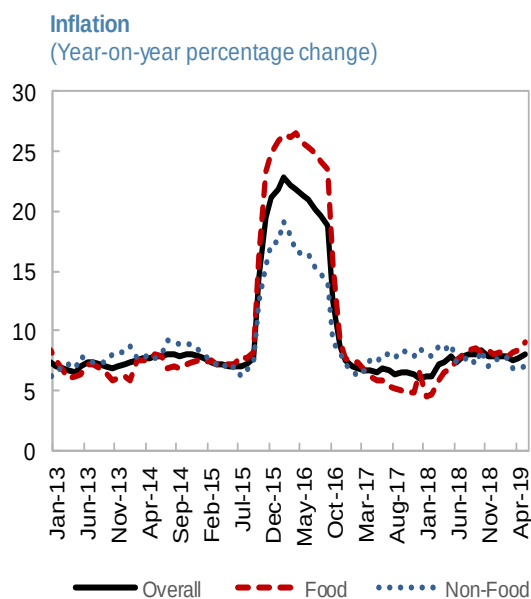
Services and industry are the main sources of growth.



The 2015/2016 commodity price shock drove a spike in inflation and a sharp depreciation of the kwacha.



Inflation has crept up in recent months due to kwacha depreciation and increases in food and fuel prices.

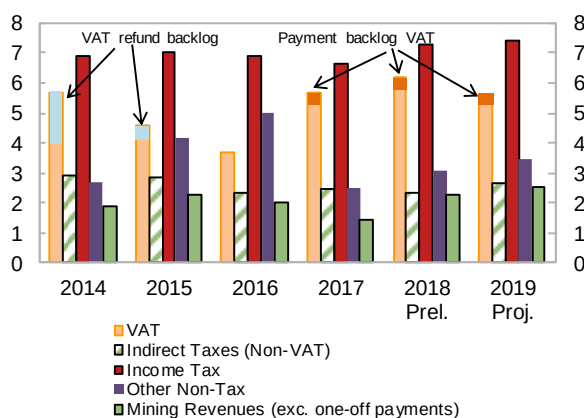


Sources: Zambia Central Statistics Office; LME; IMF, World Economic Outlook database; and IMF staff estimates and projections.

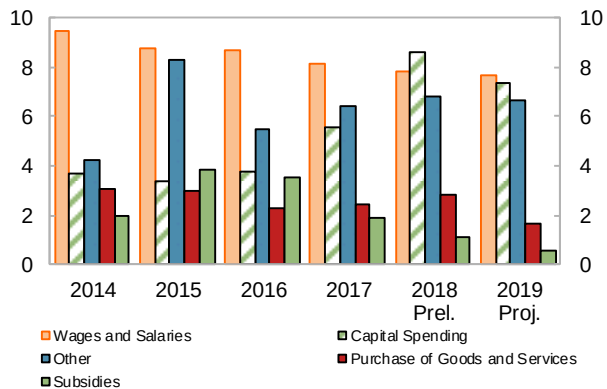
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Figure 2. Zambia: Fiscal Developments
(Percent of GDP, unless otherwise specified)

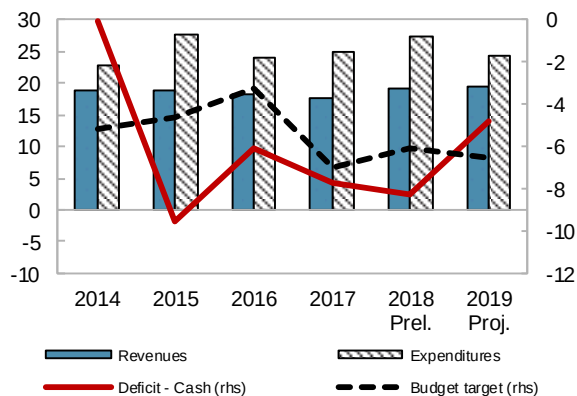
Strong VAT performance has helped maintain revenues despite a slower economy and weaker nontax receipts.



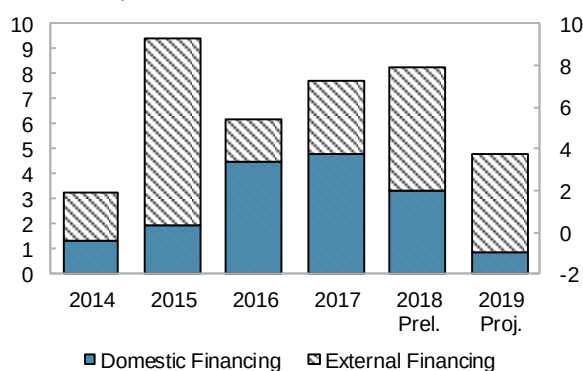
The wage bill, rising interest payments (other) and public investment dominate government spending.



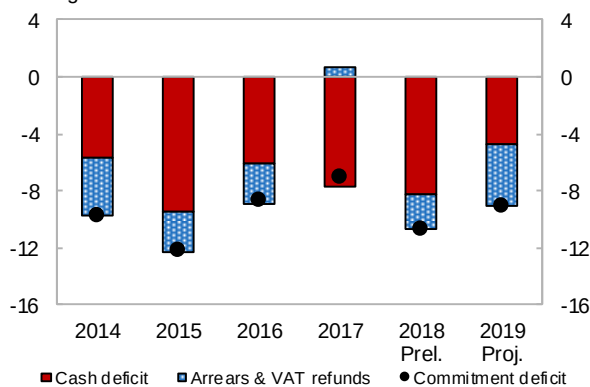
Fiscal imbalances have been driven by spending overruns.



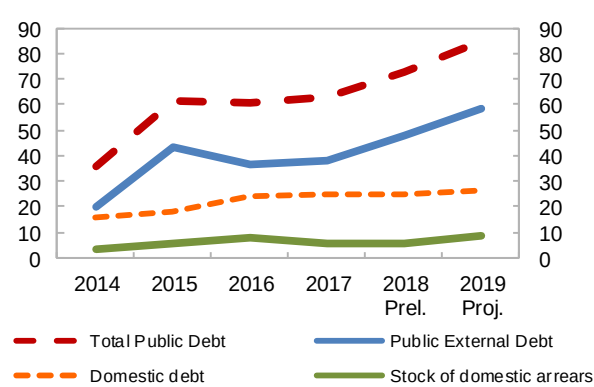
The 2018 deficit (cash basis) was mainly financed by external resources, unlike the 2016-2017 deficits.



Accumulation of domestic arrears and backlog of VAT refunds are significant.



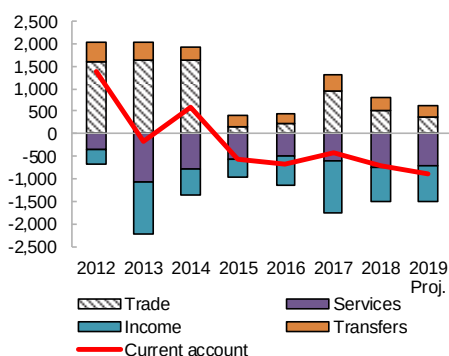
Public debt has risen rapidly pushed by external debt and depreciation and the accumulation of domestic arrears.



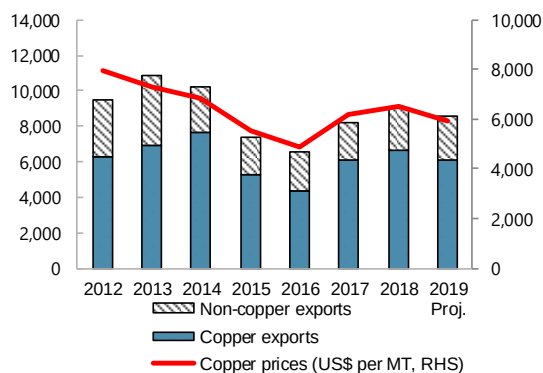
Sources: Zambian authorities and IMF estimates and calculations.

Figure 3. Zambia: External Sector
(Millions of U.S. dollars, unless otherwise specified)

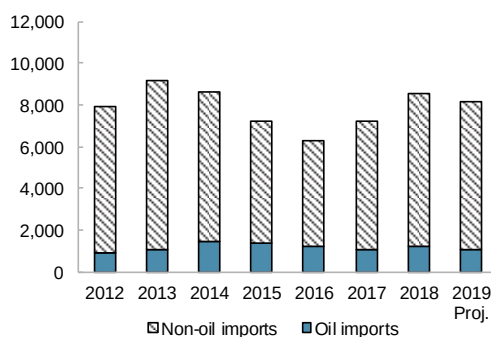
Since 2015, the current account has moved into deficit on lower trade surpluses.



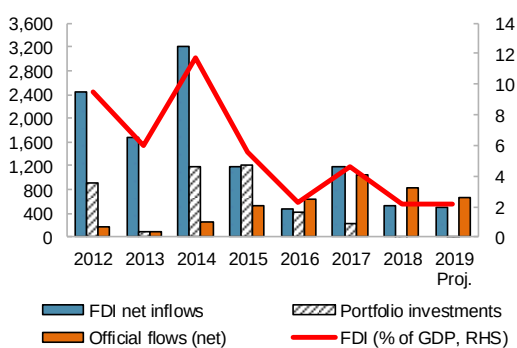
Exports will moderate with lower copper prices.



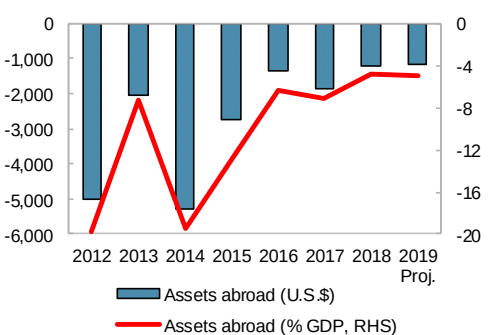
Non-oil imports have picked up since 2017 with increasing public investment as a main driver.



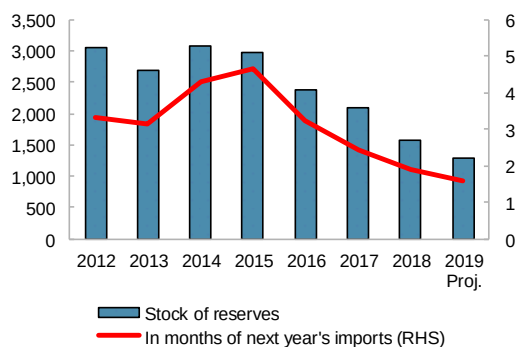
FDI inflows have declined.



Other outflows remain sizeable.



Official reserves import coverage has declined.

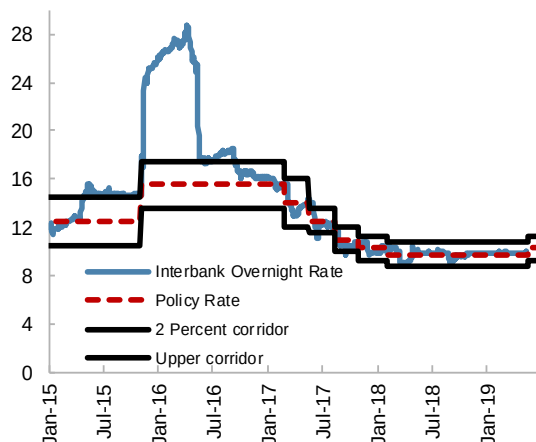


Sources: Bank of Zambia and IMF staff forecasts.

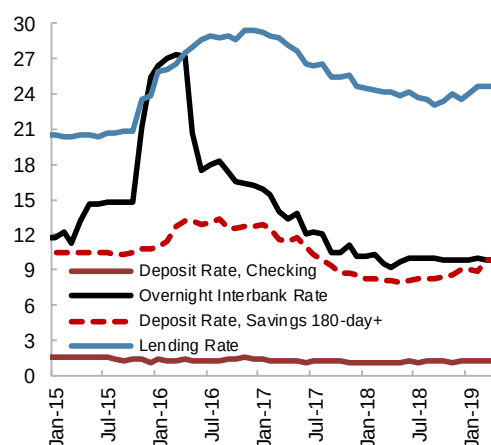
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Figure 4. Zambia: Monetary & Financial Developments

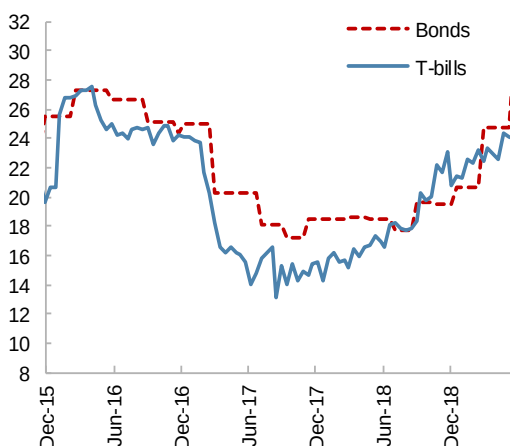
Policy Rate and Interbank Rate (Percent)



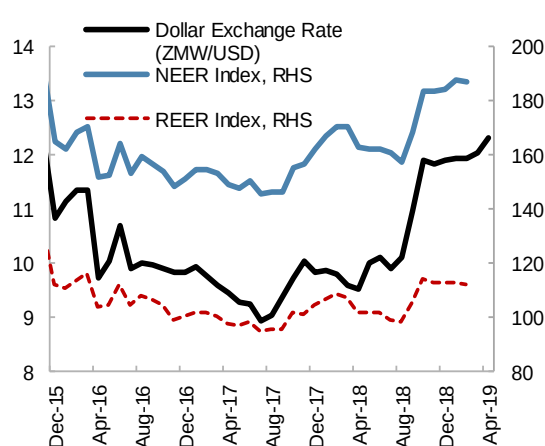
Average Lending and Deposit Rates (Percent)



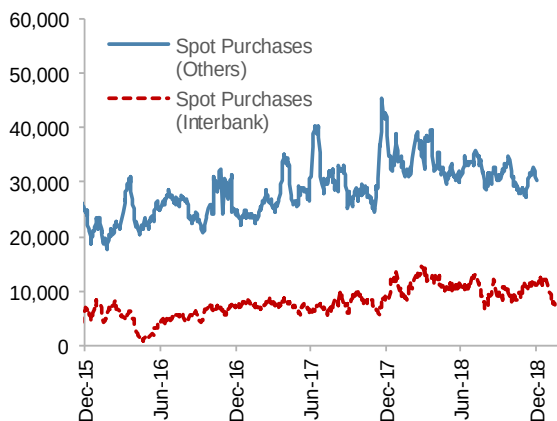
Government T-Bills and Bonds Yields (volume-weighted, percent)



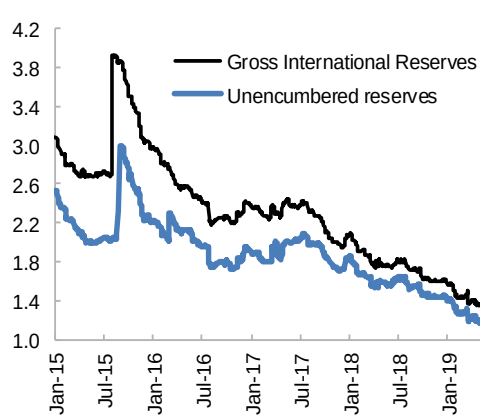
Exchange Rates (Average, kwacha per USD; 2010=100)



Commercial Banks' Forex Purchase (14-day average, millions of US\$)



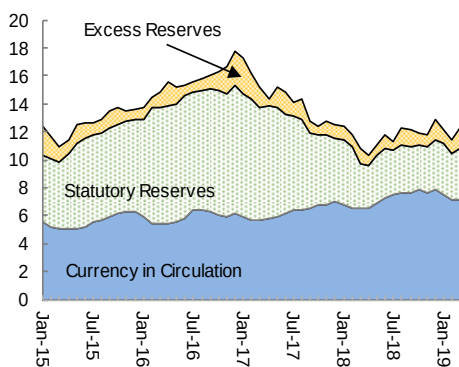
International Reserves (billions of US dollars)



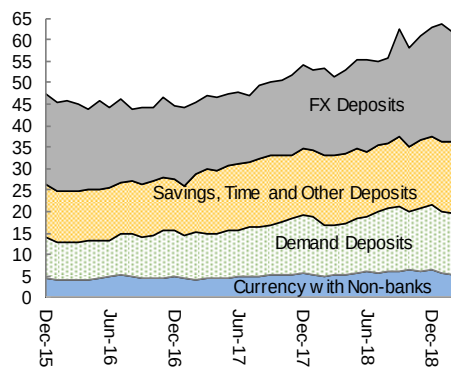
Source: Bank of Zambia.

Figure 4. Zambia: Monetary & Financial Developments (concluded)

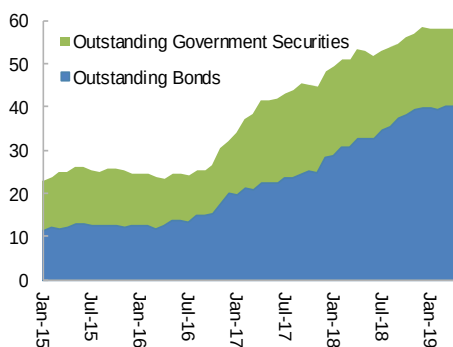
Reserve Money
(monthly average, billions of kwacha)



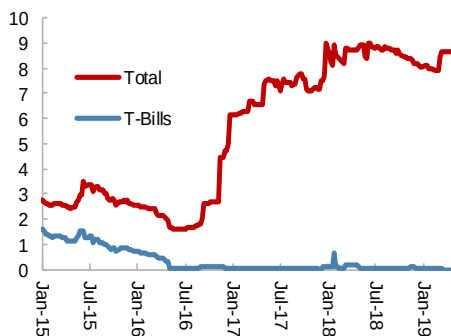
Broad Money
(billions of kwacha)



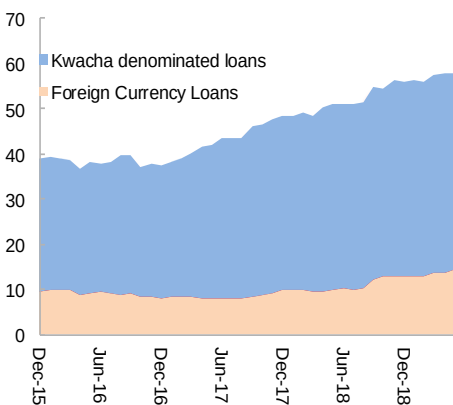
Outstanding Government Securities
(T-bills and bonds, billions of kwacha, face value)



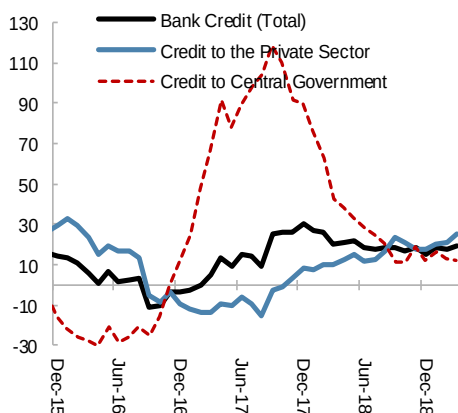
Foreign Holdings of Government Securities
(Face Value, kwacha billions)



Bank Credit to Domestic Economy
(billions of kwacha)



Bank Credit Growth
(year-on-year percent change)



Source: Bank of Zambia.

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Table 1. Zambia: Selected Economic Indicators, 2016–24

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
National account and prices															
GDP growth at constant prices	3.8	3.5	3.7	2.0	1.7	1.7	1.6	1.5	1.5	1.6	1.9	2.1	2.4	2.8	3.3
Mining	7.3	3.0	6.3	-2.0	2.0	2.0	3.0	3.0	3.0	-2.0	2.0	3.0	4.0	5.0	5.0
Non mining	3.4	3.6	3.4	2.5	1.7	1.7	1.4	1.3	1.3	2.0	1.9	2.0	2.2	2.6	3.1
GDP deflator	13.6	10.1	9.5	10.0	9.7	8.2	8.3	8.0	7.7	7.9	7.2	6.7	6.5	6.6	6.4
GDP at market prices (billions of kwacha)	216.1	246.3	279.4	313.5	349.8	385.2	423.7	464.4	507.9	306.4	334.6	364.5	397.8	435.9	479.3
GDP at market prices (millions of kwacha)	216,098	246,252	279,441	313,496	349,831	385,196	423,750	464,432	507,929	306,384	334,593	364,466	397,756	435,924	479,266
GDP at market prices (millions of USD)	20,941	25,868	26,720	23,946	23,342	23,415	23,636	23,951	24,401	24,914	25,874	27,137	28,587	30,251	32,119
Consumer prices															
Consumer prices (average)	17.9	6.6	7.0	9.9	10.0	8.0	8.0	8.0	8.0	8.7	8.5	7.3	7.0	7.0	7.0
Consumer prices (end of period)	7.5	6.1	7.9	12.0	8.0	8.0	8.0	8.0	8.0	9.5	7.5	7.0	7.0	7.0	7.0
External sector															
Terms of trade (deterioration -)	-3.0	16.0	-3.8	-6.4	-1.5	0.3	0.1	-0.2	-1.1	-6.5	-2.0	0.5	0.2	-0.1	-0.8
Average exchange rate (kwacha per U.S. dollar)	10.3	9.5	10.5	...	...	...	...	...	...	...	...	...	...	...	...
(percent change; depreciation +)	19.5	-7.7	9.9	...	...	...	...	...	...	...	...	...	...	...	...
End-of-period exchange rate (kwacha per U.S. dollar)	9.9	9.9	11.9	...	...	...	...	...	...	...	...	...	...	...	...
Real exchange rate (depreciation +)	4.3	-10.8	5.4	...	...	...	...	...	...	...	...	...	...	...	...
Money and credit															
Domestic credit to the private sector	-9.4	5.2	16.7	7.5	7.9	7.9	6.2	6.9	7.1	10.1	13.1	13.0	14.4	14.4	12.5
Reserve money (end of period)	12.8	-25.6	-0.6	10.3	13.4	11.0	11.9	11.6	10.5	11.5	14.1	12.6	12.9	13.4	11.2
Broad Money (M3)	-5.7	21.4	16.5	11.9	11.0	10.1	11.0	10.7	10.5	11.7	10.3	10.2	10.6	11.0	11.2
Credit to the private sector (percent of GDP)	12.1	11.2	11.5	11.0	10.6	10.4	10.1	9.8	9.6	11.5	12.0	12.4	13.0	13.6	13.9
National accounts															
Gross investment	38.2	41.0	43.3	41.1	40.2	37.3	36.6	36.0	35.7	39.8	40.2	40.3	40.5	40.7	41.2
Government	3.8	5.5	8.6	7.3	8.4	6.9	6.5	6.1	6.1	5.1	4.9	4.8	4.8	4.7	4.9
Private	34.4	35.5	34.8	33.8	31.9	30.5	30.2	29.9	29.6	34.8	35.3	35.5	35.8	36.1	36.4
National savings	34.9	39.3	40.7	37.5	36.8	34.4	34.0	33.7	33.7	36.2	37.0	37.8	38.5	39.0	39.7
External current account balance	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
Central government budget															
Revenue	18.2	17.5	19.1	19.4	19.7	19.8	19.8	19.7	19.7	19.7	20.0	20.2	20.6	20.7	20.7
Taxes	13.0	14.8	15.8	15.7	15.9	16.0	16.0	15.9	15.9	16.1	16.0	16.3	16.5	16.6	16.6
Grants	0.2	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.2	0.1	0.1	0.1	0.1	0.1
Other revenue	5.0	2.5	3.1	3.5	3.7	3.7	3.7	3.8	3.8	3.5	3.8	3.9	4.0	4.0	4.1
Expenditure	23.9	25.0	27.4	24.2	24.8	23.3	22.9	22.6	22.4	24.1	24.0	23.6	23.6	23.5	23.3
Expense	20.2	19.4	18.8	16.8	16.4	16.4	16.4	16.5	16.3	19.0	19.1	18.8	18.9	18.8	18.5
Net acquisition of nonfinancial assets	3.8	5.5	8.6	7.3	8.4	6.9	6.5	6.1	6.1	5.1	4.9	4.8	4.8	4.7	4.9
Net lending/borrowing (cash basis)	-5.7	-7.7	-8.3	-4.8	-5.1	-3.4	-3.1	-2.9	-2.6	-4.3	-4.0	-3.4	-3.0	-2.7	-2.6
Net lending/borrowing (commitment basis)	-9.0	-7.0	-10.7	-9.0	-5.6	-4.0	-3.1	-2.9	-2.6	-6.3	-3.4	-2.9	-2.5	-2.3	-2.2
Net acquisition of financial assets	-0.6	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	-0.6	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	5.5	8.1	7.6	4.8	5.1	3.4	3.1	2.9	2.6	4.4	4.0	3.4	3.0	2.7	2.6
Domestic	3.8	5.2	2.7	1.0	0.8	0.8	0.8	0.8	0.7	2.8	2.9	2.5	2.0	1.1	1.0
Foreign	1.7	2.9	4.9	3.9	4.3	2.7	2.3	2.1	1.9	1.6	1.1	0.9	1.1	1.6	1.6
Financing gap	-0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External sector															
Current account balance	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
(including current and capital grants)	-3.0	-1.5	-2.4	-3.3	-3.1	-2.7	-2.4	-2.1	-1.8	-3.4	-2.9	-2.2	-1.8	-1.6	-1.4
(excluding grants)	-3.3	-1.8	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
Gross International Reserves (months of prospective imports)	3.3	2.4	1.9	1.6	1.3	0.9	0.6	0.6	0.5	2.0	2.1	2.4	2.4	2.5	2.5
Public debt															
Total public debt, gross (end-period)	60.7	65.5	78.1	91.6	95.5	98.0	97.6	96.7	95.1	84.6	85.0	84.4	81.6	78.4	74.8
External ¹	36.6	38.2	48.1	59.9	65.6	69.5	70.8	71.5	71.3	52.2	52.7	52.3	50.5	49.1	47.4
Domestic ²	24.1	27.3	30.0	31.7	29.8	28.5	26.8	25.2	23.8	32.3	32.4	32.1	31.1	29.3	27.4

Sources: Zambian authorities; and IMF staff estimates and projections.

¹ Public and publicly guaranteed external debt.² Including arrears.

Table 2a. Zambia: Fiscal Operations of the Budgetary Central Government, 2016-24
(Millions of kwacha)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
Revenue	39,410	43,032	53,449	60,806	68,949	76,284	83,836	91,616	100,259	60,458	66,823	73,758	81,822	90,286	99,415
Revenue excluding grants	38,885	42,566	52,802	60,112	68,493	75,833	83,389	91,175	99,825	59,801	66,390	73,334	81,405	89,875	99,008
Tax	28,028	36,490	44,240	49,228	55,636	61,653	67,592	73,699	80,623	49,222	53,588	59,260	65,636	72,234	79,473
Tax revenues adjusted by the backlog of VAT refunds	29,114	37,911	42,030	48,004	55,636	61,653	67,592	73,699	80,623	48,222	53,588	59,260	65,636	72,234	79,473
Other revenue, including mineral royalties	10,856	6,076	8,563	10,884	12,857	14,179	15,797	17,475	19,202	10,579	12,802	14,073	15,769	17,641	19,535
Of which: Mineral royalties	3,053	2,435	3,937	4,800	5,568	6,154	6,968	7,799	8,519	4,566	5,436	6,049	7,012	8,043	8,883
Grants	525	467	647	694	456	452	447	441	434	657	433	425	417	412	407
Expenditure	51,713	61,500	76,505	75,762	86,763	89,567	97,124	104,907	113,623	73,728	80,236	86,159	93,914	102,243	111,857
Expense	43,555	47,842	52,569	52,756	57,501	63,169	69,677	76,423	82,560	58,215	63,849	68,665	74,986	81,812	88,469
Compensation of employees	18,807	19,995	21,856	23,992	26,691	29,259	31,818	34,207	36,998	24,126	26,177	28,495	30,639	33,612	37,004
Use of goods and services	4,897	5,930	7,944	5,120	5,186	5,489	5,916	6,667	7,236	7,130	7,836	8,335	9,897	11,043	12,150
Interest	7,448	9,826	12,988	15,477	18,200	20,544	23,338	26,792	29,381	13,338	15,919	16,720	17,589	19,020	19,292
Domestic	4,025	5,045	7,414	8,575	9,796	11,213	13,188	15,126	17,514	8,150	8,874	9,583	10,356	11,112	11,581
Foreign	3,423	4,781	5,574	6,902	8,404	9,332	10,150	11,666	11,868	5,188	7,045	7,137	7,233	7,908	7,711
Subsidies	7,672	4,666	3,136	1,876	1,848	2,128	2,119	2,492	2,176	5,511	5,062	5,357	5,750	5,416	5,582
Intergovernmental transfers	4,195	5,506	5,631	4,910	4,535	4,633	5,258	4,918	5,296	6,048	6,593	7,318	8,398	9,749	11,174
Social benefits	537	1,919	1,015	1,381	1,041	1,117	1,228	1,346	1,472	2,062	2,262	2,439	2,712	2,972	3,267
Net acquisition of nonfinancial assets	8,157	13,658	23,936	23,006	29,261	26,397	27,447	28,484	31,063	15,512	16,388	17,494	18,928	20,431	23,388
Of which: domestically-financed	3,357	5,928	5,582	1,773	3,379	3,467	4,862	6,995	7,946	2,956	3,269	3,910	4,864	5,152	6,782
Of which: foreign-financed	4,810	7,730	18,354	21,232	25,882	22,931	22,586	21,488	23,117	12,556	13,119	13,584	14,064	15,279	16,605
Statistical Discrepancy (-overfinancing)	-874	-525	0	0	0	0	0	0	0	0	0	0	0	0	0
Net lending/borrowing (overall balance, cash basis)	-13,177	-18,993	-23,056	-14,956	-17,814	-13,283	-13,288	-13,291	-13,364	-13,269	-13,413	-12,400	-12,092	-11,957	-12,442
Primary balance (cash basis)	-5,728	-9,166	-10,068	521	386	7,262	10,049	13,500	16,017	69	2,506	4,320	5,497	7,063	6,850
Domestic arrears (- payments)	7,287	-243	4,684	12,165	1,725	2,300	0	0	0	5,128	-1,950	-1,950	-1,950	-1,950	-1,950
Backlog of VAT refunds (flow)	-1,086	-1,421	2,210	1,225	0	0	0	0	0	1,000	0	0	0	0	0
Overall balance, (commitment basis) ¹	-19,378	-17,328	-29,949	-28,345	-19,539	-15,583	-13,288	-13,291	-13,364	-19,397	-11,463	-10,451	-10,142	-10,007	-10,492
Primary balance (commitment basis) ¹	-11,929	-7,502	-16,962	-12,868	-1,339	4,962	10,049	13,500	16,017	-6,059	4,455	6,269	7,447	9,013	8,800
Financing	13,177	18,993	23,056	14,956	17,814	13,283	13,288	13,291	13,364	13,269	13,413	12,400	12,092	11,957	12,442
Net acquisition of financial assets	-1,314	839	-1,861	153	0	0	0	0	0	153	0	0	0	0	0
Domestic	-1,314	839	-1,861	153	0	0	0	0	0	153	0	0	0	0	0
Currency and deposits	-1,437	839	-1,861	153	0	0	0	0	0	153	0	0	0	0	0
Loans	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Foreign	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net incurrence of liabilities	11,862	19,832	21,194	15,108	17,814	13,283	13,288	13,291	13,364	13,422	13,413	12,400	12,092	11,957	12,442
Domestic	8,216	12,691	7,429	2,998	2,944	2,978	3,424	3,491	3,481	8,669	9,810	9,134	7,890	4,993	4,569
Foreign	3,646	7,141	13,765	12,110	14,870	10,305	9,865	9,800	9,884	4,753	3,603	3,267	4,203	6,964	7,873
Loans	3,646	7,141	13,765	12,110	14,870	10,305	-3,581	9,800	-10,932	4,753	3,603	3,267	-6,233	6,964	-7,048
Budget support, gross	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Project loans, gross	4,966	7,678	17,872	20,983	25,718	22,768	22,425	21,330	22,961	13,007	12,963	13,431	13,914	15,131	16,459
Other, gross	0	1,274	0	0	0	0	0	0	0	0	0	0	0	0	0
Amortization	-1,320	-1,811	-4,107	-8,872	-10,848	-12,463	-26,006	-11,529	-33,893	-8,255	-9,360	-10,164	-20,147	-8,166	-23,507
Debt securities	0	0	0	0	0	0	13,446	0	20,816	0	0	0	10,435	0	14,922
Financing gap	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
<i>Memorandum items:</i>															
Net Domestic Financing	9,653	11,852	9,290	2,845	2,944	2,978	3,424	3,491	3,481	8,517	9,810	9,134	7,890	4,993	4,569
Backlog of VAT refunds (stock)	3,224	1,803	4,013	5,238	9,722	9,722	9,722	9,722	9,722	5,013	5,013	5,013	5,013	5,013	5,013
Basic balance (cash basis) ²	-8,377	-11,406	-5,349	5,583	7,613	9,196	8,850	7,756	9,753	-713	-294	1,183	1,972	3,322	4,164
Basic primary balance (cash basis) ³	-2,371	-3,381	-5,133	1,601	3,309	10,277	14,464	20,055	23,963	3,025	5,775	8,230	10,362	12,215	13,632
Primary balance, excluding mining revenue (cash basis)	-10,061	-12,669	-16,456	-7,311	-8,688	-2,850	-1,391	693	1,960	-7,350	-5,958	-4,996	-5,059	-4,855	-6,247
Primary balance, excluding mining revenue (commitment basis) ¹	-16,262	-11,005	-23,350	-20,700	-10,413	-5,150	-1,391	693	1,960	-13,478	-4,008	-3,046	-3,110	-2,906	-4,297
Mining revenue	4,332	3,503	6,388	7,832	9,074	10,111	11,441	12,807	14,057	7,419	8,463	9,315	10,557	11,919	13,097
Stock of domestic debt, gross	51,979	67,300	83,913	99,428	104,304	109,811	113,486	117,253	121,035	99,046	108,259	116,917	123,664	127,593	131,185
Of which: Stock of domestic arrears	17,317	10,901	15,585	27,936	29,869	32,397	32,649	32,924	33,226	22,049	21,452	20,976	19,834	18,770	17,793
Stock of external debt, gross	79,122	94,051	134,358	187,887	229,655	267,794	299,926	331,982	361,938	160,053	176,179	190,544	200,709	213,974	227,109
Total public debt	131,101	161,352	218,271	287,315	333,959	377,605	413,412	449,234	482,973	259,099	284,438	307,460	324,373	341,567	358,294

Sources: Zambian authorities; and IMF staff estimates and projections.

¹ Adjusted for accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment, and pensions.

² Defined as total revenue minus total expenditure, excluding foreign-financed investment expenditure.

³ Defined as total revenue minus total expenditure, excluding all interest and foreign-financed investment expenditure.

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Table 2b. Zambia Fiscal Operations of the Budgetary Central Government, 2016-24
(Percent of GDP)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
Revenue	18.2	17.5	19.1	19.4	19.7	19.8	19.8	19.7	19.7	19.7	20.0	20.2	20.6	20.7	20.7
Revenue excluding grants	18.0	17.3	18.9	19.2	19.6	19.7	19.7	19.6	19.7	19.5	19.8	20.1	20.5	20.6	20.7
Tax	13.0	14.8	15.8	15.7	15.9	16.0	16.0	15.9	15.9	16.1	16.0	16.3	16.5	16.6	16.6
Tax revenues adjusted by the backlog of VAT refunds	13.5	15.4	15.0	15.3	15.9	16.0	16.0	15.9	15.9	15.7	16.0	16.3	16.5	16.6	16.6
Other revenue, including mineral royalties	5.0	2.5	3.1	3.5	3.7	3.7	3.7	3.8	3.8	3.5	3.8	3.9	4.0	4.0	4.1
Of which: Mineral royalties	1.4	1.0	1.4	1.5	1.6	1.6	1.6	1.7	1.7	1.5	1.6	1.7	1.8	1.8	1.9
Grants	0.2	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.2	0.1	0.1	0.1	0.1	0.1
Expenditure	23.9	25.0	27.4	24.2	24.8	23.3	22.9	22.6	22.4	24.1	24.0	23.6	23.6	23.5	23.3
Expense	20.2	19.4	18.8	16.8	16.4	16.4	16.4	16.5	16.3	19.0	19.1	18.8	18.9	18.8	18.5
Compensation of employees	8.7	8.1	7.8	7.7	7.6	7.6	7.5	7.4	7.3	7.9	7.8	7.8	7.7	7.7	7.7
Use of goods and services	2.3	2.4	2.8	1.6	1.5	1.4	1.4	1.4	1.4	2.3	2.3	2.3	2.5	2.5	2.5
Interest	3.4	4.0	4.6	4.9	5.2	5.3	5.5	5.8	5.8	4.4	4.8	4.6	4.4	4.4	4.0
Domestic	1.9	2.0	2.7	2.7	2.8	2.9	3.1	3.3	3.4	2.7	2.7	2.6	2.6	2.5	2.4
Foreign	1.6	1.9	2.0	2.2	2.4	2.4	2.4	2.5	2.3	1.7	2.1	2.0	1.8	1.8	1.6
Subsidies	3.6	1.9	1.1	0.6	0.5	0.6	0.5	0.5	0.4	1.8	1.5	1.5	1.4	1.2	1.2
Intergovernmental transfers	1.9	2.2	2.0	1.6	1.3	1.2	1.2	1.1	1.0	2.0	2.0	2.0	2.1	2.2	2.3
Social benefits	0.2	0.8	0.4	0.4	0.3	0.3	0.3	0.3	0.3	0.7	0.7	0.7	0.7	0.7	0.7
Net acquisition of nonfinancial assets	3.8	5.5	8.6	7.3	8.4	6.9	6.5	6.1	6.1	5.1	4.9	4.8	4.8	4.7	4.9
Of which: domestically-financed	1.6	2.4	2.0	0.6	1.0	0.9	1.1	1.5	1.6	1.0	1.0	1.1	1.2	1.2	1.4
Of which: foreign-financed	2.2	3.1	6.6	6.8	7.4	6.0	5.3	4.6	4.6	4.1	3.9	3.7	3.5	3.5	3.5
Statistical Discrepancy (-overfinancing)	-0.4	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net lending/borrowing (overall balance, cash basis)	-6.1	-7.7	-8.3	-4.8	-5.1	-3.4	-3.1	-2.9	-2.6	-4.3	-4.0	-3.4	-3.0	-2.7	-2.6
Primary balance (cash basis)	-2.7	-3.7	-3.6	0.2	0.1	1.9	2.4	2.9	3.2	0.0	0.7	1.2	1.4	1.6	1.4
Domestic arrears (- payments)	3.4	-0.1	1.7	3.9	0.5	0.6	0.0	0.0	0.0	1.7	-0.6	-0.5	-0.5	-0.4	-0.4
Backlog of VAT refunds (flow)	-0.5	-0.6	0.8	0.4	0.0	0.0	0.0	0.0	0.0	0.3	0.0	0.0	0.0	0.0	0.0
Overall balance, (commitment basis) ¹	-9.0	-7.0	-10.7	-9.0	-5.6	-4.0	-3.1	-2.9	-2.6	-6.3	-3.4	-2.9	-2.5	-2.3	-2.2
Primary balance (commitment basis) ¹	-5.5	-3.0	-6.1	-4.1	-0.4	1.3	2.4	2.9	3.2	-2.0	1.3	1.7	1.9	2.1	1.8
Financing	6.1	7.7	8.3	4.8	5.1	3.4	3.1	2.9	2.6	4.3	4.0	3.4	3.0	2.7	2.6
Net acquisition of financial assets	-0.6	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	-0.6	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	5.5	8.1	7.6	4.8	5.1	3.4	3.1	2.9	2.6	4.4	4.0	3.4	3.0	2.7	2.6
Domestic	3.8	5.2	2.7	1.0	0.8	0.8	0.8	0.8	0.7	2.8	2.9	2.5	2.0	1.1	1.0
Debt securities	2.2	5.1	3.0	1.2	0.8	0.8	0.8	0.8	0.7	3.0	2.9	2.5	2.0	1.1	1.0
Loans	1.6	0.0	-0.4	-0.2	0.0	0.0	0.0	0.0	0.0	-0.2	0.0	0.0	0.0	0.0	0.0
Foreign	1.7	2.9	4.9	3.9	4.3	2.7	2.3	2.1	1.9	1.6	1.1	0.9	1.1	1.6	1.6
Loans	1.7	2.9	4.9	3.9	4.3	2.7	-0.8	2.1	-2.2	1.6	1.1	0.9	-1.6	1.6	-1.5
Budget support, gross	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Project loans, gross	2.3	3.1	6.4	6.7	7.4	5.9	5.3	4.6	4.5	4.2	3.9	3.7	3.5	3.5	3.4
Other, gross	0.0	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization	-0.6	-0.7	-1.5	-2.8	-3.1	-3.2	-6.1	-2.5	-6.7	-2.7	-2.8	-2.8	-5.1	-1.9	-4.9
Debt securities	0.0	0.0	0.0	0.0	0.0	0.0	3.2	0.0	4.1	0.0	0.0	0.0	2.6	0.0	3.1
Financing gap	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Memorandum items:</i>															
Net Domestic Financing	4.5	4.8	3.3	0.9	0.8	0.8	0.8	0.8	0.7	2.8	2.9	2.5	2.0	1.1	1.0
Backlog of VAT refunds (stock)	1.5	0.7	1.4	1.7	2.8	2.5	2.3	2.1	1.9	1.6	1.5	1.4	1.3	1.1	1.0
Basic balance (cash basis) ²	-3.9	-4.6	-1.9	1.8	2.2	2.4	2.1	1.7	1.9	-0.2	-0.1	0.3	0.5	0.8	0.9
Basic primary balance (cash basis) ³	-1.1	-1.4	-1.8	0.5	0.9	2.7	3.4	4.3	4.7	1.0	1.7	2.3	2.6	2.8	2.8
Mining revenue	2.0	1.4	2.3	2.5	2.6	2.6	2.7	2.8	2.8	2.4	2.5	2.6	2.7	2.7	2.7
Stock of domestic debt, gross	24.1	27.3	30.0	31.7	29.8	28.5	26.8	25.2	23.8	32.3	32.4	32.1	31.1	29.3	27.4
Stock of external debt, gross ⁴	36.6	38.2	48.1	59.9	65.6	69.5	70.8	71.5	71.3	52.2	52.7	52.3	50.5	49.1	47.4
Total public debt	60.7	65.5	78.1	91.6	95.5	98.0	97.6	96.7	95.1	84.6	85.0	84.4	81.6	78.4	74.8
Nominal GDP (millions of kwacha)	216,098	246,252	279,441	313,496	349,831	385,196	423,750	464,432	507,929	306,384	334,593	364,466	397,756	435,924	479,266

Sources: Zambian authorities; and IMF staff estimates and projections.

¹ Adjusted for accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment, and pensions.² Defined as total revenue minus total expenditure, excluding foreign-financed investment expenditure.³ Defined as total revenue minus total expenditure, excluding all interest and foreign-financed investment expenditure.⁴ Public and publicly guaranteed external debt.

Table 3. Zambia: Monetary Accounts, 2016–24
(Millions of kwacha, unless otherwise indicated)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
Monetary survey															
Net foreign assets	21,881	21,985	24,810	28,689	29,775	30,897	34,900	40,259	42,168	29,006	29,669	31,124	30,566	33,418	33,803
Net domestic assets	22,686	32,100	38,187	41,834	48,503	55,263	60,775	65,666	74,845	41,342	47,932	54,420	64,012	71,559	82,962
Domestic claims	41,339	53,577	62,219	65,456	69,360	73,458	77,240	82,375	88,290	70,143	80,571	91,483	103,060	113,468	124,157
Net claims on central government	14,606	25,315	28,998	29,638	30,444	31,333	32,347	34,179	36,268	33,469	39,077	44,587	49,380	52,001	54,743
Claims on other sectors	26,733	28,262	33,222	35,818	38,916	42,125	44,894	48,195	52,022	36,674	41,494	46,896	53,679	61,466	69,414
Claims on other financial corporations	284	289	549	658	790	948	1,138	1,365	1,817	658	790	948	1,138	1,365	1,817
Claims on state and local government	74	36	67	79	115	176	258	378	513	79	94	144	211	309	419
Claims on public non-financial corporations	223	412	489	570	759	797	797	797	797	570	607	607	607	607	607
Claims on private sector	26,152	27,524	32,117	34,511	37,252	40,204	42,701	45,656	48,896	35,367	40,003	45,196	51,724	59,185	66,570
Other items net	-18,653	-21,477	-24,032	-23,622	-20,857	-18,195	-16,465	-16,708	-16,708	-28,801	-32,639	-37,063	-39,048	-41,908	-44,807
Broad money (M3)	44,567	54,085	62,997	70,523	78,278	86,160	95,675	105,926	117,012	70,348	77,601	85,544	94,577	104,977	116,764
Of which: foreign exchange deposits	...	...	...	...	...	...	...	...	...	...	...	...	...	...	...
Monetary authorities															
Net foreign assets	15,216	12,707	10,256	9,180	6,311	2,657	-1,842	-2,342	-2,875	11,987	14,919	19,257	21,389	25,235	28,366
Asset	23,315	20,726	18,827	18,465	16,210	13,331	9,668	10,059	10,393	20,238	23,229	27,747	30,119	34,274	37,726
Liabilities	-8,099	-8,019	-8,571	-9,285	-9,899	-10,675	-11,510	-12,401	-13,268	-8,251	-8,310	-8,490	-8,729	-9,040	-9,360
Net domestic assets	3,107	929	3,299	5,778	10,647	16,168	22,915	25,866	28,861	3,126	2,320	146	512	-407	-751
Net domestic claims	10,197	9,841	13,327	14,804	18,770	23,479	30,225	33,177	36,172	13,154	13,351	12,832	13,198	12,279	11,935
Net claims on other depository corporations	165	-368	30	1,401	5,091	9,419	15,710	18,388	20,763	-390	-955	-2,504	-3,113	-4,344	-5,417
Net claims on central government	9,940	10,122	13,204	13,275	13,492	13,786	14,114	14,202	14,550	13,417	14,119	15,062	15,911	16,036	16,493
Claims on other sectors	92	87	94	128	187	274	401	587	859	128	187	274	401	587	859
Other items (net)	-7,090	-8,912	-10,028	-9,026	-8,123	-7,311	-7,311	-7,311	-7,311	-10,028	-11,031	-12,686	-12,686	-12,686	-12,686
Reserve money	18,323	13,636	13,555	14,958	16,958	18,825	21,073	23,524	25,986	15,113	17,239	19,403	21,901	24,828	27,615
Currency outside banks and cash in vaults	6,551	7,415	8,292	8,661	9,223	9,714	11,892	14,438	18,376	8,640	9,143	9,644	11,756	14,309	18,337
Other depository corporation reserves	11,740	6,181	5,207	6,999	8,522	9,985	10,169	10,202	12,117	7,173	8,875	10,626	11,123	11,624	14,132
Liabilities to other sectors	32	40	56	-702	-786	-874	-988	-1,115	-1,244	-700	-780	-867	-977	-1,105	-1,241
Memorandum items:															
Reserve money (end-of-period, annual percent change)	12.8	-25.6	-0.6	10.3	13.4	11.0	11.9	11.6	10.5	11.5	14.1	12.6	12.9	13.4	11.2
Broad money (M3) (annual percent change)	-5.7	21.4	16.5	11.9	11.0	10.1	11.0	10.7	10.5	11.7	10.3	10.2	10.6	11.0	11.2
Credit to the private sector (annual percent change)	-9.4	5.2	16.7	7.5	7.9	7.9	6.2	6.9	7.1	10.1	13.1	13.0	14.4	14.4	12.5
Velocity (nominal GDP/M3)	4.8	4.6	4.4	4.4	4.5	4.5	4.4	4.4	4.3	4.4	4.3	4.3	4.2	4.2	4.1
Money multiplier (M3/reserve money)	2.4	4.0	4.6	4.7	4.6	4.6	4.5	4.5	4.5	4.7	4.5	4.4	4.3	4.2	4.2
Credit to the private sector (percent of GDP)	12.1	11.2	11.5	11.0	10.6	10.4	10.1	9.8	9.6	11.5	12.0	12.4	13.0	13.6	13.9
Gross foreign exchange reserves of the															
Bank of Zambia (millions of U.S. dollars)	2,366	2,081	1,569	1,285	1,022	766	508	490	473	1,587	1,751	2,020	2,117	2,328	2,475
Exchange rate (kwacha per U.S. dollar, end period)	...	...	...	...	...	...	...	...	...	...	...	...	...	...	...
Nominal GDP (million Kwacha)	216,098	246,252	279,441	313,496	349,831	385,196	423,750	464,432	507,929	306,384	334,593	364,466	397,756	435,924	479,266

Sources: Zambian authorities; and IMF staff estimates and projections.

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Table 4a. Zambia: Balance of Payments, 2016–24
(Millions of U.S. dollars, unless otherwise indicated)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
Current account	-685	-435	-708	-851	-792	-686	-616	-560	-489	-910	-822	-665	-574	-534	-489
Trade balance	238	960	514	417	715	889	1,025	1,156	1,230	428	811	1,002	1,140	1,256	1,344
Exports, f.o.b.	6,535	8,216	9,029	8,539	8,703	9,029	9,369	9,717	10,067	8,524	8,824	9,191	9,603	10,118	10,715
Of which: copper	4,399	6,119	6,658	6,053	6,107	6,284	6,521	6,754	6,881	6,053	6,107	6,346	6,649	7,020	7,454
Imports, f.o.b.	-6,296	-7,255	-8,515	-8,122	-7,987	-8,140	-8,344	-8,561	-8,837	-8,096	-8,013	-8,189	-8,463	-8,861	-9,371
Of which: oil	-1,220	-1,028	-1,228	-1,092	-1,048	-1,028	-1,018	-1,027	-1,046	-1,146	-1,167	-1,189	-1,220	-1,272	-1,350
Services (net)	-488	-609	-731	-733	-757	-773	-793	-810	-825	-713	-717	-718	-728	-749	-795
Income (net)	-647	-1,145	-766	-783	-991	-1,044	-1,092	-1,153	-1,146	-883	-1,182	-1,229	-1,282	-1,354	-1,370
Of which: interest on public debt	-337	-374	-567	-625	-724	-754	-768	-796	-757	-625	-708	-719	-722	-743	-704
Current transfers (net)	212	359	276	247	241	242	244	247	252	257	267	280	295	312	332
Of which: Private transfers	212	325	276	247	241	242	244	247	252	257	267	280	295	312	332
Capital and financial account	667	454	520	611	544	433	358	542	472	973	1,001	936	671	745	636
Capital account	55	58	66	69	61	55	50	45	42	72	67	63	60	57	55
Project grants	55	58	66	69	61	55	50	45	42	72	67	63	60	57	55
Financial account	612	396	454	542	483	378	308	496	430	901	934	873	612	688	581
Foreign direct investment (net)	486	1,180	537	481	669	871	1,029	1,043	1,062	600	974	1,221	1,436	1,520	1,614
Portfolio investment (net)	417	235	-238	-16	-7	23	748	-5	996	33	92	221	946	193	1,193
Financial derivatives (net)	15	68	10	9	9	9	9	9	9	9	10	10	11	11	12
Other investments (net)	-306	-1,087	145	68	-188	-524	-1,478	-551	-1,638	258	-141	-579	-1,782	-1,036	-2,238
Public sector (net)	711	1,012	1,740	1,833	1,376	907	-315	390	-717	1,288	662	524	-563	368	-664
Disbursements	864	1,144	2,189	2,773	2,224	1,740	1,251	1,100	1,103	2,228	1,510	1,356	1,000	1,050	1,103
Of which: budget support	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Amortization due	-154	-132	-449	-940	-848	-833	-1,566	-710	-1,820	-940	-848	-832	-1,563	-682	-1,767
Commercial banks (net)	-64	-154	-276	-276	0	0	0	0	0	-276	0	0	0	0	0
Other sectors	-952	-1,945	-1,319	-1,489	-1,564	-1,431	-1,163	-941	-920	-754	-803	-1,103	-1,219	-1,404	-1,573
Errors and omissions	25	31	-43	0	0	0	0	0	0	0	0	0	0	0	0
Overall balance	8	50	-231	-240	-248	-253	-258	-18	-17	62	179	272	97	210	147
Financing	542	217	444	240	248	253	258	18	17	-62	-179	-272	-97	-210	-147
Central bank net reserves (- increase)	542	217	444	240	248	253	258	18	17	-62	-179	-272	-97	-210	-147
Of which: Gross reserve change	611	290	506	284	263	256	258	18	17	-18	-164	-269	-97	-210	-147
Of which: Use of Fund resources	-69	-74	-61	-44	-15	-3	0	0	0	-44	-15	-3	0	0	0
Exceptional financing	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Financing gap	-549	-266	-214	0	0	0	0	0	0	0	0	0	0	0	0
<i>Memorandum items:</i>															
Current account (percent of GDP)	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
Total official grants (percent of GDP)	0.3	0.4	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2
Change in copper export volume (percent)	-4.8	9.7	2.8	-2.0	2.0	2.0	6.7	6.6	6.5	-2.0	2.0	3.0	6.7	6.6	6.5
Copper export price (U.S. dollars per tonne)	4,868	6,170	6,530	6,058	5,991	6,045	6,090	6,123	6,123	6,058	5,991	6,045	6,090	6,123	6,123
Crude oil price	43	53	68	66	64	61	59	58	59	66	64	61	59	58	59
Gross international reserves (millions of U.S. dollars)	2,366	2,081	1,569	1,285	1,022	766	508	490	473	1,587	1,751	2,020	2,117	2,328	2,475
In months of prospective imports	3.3	2.4	1.9	1.6	1.3	0.9	0.6	0.6	0.5	2.0	2.1	2.4	2.4	2.5	2.5
GDP (millions of U.S. dollars)	20,941	25,868	26,720	23,946	23,342	23,415	23,636	23,951	24,401	24,914	25,874	27,137	28,587	30,251	32,119

Sources: Zambian authorities; and IMF staff estimates and projections.

Table 4b. Zambia: Balance of Payments, 2016–24
(Percent of GDP, unless otherwise indicated)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2019	2020	2021	2022	2023	2024
			Prel.	Projections						Adjustment					
Current account	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
Trade balance	1.1	3.7	1.9	1.7	3.1	3.8	4.3	4.8	5.0	1.7	3.1	3.7	4.0	4.2	4.2
Exports, f.o.b.	31.2	31.8	33.8	35.7	37.3	38.6	39.6	40.6	41.3	34.2	34.1	33.9	33.6	33.4	33.4
Of which: copper	21.0	23.7	24.9	25.3	26.2	26.8	27.6	28.2	28.2	24.3	23.6	23.4	23.3	23.2	23.2
Imports, f.o.b.	-30.1	-28.0	-31.9	-33.9	-34.2	-34.8	-35.3	-35.7	-36.2	-32.5	-31.0	-30.2	-29.6	-29.3	-29.2
Of which: oil	-5.8	-4.0	-4.6	-4.6	-4.5	-4.4	-4.4	-4.3	-4.3	-4.6	-4.5	-4.4	-4.3	-4.2	-4.2
Services (net)	-2.3	-2.4	-2.7	-3.1	-3.2	-3.3	-3.4	-3.4	-3.4	-2.9	-2.8	-2.6	-2.5	-2.5	-2.5
Income (net)	-3.1	-4.4	-2.9	-3.3	-4.2	-4.5	-4.6	-4.8	-4.7	-3.5	-4.6	-4.5	-4.5	-4.5	-4.3
Of which: interest on public debt	-1.6	-1.4	-2.1	-2.6	-3.1	-3.2	-3.3	-3.3	-3.1	-2.5	-2.7	-2.6	-2.5	-2.5	-2.2
Current transfers (net)	1.0	1.4	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Budget support grants	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Sector-wide approach grants	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Private transfers	1.0	1.3	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Capital and financial account	3.2	1.8	1.9	2.6	2.3	1.8	1.5	2.3	1.9	3.9	3.9	3.5	2.3	2.5	2.0
Capital account	0.3	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2
Project grants	0.3	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2
External debt cancellation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financial account	2.9	1.5	1.7	2.3	2.1	1.6	1.3	2.1	1.8	3.6	3.6	3.2	2.1	2.3	1.8
Foreign direct investment (net)	2.3	4.6	2.0	2.0	2.9	3.7	4.4	4.4	4.4	2.4	3.8	4.5	5.0	5.0	5.0
Portfolio investment (net)	2.0	0.9	-0.9	-0.1	0.0	0.1	3.2	0.0	4.1	0.1	0.4	0.8	3.3	0.6	3.7
Financial derivatives (net)	0.1	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investments (net)	-1.5	-4.2	0.5	0.3	-0.8	-2.2	-6.3	-2.3	-6.7	1.0	-0.5	-2.1	-6.2	-3.4	-7.0
Public sector (net)	3.4	3.9	6.5	7.7	5.9	3.9	-1.3	1.6	-2.9	5.2	2.6	1.9	-2.0	1.2	-2.1
Disbursements	4.1	4.4	8.2	11.6	9.5	7.4	5.3	4.6	4.5	8.9	5.8	5.0	3.5	3.5	3.4
Of which: budget support	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization due	-0.7	-0.5	-1.7	-3.9	-3.6	-3.6	-6.6	-3.0	-7.5	-3.8	-3.3	-3.1	-5.5	-2.3	-5.5
Commercial banks (net)	-0.3	-0.6	-1.0	-1.2	0.0	0.0	0.0	0.0	0.0	-1.1	0.0	0.0	0.0	0.0	0.0
Other sectors	-4.5	-7.5	-4.9	-6.2	-6.7	-6.1	-4.9	-3.9	-3.8	-3.0	-3.1	-4.1	-4.3	-4.6	-4.9
Errors and omissions	0.1	0.1	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	0.0	0.2	-0.9	-1.0	-1.1	-1.1	-1.1	-0.1	-0.1	0.3	0.7	1.0	0.3	0.7	0.5
Financing															
Central bank net reserves (- increase)	2.6	0.8	1.7	1.0	1.1	1.1	1.1	0.1	0.1	-0.3	-0.7	-1.0	-0.3	-0.7	-0.5
Of which: Gross reserve change	2.9	1.1	1.9	1.2	1.1	1.1	1.1	0.1	0.1	-0.1	-0.6	-1.0	-0.3	-0.7	-0.5
Of which: Use of Fund resources	-0.3	-0.3	-0.2	-0.2	-0.1	0.0	0.0	0.0	0.0	-0.2	-0.1	0.0	0.0	0.0	0.0
Exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap	-2.6	-1.0	-0.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Memorandum items:</i>															
Current account (percent of GDP)	-3.3	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0	-3.7	-3.2	-2.4	-2.0	-1.8	-1.5
Total official grants (percent of GDP)	0.3	0.4	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2
Change in copper export volume (percent)	-4.8	9.7	2.8	-2.0	2.0	2.0	6.7	6.6	6.5	-2.0	2.0	3.0	6.7	6.6	6.5
Copper export price (U.S. dollars per tonne)	4,868	6,170	6,530	6,058	5,991	6,045	6,090	6,123	6,123	6,058	5,991	6,045	6,090	6,123	6,123
Crude oil price	43	53	68	66	64	61	59	58	59	66	64	61	59	58	59
Gross international reserves (millions of U.S. dollars)	2,366	2,081	1,569	1,285	1,022	766	508	490	473	1,587	1,751	2,020	2,117	2,328	2,475
In months of prospective imports	3.3	2.4	1.9	1.6	1.3	0.9	0.6	0.6	0.5	2.0	2.1	2.4	2.4	2.5	2.5
GDP (millions of U.S. dollars)	20,941	25,868	26,720	23,946	23,342	23,415	23,636	23,951	24,401	24,914	25,874	27,137	28,587	30,251	32,119

Sources: Zambian authorities; and IMF staff estimates and projections.

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Table 5. Zambia: Financial Soundness Indicators, 2008–18
(Percent, unless otherwise indicated)

	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018 Dec
Capital adequacy											
Regulatory capital to risk-weighted assets	18.6	22.3	22.1	19.2	21.3	26.8	27.0	21.2	26.2	26.5	22.1
Tier 1 regulatory capital to risk-weighted assets	15.7	18.9	19.1	16.8	19.4	24.5	24.6	19.2	23.4	24.5	20.1
Capital to total assets	9.9	11.2	10.4	10.2	12.0	14.1	15.1	12.2	13.5	12.6	12.3
Asset quality											
Past due advances (NPL) to total advances	7.2	12.6	14.8	10.4	8.1	7.0	6.1	7.3	9.7	11.5	11.0
Loan loss provisions to nonperforming loans	104.6	86.6	80.3	76.7	73.5	83.2	76.5	70.5	71.5	69.2	86.4
Bad debt provisions to advances	6.1	10.9	11.9	8.0	6.0	5.8	3.9	4.6	5.6	8.0	9.5
Loan concentration											
<i>Of Which</i>											
Households	30.1	30.9	32.2	30.8	34.3	34.5	36.0	30.2	28.7	28.8	29.0
Government and parastatals	1.9	3.1	4.6	4.7	3.9	2.1	4.3	3.0	4.8	5.4	7.5
<i>Sectoral Breakdown</i>											
Agriculture	16.0	19.0	17.6	17.7	22.6	20.2	16.6	17.3	17.0	20.3	16.8
Mining	5.0	4.0	3.2	4.2	5.7	6.6	5.0	6.4	6.3	7.5	7.1
Manufacturing	11.0	12.0	12.7	12.2	11.3	9.5	11.5	13.5	12.8	8.2	9.2
Construction	4.0	3.0	5.8	4.2	3.7	3.5	3.4	3.4	3.9	3.7	3.0
Services	9.0	8.0	7.0	7.1	3.9	4.1	2.5	2.7	1.8	2.4	4.2
Others	55.0	54.0	53.7	54.6	52.8	56.1	61.0	56.7	58.2	58.1	59.8
Earnings and profitability											
Return on average assets	3.6	2.1	2.9	3.7	3.9	3.4	3.7	2.8	2.5	3.1	3.0
Return on equity	20.8	9.4	12.1	25.5	20.8	18.2	17.3	13.1	12.3	15.4	14.7
Gross interest income to total gross income	66.6	65.1	58.6	59.3	61.3	64.5	66.4	67.1	68.6	69.0	67.9
Gross noninterest income to total gross income	33.4	34.9	41.4	40.7	38.7	35.5	33.7	32.9	31.4	31.0	32.1
Net interest margin	10.4	10.7	9.0	8.1	8.4	8.3	8.5	8.2	8.7	9.1	9.1
Liquidity											
Liquid assets to total assets	35.5	38.0	43.8	40.3	36.0	38.9	35.8	34.8	39.1	45.5	47.0
Liquid assets to total deposits	49.9	52.6	58.5	53.3	49.0	52.6	49.8	47.9	54.2	56.5	57.0
Advances to deposits ratio	66.3	60.1	53.1	57.1	66.0	61.4	62.0	56.4	50.0	45.2	47.3
Exposure to foreign currency											
Foreign currency loans to total gross loans	42.1	36.4	32.8	39.1	28.7	25.6	29.0	36.9	35.7	41.6	44.5
Foreign currency liabilities to total liabilities	35.8	38.0	39.6	39.0	22.9	30.4	32.1	48.9	45.0	44.0	46.6
Net open position in foreign exchange to capital	6.9	2.5	4.1	5.5	2.8	3.6	1.6	4.7	0.8	1.4	1.7

Source: Bank of Zambia.

Annex I. Main Recommendations of the 2017 Article IV Consultation and FSAP

Main Recommendations of the 2017 Article IV Consultation	
Fiscal Policy	
Recommendations	Status
Debt sustainability. Lower the debt level, including by restraining external non-concessional borrowing, in order to move from high to moderate risk of debt distress rating.	Not implemented. The debt stock increased by about 10 percent of GDP in 2018 and DSA continues to show a high risk of debt distress.
Fiscal consolidation. Reduce the overall fiscal deficit.	Not implemented. The fiscal deficit widened significantly as there were large spending overruns on capital outlays, compounded by continued arrears on VAT refunds and suppliers' credits.
Revenue mobilization. Increase domestic revenues by broadening VAT and CIT tax base, introduce land titling, reducing widespread exemptions/incentives.	Not implemented.
Fuel prices. Recover importation and procurement costs in the supply value chain and reflect changes in international prices and the exchange rate.	Implemented. The Energy Regulatory Board has been reviewing fuel prices every sixty days and has changed the fuel prices when needed to recover procurement costs.
Public investment management. Prioritize infrastructure projects in line with absorptive capacity by setting up an institutional framework for approval of public investment projects, including for large projects.	Not implemented. The government has continued to approve public investment projects without implementing a proper framework for coordinating and managing the identification, preparation, appraisal and implementation of public investment projects to ensure efficiency and value for money.
Public Financial Management. Roll out IFMIS, enhance commitment controls, and implement the Treasury Single Account (TSA) to strengthen transparency and accountability and reduce the risk of accumulating arrears.	Partially implemented. IFMIS was rolled out. However, purchase orders on goods and services are issued outside IFMIS, and expenditure overshooting and arrears accumulation point to weak expenditure controls. There remain a large number of accounts and significant balances outside the TSA (1-2 percent of GDP) held at commercial banks by government entities.

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Main Recommendations of the 2017 Article IV Consultation (Concluded)	
Public Financial Management legislation. Improve transparency and credibility of fiscal policy.	Ongoing. The approval in April 2018 of the new Public Finance Management Act needs to be complemented by approving other critical legislation such as the Planning and Budgeting Bill, the revisions to Loan and Guarantees Act, and the Public Procurement Act.
Monetary and Financial Sector Policies	
Recommendations	Status
Monetary policy stance. Maintain a relatively tight monetary policy stance and rebuild reserves buffers.	Partially implemented. BoZ kept its tight monetary stance in 2017, but started unwinding its stance in 2018, in line with reduced inflationary pressures. Reserves have continued to decline, largely reflecting higher external debt payments and a widening current account balance. In May 2019, the BoZ increased its policy rate to 10.25 percent.
Monetary Policy Framework. Grant BoZ formal operational independence to pursue price stability as its primary mandate by amending the BoZ Act.	Ongoing. The amended draft BoZ Act addresses issues related to operational independence of the BoZ and is currently with the Ministry of Finance.
Bank supervision. Strengthen banking supervision capacity and enhance its crisis preparedness.	(See discussion of FSAP.)
Energy Sector	
Recommendation	Status
Finalize the energy sector Cost of Service Study.	Not implemented. Having enacted an interim electric tariff increase of 75 percent for 2017, the Government initiated a Cost of Service Study (COSS) in May 2017, to inform the next adjustment to attain full cost recovery in electricity pricing and pave the way for a reform of the power sector. The COSS has not been yet completed. A ZESCO-proposed a tariff increase was declined in May.

Main Recommendations of the 2017 FSAP	
Recommendations	Implementation Status
Upgrade the BoZ and Banking (BFSA) Acts to grant BoZ operational independence, provide for Basel II–III standards, sole BoZ licensing powers, setting down broad supervisory principles and leaving the details for regulations.	In progress. The new BFSA and the amended draft BoZ Act addresses issues related to operational independence, Basel II/III standards, and licensing. The BFSA has been streamlined and the BoZ is currently working on a number of regulations to operationalize the Act.
Complete onsite inspections of all banks and nonbanks and conduct an asset quality review that focuses on the loan classification process.	Largely completed. All banks except three (accounting for 4.7 percent of total banking sector assets) and 60 percent of NBFIs have been examined and asset quality review completed.
Introduce a regular cycle of onsite inspections on a risk basis, informed by offsite analysis.	In Progress.
Implement a centralized, structured, relational database for banking supervision and stress testing.	Completed. The Bank supervision system is currently in use as a centralized data base system for the Banking and Supervision Department.
Urgently increase staff resources, in number and expertise, in an orderly and manageable fashion.	Largely completed. Several new staff have already been added and recruitment is underway for a few vacant positions. Priority is being given to capacity building.
Introduce a consolidated supervision regime and BoZ implement the new risk-based approach to onsite supervision.	In Progress.
Introduce proactive information sharing by BoZ with home supervisors of Zambian banks and ensure that BoZ is involved in resolution plans of parents of Zambian banks.	In Progress. The BoZ has started to engage the home regulators on resolution plans for parent banks by ensuring that it is part of the agenda items for Supervisory Colleges.
Issue risk management directives incorporating concentration and cross-border exposure limits.	In progress. Draft to be issued soon.
Strengthen the Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) legal framework and terrorist financing offense, in line with the Financial Action Task Force (FATF) standards.	In 2017, the BoZ revised and strengthened the AML/CFT legal framework and subsequently issued directives which apply to all reporting entities licensed or designated by the BoZ.
Stipulate exceptional nature of ELA in regulatory texts and establish adequate statutory safeguards to prevent the BoZ from providing solvency support.	In progress. The BoZ Act is undergoing review.
Include purchase and assumption, bridge bank, and bail-in resolution provisions in new BFSA.	Largely implemented. Other than bail-in, the proposed resolution recommendations have been addressed in the 2017 BFSA. However, a request has been made to amend the 2017 BFSA to enable the above measures to be affected without BoZ taking possession of the bank.

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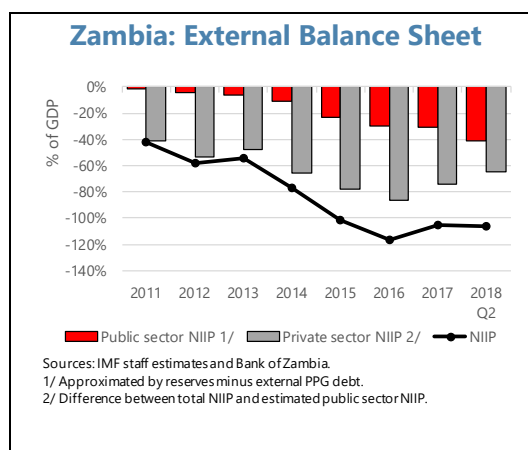
Main Recommendations of the 2017 FSAP (Concluded)	
Refine Draft Deposit Protection Scheme (DIS) Bill in line with IADI norms.	In progress.
Introduce DIS law only once the preconditions for deposit protection are fully in place, as per IADI norms.	In progress. The BoZ is working on a problem bank resolution regime to deal with banks with supervisory weaknesses and strengthen their performance, as precondition for deposit protection. A Draft problem bank management and resolution framework has been developed and is expected to be finalized before end-2019.

Annex II. External Sector Assessment

Zambia's external position weakened in 2018 along with deteriorating fundamentals as the current account deficit widened and the foreign exchange (FX) reserves declined to less than two months of import cover. A large exchange rate depreciation in September reflected both weaker fundamentals (wider fiscal imbalances and deteriorated terms of trade) and negative market sentiment following Zambia's sovereign rating downgrades amid the broader pressures on emerging markets in late 2018. The currency stabilized toward the end of the year but weakened further this spring. The rapidly increasing public sector external indebtedness and declining FX reserves suggest that pressures on the real exchange rate may persist from a balance sheet perspective. However, the real exchange rate based on the REER model is estimated to be broadly in line with its norm at end-2018,¹ and the regression-based EBA-lite current account model finds no evidence of a clear external sector misalignment. With conflicting signals between different approaches, the external position is assessed by staff to be moderately weaker than fundamentals and desirable policies on the basis of the deteriorated external balance sheet driven by the buildup of public debt. A steadfast fiscal adjustment, accompanied by ongoing reforms to improve structural competitiveness, is needed to strengthen external positions going forward and address the underlying causes of the external imbalances.

External Balance Sheet

1. **Zambia's net international investment position (NIIP) has started to stabilize after having deteriorated rapidly since the early 2010s.** Zambia has been a net debtor since 2011 and its NIIP registered –106 percent of GDP at end-June 2018 (latest available official statistics).² It consisted of 27 percent of GDP in foreign assets (largely reserve assets and currency and deposits held overseas by resident mining companies) and 134 percent of GDP in foreign liabilities – largely FDI liabilities (76 percent of GDP) and foreign borrowing of the public sector. However, the sectoral composition has shifted with rapidly increasing public sector external indebtedness replacing private sector foreign liabilities.



2. **Zambia's large negative NIIP poses a significant risk to external sustainability and points to a need for current account adjustment.** The deterministic balance-sheet approach of the EBA-lite methodology indicates that a real effective exchange rate adjustment over the medium-term is needed to improve the trade balance to stabilize the NIIP at its end-June 2018 level (–106 percent of GDP) assuming no policy adjustment. Stabilizing the NIIP at a lower and more sustainable level (e.g. at its 2011-14 average level of –58 percent of GDP) would, ceteris paribus, imply a larger real exchange rate adjustment. This assessment is, however, very sensitive to the assumptions on the rates of return on foreign assets and liabilities (for

¹ There is also no evidence of a parallel exchange rate market in Zambia

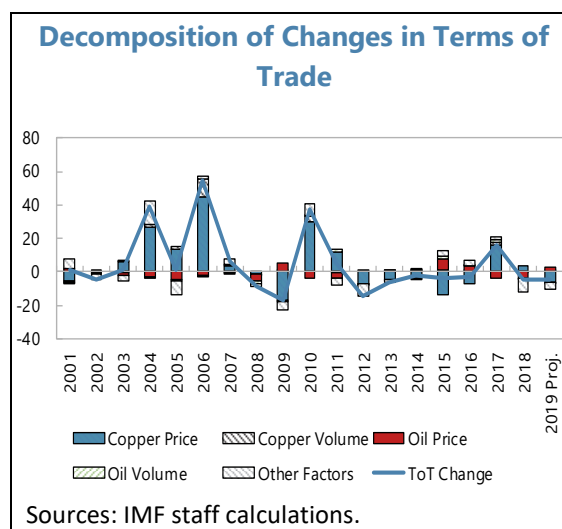
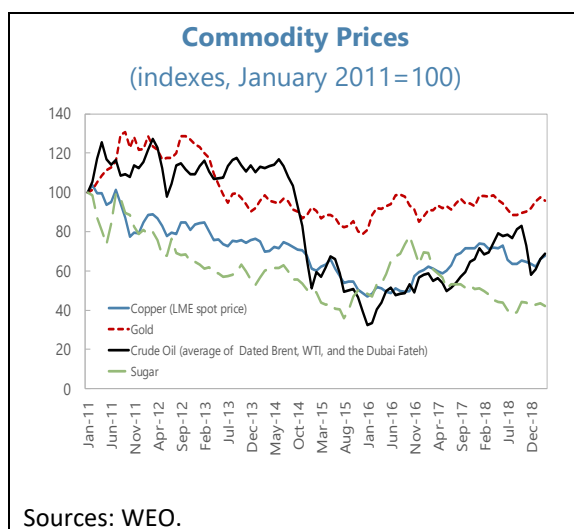
² Comparable IIP statistics are not available for the pre-2011 period.

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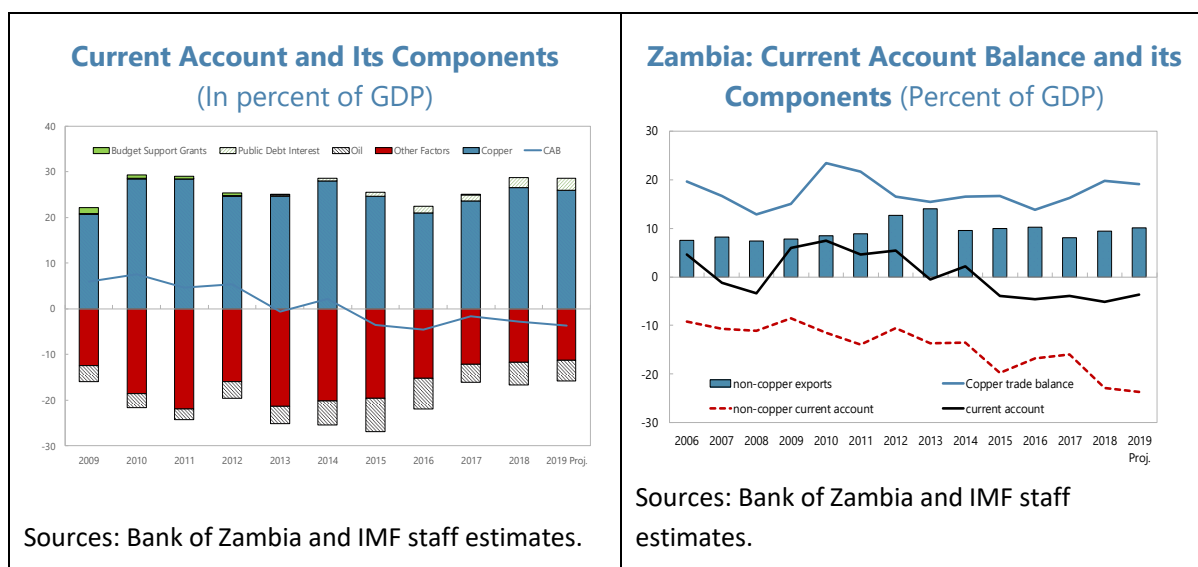
which supporting data are scarce and of poor quality) especially when the gross assets/liabilities positions are large.³ Nevertheless, with large fiscal imbalances expected to continue pressing down the NIIP going forward, a decisive adjustment to reduce the public sector's external indebtedness is needed to directly tackle the balance sheet mismatch which cannot be easily resolved by an exchange rate adjustment.

Current Account

3. **Zambia's external current account deficit widened modestly in 2018 as foreign-financed public investment project-related imports and interest payments increased.** The current account has moved into deficit since 2015 and registered a 2.6 percent of GDP deficit in 2018. Copper prices declined in the course of 2018 while oil prices were broadly unchanged on average, leading to deteriorated terms of trade. Rising interest payments on public debt as well as elevated non-oil imports (including those related to large foreign-financed public investment projects) have exerted pressure on the non-copper current account. The current account deficit is expected to widen again in 2019 absent policy change before gradually declining as large project-related imports unwind and the negative repercussions of government arrears accumulation contribute to import compression.



³ Given the large exchange rate adjustment need implied by the deterministic approach, a complementary probabilistic assessment to construct the distribution of needed REER adjustments to deliver external sustainability seems warranted but is practically difficult to implement given the data limitations.



4. **The current account deficit at end-2018 was broadly in line with its EBA-lite norm.** The current account approach of the EBA-lite methodology considers external balance determinants including (i) policy variables; (ii) non-policy fundamentals; and (iii) cyclical factors. The desirable fiscal policy stance is assumed to be -2.2 percent of GDP over the medium-term. On this basis, the CA approach estimates a multilaterally consistent cyclically adjusted CA norm of -2.9 percent of GDP and an insignificant CA gap of -0.2 percent of GDP in 2018. While large fiscal imbalances (evidenced by a negative fiscal policy gap) contributed to external imbalances, there are positive but undesirable policy gaps in other areas including subdued private credit growth and impaired social safety net (proxied by public health expenditure). These offsetting factors (between the public sector and private sector's savings and investment balances) explain the current account's broad alignment with fundamentals and desirable policies. However, to gradually rebuild FX reserves (currently well below adequate) against subdued capital inflows absent major change in sentiment, the external position needs to be strengthened going forward. Under current policies, the external imbalances are projected to further widen in the near-term, putting pressure on the real effective exchange rate.

Zambia: Real Effective Exchange Rate (REER) Gap					
(percent of GDP)					
	Norm	Actual/Proj.	Gap	Elasticity	REER gap ¹
1. Current account model (cyclically-adjusted)	-2.9	-3.0	-0.2	-0.28	0.6%
2. Real effective exchange rate model (index)	93.6	89.1	n.a.	n.a.	-4.9%
3. External sustainability approach					
Stabilizing IIP at current level (2018Q2, -106% of GDP)	7.0	-2.4	-9.4	-0.28	34.0%

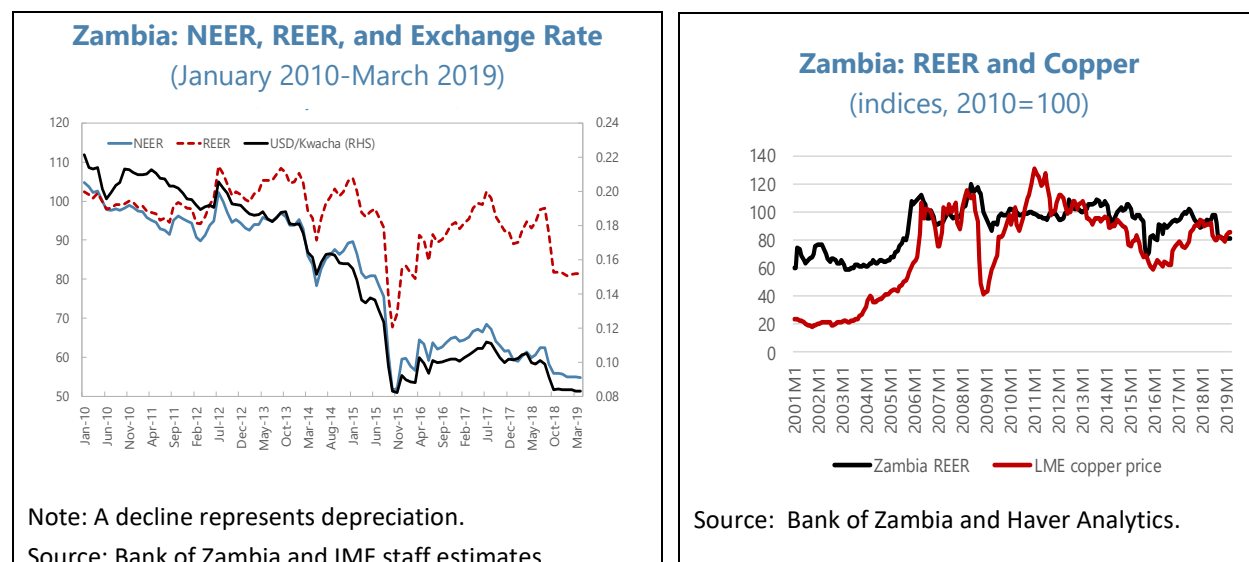
¹ A positive number indicates overvaluation.

Real Exchange Rate

5. **After a relatively calm era following the sharp depreciation in 2014/15, the currency came under renewed pressure in late 2018.** The exchange rate depreciated by 20 percent against the U.S. dollar in September 2018, reflecting both weakened fundamentals (widened fiscal imbalances and deteriorated terms of trade) and weakened confidence following the sovereign rating downgrades by all the three major rating agencies. Unlike during the 2014/15 episode, the

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Bank of Zambia did not intervene in the market or respond to the sharp depreciation by tightening the monetary stance. The REER recent depreciation is expected to contribute only gradually and marginally to improving the current account (with a limited impact on mostly dollar-denominated exports and larger impact on imports through both price and income channels), assuming a large but not full pass-through of depreciation to inflation with a lag.

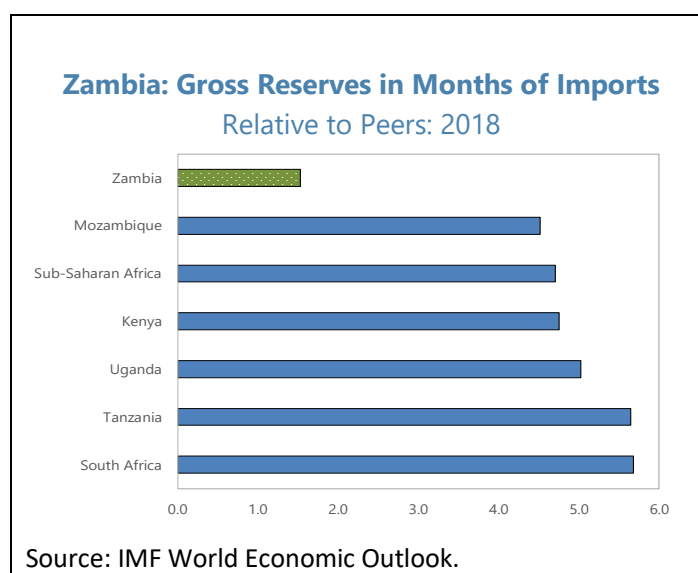
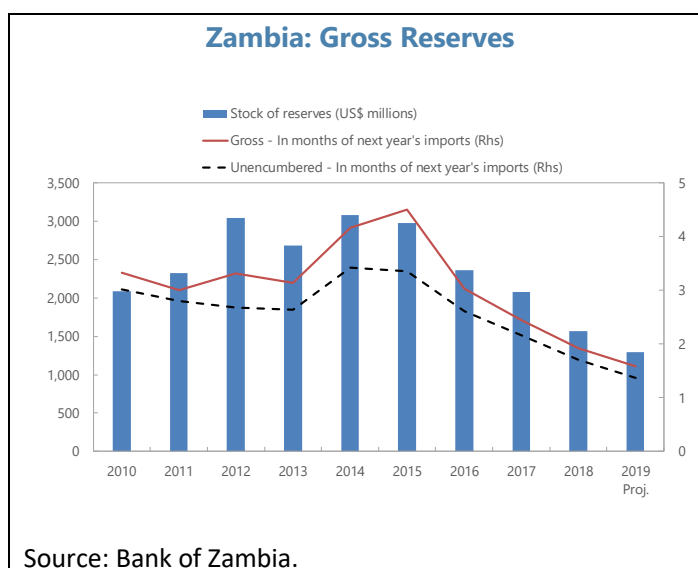


6. **The EBA-lite REER approach suggests that the real effective exchange rate was broadly in line with its equilibrium level at end-2018.** The REER model assumes that actual real interest rate will converge to a value that is consistent with inflation and output stabilization needs in the near-term. Staff estimates this to be 3½ percent for Zambia (the current difference between the policy rate and the inflation rate is about 2¾ percent). Under these assumptions, the REER is estimated to be roughly 5 percent lower than its equilibrium value (within the 95 percent confidence interval). The REER is also found to be broadly in line with the price developments of copper, Zambia's major exporting commodity.

Reserves

7. **Zambia's reserves buffer has further deteriorated as external imbalances widened.** Export earnings recovered somewhat compared to 2017 benefiting from higher average copper prices while FDI declined due to uncertainties around the macro outlook. Foreign exchange outflows were largely driven by external debt payments which have increased significantly. The Bank of Zambia has continued opportunistic purchases of foreign exchange in the FX market to support reserves and instructed mines to pay mineral royalty directly to the central bank in foreign currency. However, the opportunistic FX purchases were deterred by pressures on the kwacha during the episodes of large depreciation in September 2018 and May 2019, and international reserves declined by more than \$500 million in 2018 and a further \$200 million between January and May 2019.

8. **The current reserves level is below what can be considered adequate.** At US\$1.4 billion it provides 1¾ month import cover, significantly lower than in several of its peers, including those with relatively more diversified exports products and markets. Zambia's reserves holdings are mainly for precautionary purpose (consumption smoothing in the event of shocks), preventing disorderly market reactions, and cover against capital flight. Zambia's heavy reliance on copper exports and the need to protect against current account shocks driven by volatility in copper prices suggest a higher reserves buffer than the three-month rule may be needed. Indeed, a cost-benefit analysis developed by Fund staff for low-income countries suggests an optimal level range of 3½-4 months of current year's imports.⁴ On a different metric, the current reserves level provides just about a full year coverage of external debt payments (which have been rapidly rising; discussed in detail in the DSA). In relation to broad money, another common measure for reserve adequacy against capital flight (of residents), the current reserves level provides an 80 percent coverage. Non-resident holdings of domestic currency debt had increased rapidly during 2016-17 (currently at about \$670 million) in response to attractive yields and relative stability in exchange rate but now could be susceptible to reversal, posing a risk to the balance of payments given the relatively low level of reserves.

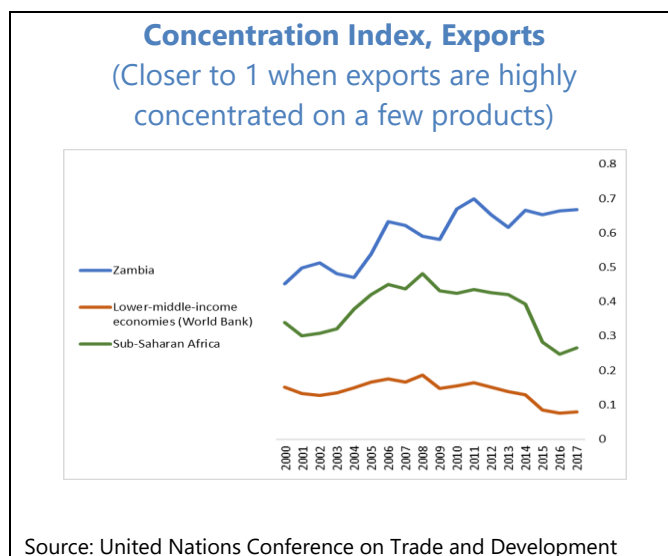


⁴ The assessment attempts to balance the absorption smoothing benefits of reserves in the event of adverse shocks against the opportunity cost of holding reserves, taking into account country specificities including the exchange rate regime, fiscal balance, institutional quality, the nature of external drains and degree of access to international capital markets. For details, refer to IMF Working Paper 11/249 "Optimal Precautionary Reserves for Low-Income Countries: A Cost-Benefit Analysis".

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Assessment of Structural Competitiveness

9. **Zambia's exports are heavily concentrated in a few products.** The exports concentration index, prepared by the United Nations Conference on Trade and Development,⁵ indicates that Zambia's exports are much less diversified than the average Sub-Saharan Africa level. Copper exports represent around 70 percent of the total exports, which makes exports highly vulnerable to fluctuations in copper price. Exports of agricultural products account for most of the remainder (over 20 percent of all exports).



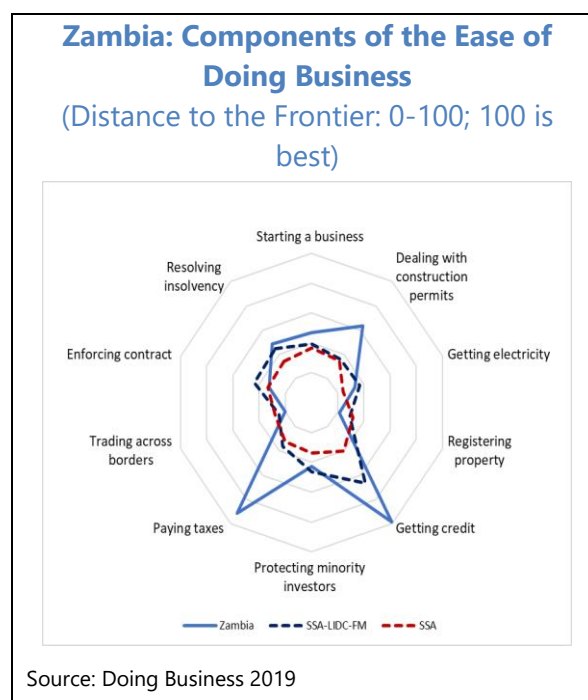
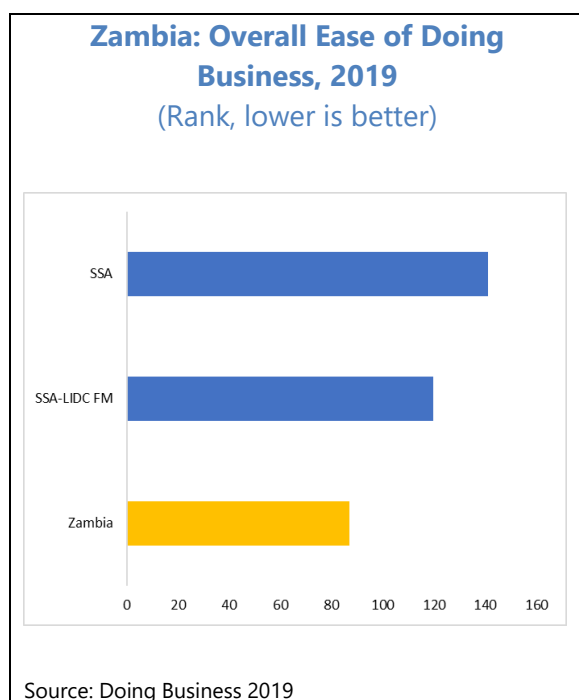
10. **Reforms already undertaken have improved the underlying framework for business in several areas and set a sound basis for improving structural competitiveness with resolution of current pressures.** Notable improvements were registered in Zambia's Doing Business Indicators in recent years. For 2019, Zambia ranks higher on Overall Ease of Doing Business than the Sub-Saharan Africa (SSA) average and the SSA Low-Income Developing Countries Frontier Markets⁶ (SSA-LIDC FM) average. Earlier reforms have helped improve frameworks for credit access and tax payment. Weaker areas on business environment include trading across borders, registering property, and enforcing contracts.⁷ According to the World Economic Forum Global Competitiveness, for 2017–2018, the main constraints to doing business as perceived by investors were access to financing, corruption and tax rates.⁸

⁵ The UNCTAD export concentration index is a normalized Herfindahl-Hirschmann index which takes values between 0 and 1. The Herfindahl-Hirschmann index is estimated as the sum of the squares of the export shares of the products. 1 corresponds to a high concentration of exports on a few products, and 0 corresponds to a perfect diversification among a series of products.

⁶ The Doing Business Indicators for a calendar year are published the year before. These indicators should be interpreted with caution due to a limited number of respondents, a limited geographical coverage and some standardized assumptions on business constraints and information availability. SSA Low-Income Developing Countries Frontier Markets include Cote d'Ivoire, Ghana, Kenya, Mozambique, Nigeria, Senegal, Tanzania, Uganda, and Zambia.

⁷ For more details, see the 2019 Doing Business Report.

⁸ Results from the World Economic Forum's Executive Opinion Survey. Caution is required when interpreting these results, as they may be affected by recording errors, information availability, and sample size.



11. **With a resolution of current uncertainties, improvement in the business climate will boost competitiveness and attract investment.** The reforms initiated by the Zambian government to address weaknesses in competitiveness and improve governance include reforms on: access to credit (use of moveable collateral to access finance); tax payments (introduction of an online platform for filling and paying taxes); trading (implementation of a web-based data management system); and contract enforcement (online availability of commercial matters judgements at the appellate and supreme court levels). Improving efficiency in the petroleum product procurement system would cut fuel cost and enhance competitiveness. In the mining sector, establishing a mining tax regime in line with international best practices would provide a better business environment for mining investors.

12. **Structural reforms to enhance the diversification of export products would improve resilience to external shocks.** With a potential market from surrounding countries facing maize deficits, developing and modernizing agriculture in Zambia would enhance exports and benefit to the maize sector. Establishing a more stable and predictable regulation on maize exports by improving the regulation of maize exports and limiting the role of the Food Reserve Agency in the marketing of maize could attract more private investors. The savings from better management of farm subsidy programs could be used to invest in measures to enhance crop yields and long-term competitiveness.

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Annex III. Risk Assessment Matrix

Source of Risk	Relative Likelihood	Impact if realized	Policy Response
Domestic Risks			
Delayed/insufficient fiscal adjustment particularly ahead of elections.	H	H. Continued accumulation of domestic arrears would increase stress on the financial sector through higher NPLs and hamper private sector activity. Domestic refinancing risks for government securities would increase. Uncertainty over VAT status as well as refunds could hurt revenue collection and exacerbate the fiscal deficit, while weakening incentives for new investment slowing down FDI inflows. Non-resident exit from government domestic securities market would adversely impact reserves and further pressure the exchange rate. Debt sustainability would be placed in even greater jeopardy. Significant downward pressures on growth.	Implement credible fiscal adjustment measures, remove unnecessary exemptions to widen the tax base and increase domestic revenue; consolidate capital expenditures by prioritizing infrastructure projects and postponing those with less growth impact and those not aligned with development priorities; reduce public sector wage bill by restricting new hires to priority sectors.
Continued drought	M	H. Adverse impact on agriculture sector and on the poor; higher food price inflation; reduced agricultural exports (maize); higher spending on social safety nets and on subsidies (Farmer Input Support Program); negative impact on hydropower generation; and downward pressures on growth.	Provide effective support to vulnerable impacted populations; diversify food crops away from maize to crop varieties that better aligned to the shortened rainy seasons; consider medium-term strategies such as reservoir dam to help regulate water flow to main dams during high or low rain periods. Tighten monetary policy if second-round inflationary effects are significant.

Rising social tensions	M	M. Public sector salary arrears to employees result in strikes; Negative impact on investor confidence.	Implement orderly fiscal adjustment notably by increasing domestic revenue, reducing capital expenditures and containing the wage bill to avoid arrears; set up arrears clearance plan.
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External Risks ¹			
Sharp tightening of global financial conditions	H	H. Higher debt service on external debt and higher refinancing costs and risks. Loss of reserves, pressure on the kwacha. Worsening debt position.	Implement fiscal consolidation measures notably increasing domestic revenue, cutting unproductive spending and prioritizing capital spending. Rebuild fiscal and external buffers.
Weaker-than-expected global growth: China: Intensification of trade tensions and/or housing market downturn leading to slowdown not fully offset by policy easing; Delayed deleveraging in the near term causing capital outflows and exchange rate pressures; insufficient progress in rebalancing growth and in deleveraging in the medium term. EU: Disorderly Brexit causing market disruption and negative spillovers; Weak foreign demand causing delayed investment coupled with low confidence and	M/H M H	H. Reduced demand for Zambia's exports notably copper leading to widening trade deficit, loss of foreign reserves and increased pressure on the kwacha; Negative impact on debt sustainability.	Accelerate reforms enhancing export competitiveness and diversify the economy to build resilience against external shocks; enhance regional integration including through existing SADC and future AfCFTA protocols; Maintain exchange rate flexibility. Implement fiscal adjustment to rebuild fiscal and external buffers.

¹ Based on the February 2019 update of the Global Risk Assessment Matrix.

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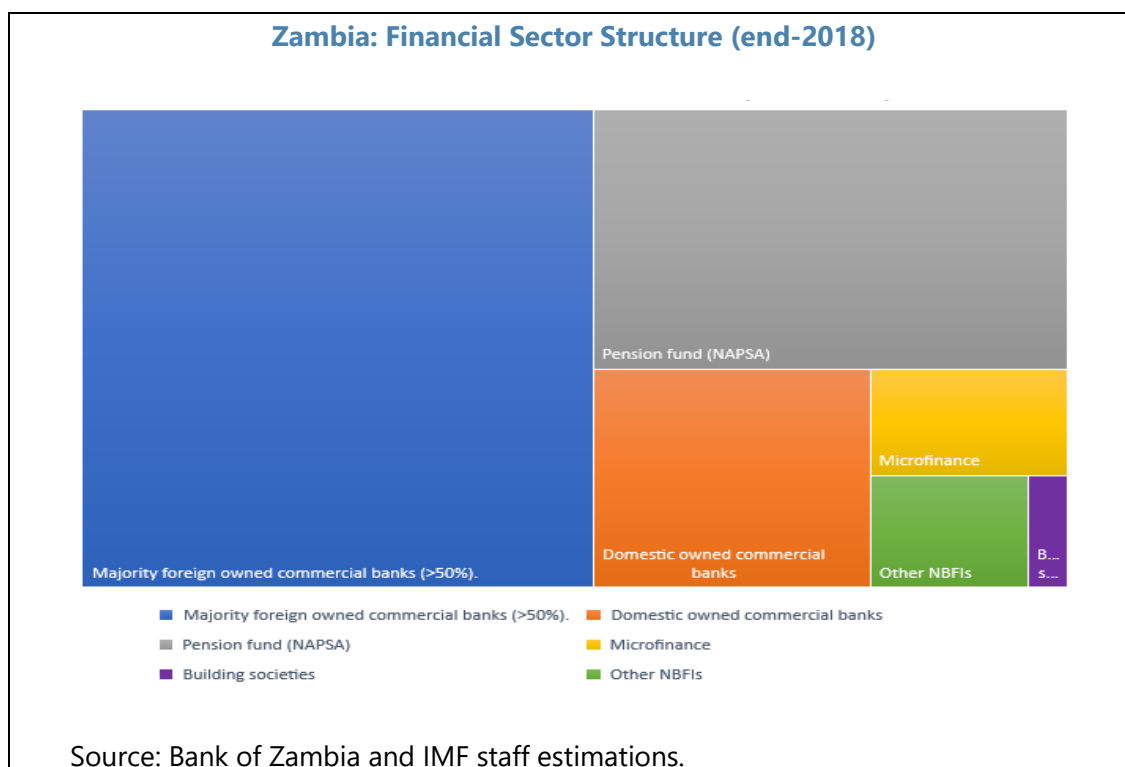
consumption; Lack of discipline regarding common fiscal rules and high sovereign yields for high debt countries leading to bleaker medium-term prospects.			
Rising protectionism and retreat from multilateralism; escalating trade tensions.	H	H. Reduced demand for Zambia's exports notably copper leading to widening trade deficit, loss of foreign reserves and increased pressure on the kwacha; negative impact on debt sustainability.	Accelerate reforms enhancing export competitiveness and diversify the economy to build resilience against external shocks; maintain exchange rate flexibility. Implement fiscal consolidation to rebuild buffers.
Volatility in global copper prices	M	H. Lower export earnings and increased pressure on the exchange rate.	Accelerate reforms to diversify the economy to build resilience against external shocks; maintain exchange rate flexibility.
Spillovers of the regional security situation	H	H. A deterioration of the security situation in neighboring countries would result in inflow of displaced population/refugees and higher security and humanitarian costs.	Prepare contingency plans for refugee influx in coordination with UNHCR and other humanitarian agencies.

Annex IV. Macro-Financial Linkages

High levels of domestic arrears and government financing needs are crowding out credit to the private sector and contributing to an elevated level of NPLs. Direct and indirect exposure from the sovereign to the financial sector is high. While the financial sector so far remains resilient, a significant deterioration in macroeconomic outlook or continuous increase in sovereign stress could negatively impact financial stability and trigger a shock to the economy.

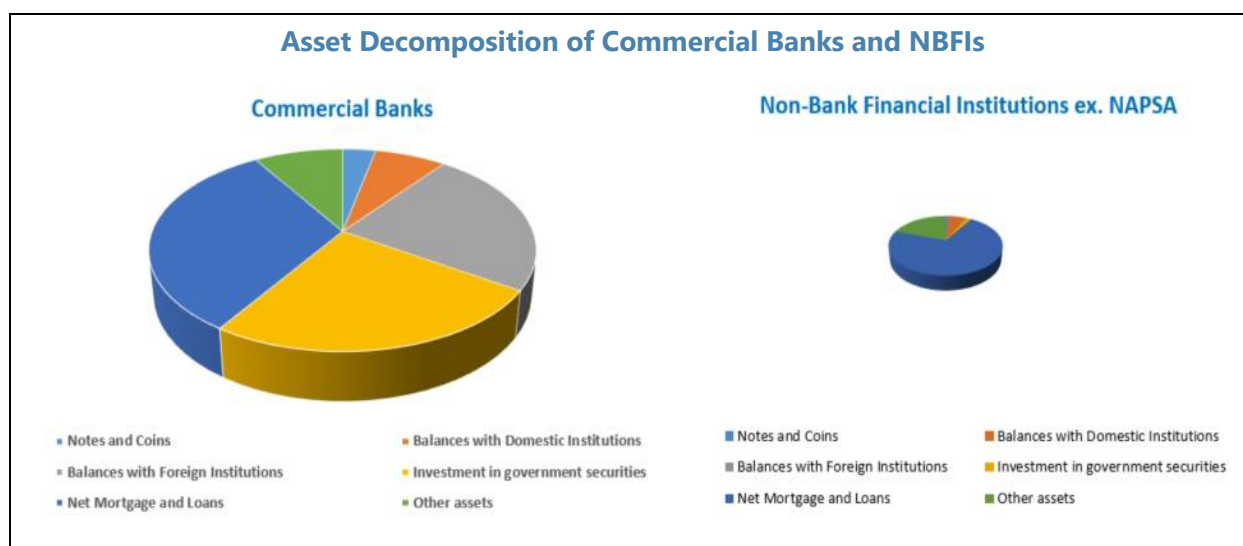
Financial Sector Overview

1. **Zambia's financial sector is relatively underdeveloped and mainly dominated by commercial banks and the state-run pension fund (NAPSA).** The 18 registered commercial banks account for about 70 percent of total financial sector assets; the majority are foreign-owned. The non-bank financial institutions (NBFIs) sector is dominated by government-run National Pension Scheme Authority (NAPSA) which accounts for around 75 percent of NBFI assets. NAPSA was established in 2000 and has a growing pool of assets (around 30 billion Kwacha at end-2018), playing an important role in the domestic government securities market and investment activities. Other NBFIs are the 35 MFIs, 80 bureaux de change and some building societies, leasing companies and development finance institutions.



2. **MFIs play a vital role in financial inclusion.** In contrast to commercial banks, which invest in government securities or foreign assets, MFIs are mainly focused on domestic payroll-based lending activity. Although small by value, they provide a large number of credit arrangements.

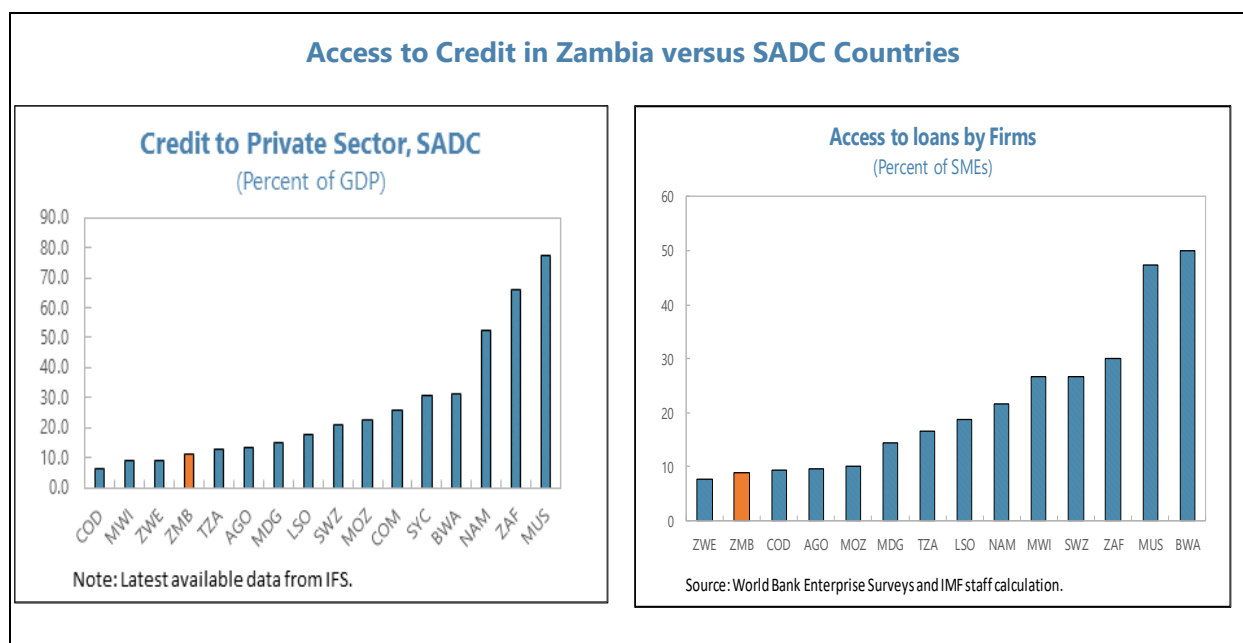
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3. **Credit to the private sector remains low compared to the South African Development Community (SADC) countries and mainly concentrated in personal loans and the agricultural sector.** Zambia witnessed intensified pressures on private sector credit growth during the 2015-16 crisis owing to slower GDP growth, sharply lower copper prices, electricity shortages, tight monetary policy and mounting fiscal arrears. Private sector credit declined from 15¾ percent of GDP in 2015 to around 11½ percent in 2018 and remains considerably lower than the average of SADC countries. High and growing domestic arrears to suppliers, elevated levels of NPLs, and rising lending rates are contributing to subdued private sector lending activity.

4. **Although individual financial inclusion has expanded in recent years, access to finance for SMEs has worsened.** Zambia has made significant progress in improving both access and usage of formal and informal financial services since 2010, but still lags its peers: 59 percent of adults make use of financial services (formal or informal), while around 38 percent of adults have a formal transaction account¹. There are significant disparities in financial inclusion between rural and urban areas, men and women, youth and adults, and between SMEs and large firms. Financing for SMEs remains extremely challenging: a high share of SMEs face loan rejections, and where credit is available, nominal lending rates are significantly higher than for the larger firms. Given these constraints, access to loans by firms in Zambia remains one of the lowest amongst SADC countries.

¹ Source: Zambia's National Financial Inclusion Strategy 2017-22. These levels are below peer SSA countries such as Botswana, Kenya, Namibia, South Africa, Tanzania, Uganda, Zimbabwe,



Financial Sector Stability

5. **Financial conditions and performance of the banking sector remains broadly resilient, but stress is emerging.** Although capital adequacy ratios have decreased since last year, they remain well above the minimum prudential requirement of 5 percent and 10 percent for the primary and total regulatory capital respectively and remain adequate to absorb unexpected losses. Earning performance has been improving and level of non-performing loans (NPLs) has been gradually declining since early-2018, although NPLs remain sticky around the 10% prudential benchmark. Liquidity in the banking sector remains satisfactory, but the high share of placements abroad poses risks. On average, placements abroad constitute about half of the total liquid assets of commercial banks. The significant placements abroad are partly due to the substantial amount of foreign currency denominated deposit liabilities which are not entirely invested in foreign-currency loans in the Zambian economy due to limited capacity of the market. The 2017 FSAP report highlighted that, particularly in an event of a liquidity crisis, these balances may not be readily available. Excluding these assets from the calculation of liquid assets, liquidity ratios would be an adjusted 28.2 percent and an adjusted 23.2 percent for assets and deposits respectively, remaining close to the prudential benchmark of 25 percent.

6. **Commercial banks' exposure to foreign exchange risks arising from adverse foreign exchange movements remains moderate.** The share of foreign currency denominated loans in banks' total domestic loans stood at around 45 percent at end-2018. To reduce risks, most banks only extend FX loans to borrowers with FX cash flows, and a large share of these foreign currency denominated loans is to the agricultural and mining sectors. In case of a large exchange rate shock, defaults for these FX denominated loans could increase and capital ratios may decline.

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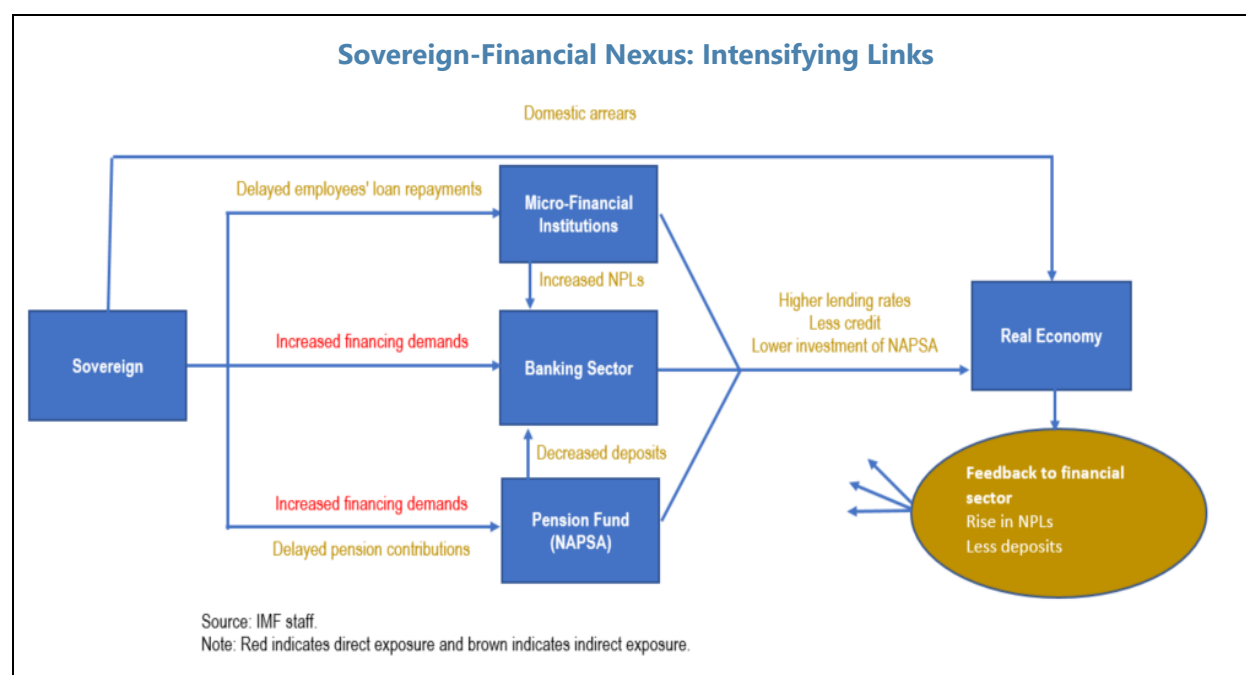
7. **Non-bank financial institutions remain most vulnerable, with low asset quality.**

Although regulatory capital and earning performance remains adequate and well above the minimum threshold, both ratios decreased in 2018. Notwithstanding the loss absorption buffer provided by their capital, vulnerabilities remain high due to high level of NPLs (17 percent of total loans at end-Feb 2019). Furthermore, 14 institutions, accounting for about 25 percent of NBFIs assets (excluding NAPSA), have NPL ratio above 20 percent.

Zambia: Financial Soundness Indicators (Percent, unless otherwise indicated)				
	Banks		NBFIs (ex. NAPSA)	
	Jan-18	Mar-19	Jan-18	Feb-19
Capital adequacy				
Regulatory capital to risk-weighted assets	26.2	21.6	39.3	30.3
Tier 1 regulatory capital to risk-weighted assets	24.3	19.6	28.3	21.8
Capital to total assets	12.5	12.4	24.4	21.5
Asset quality				
Past due advances (NPL) to total advances	12.7	9.9	19.5	16.8
Loan loss provisions to nonperforming loans	76.1	83.8	78.0	80.9
Earnings and profitability				
Return on average assets	0.9	2.9	13.2	9.9
Return on equity	4.8	14.8	53.9	45.7
Liquidity¹				
Liquid assets to total assets	45.0	42.4	14.4	13.7
Liquid assets to total deposits	61.1	52.6	24.5	23.1
Advances to deposits ratio	45.1	50.2		
Exposure to foreign currency				
Foreign currency loans to total gross loans	40.6	47.0		
Foreign currency liabilities to total liabilities	43.4	48.0		
Net open position in foreign exchange to capital	1.9	1.6		
Source: Bank of Zambia.				
¹ Part of the decline in liquidity ratio was due to Kwacha depreciation.				

Macro-Financial Linkages and Sovereign-Financial Nexus

8. **The sovereign-financial nexus remains prominent and could be a source of fragility.** The figure presents key macro-financial linkages in Zambia. Direct exposure of commercial banks and NAPSA to the sovereign is mainly via their investment in government securities which helps to meet the government's domestic financing needs (colored in red below). Indirect exposures of the banks, MFIs and NAPSA are through their role as lenders to suppliers and households, as the pension fund manager, and through their relationships with one another. Civil servants' pension contributions and salary-backed loan repayments are deducted by the government from wages and remitted to the respective institutions.

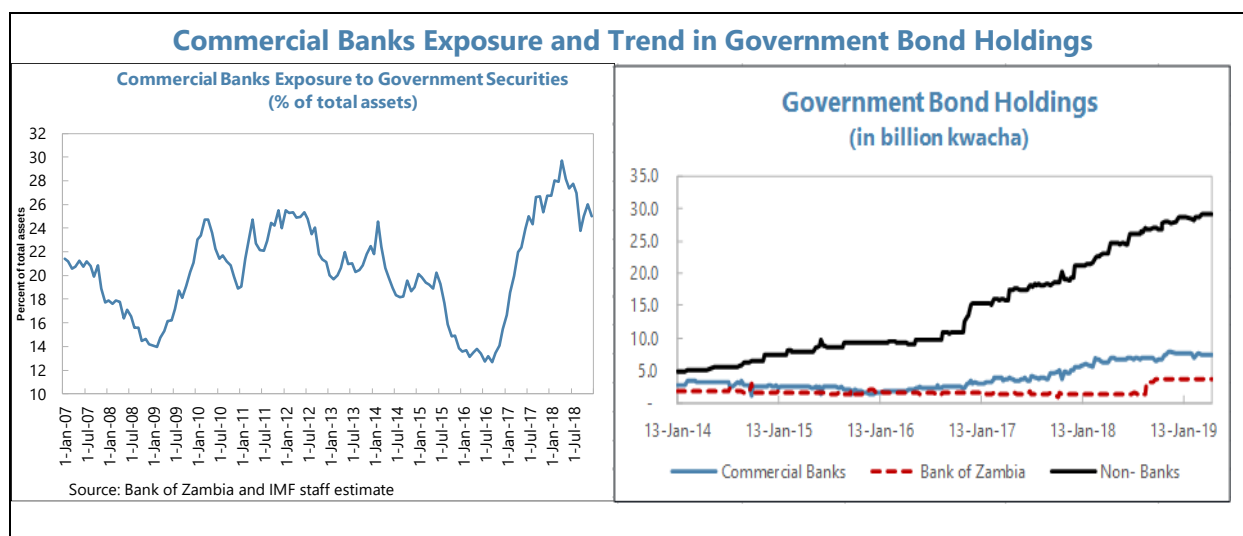


9. **Direct sovereign exposures of the financial sector to the sovereign increased significantly in 2017-18.** With the easing of the monetary policy stance starting in late 2016, already-high NPLs, and lack of attractive risk opportunities, commercial banks invested heavily in high-yielding government securities. Commercial banks' total holdings of government securities increased to around 25 percent of assets in 2018 but have been declining more recently.² Most of these holdings by the commercial banks are of shorter maturity instruments (T-bill) yielding an annual real yield of around 10-15 percent and improving commercial banks' profitability. The NBFIs, particularly NAPSA, hold longer maturity government bonds (Figure 4b). While static

² There are not established guidelines on the level of sovereign exposure appropriate in low-income countries, which will be a function of investment opportunities and the balance of risk and reward. In emerging markets, the average range of direct exposure is around 15-21 percent. See Dell'Ariccia (2018), "Managing the Sovereign-Bank Nexus", IMF Departmental Paper No. 18/16

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analysis indicates financial institutions have scope to further increase holdings of government debt, this would leave the financial sector vulnerable to episodes of sovereign stress.



10. **Pressures from indirect exposure have increased significantly in recent months.** As domestic financing conditions have tightened, government domestic arrears to suppliers have risen, reaching around 6 percent of GDP at end-2018. This is contributing to keeping NPLs elevated. Recently the government was also delayed in remitting some civil servants' pension contributions and repayment of salary-backed loans to various financial institutions.³ If payment of salary-backed loans is delayed significantly, they could be classified as non-performing loans, with a negative impact on micro-financial institutions, which are already under pressure. This might also negatively impact the borrowers' ability to secure future credit arrangements.

11. **Both direct and indirect sovereign-financial linkages are holding back real sector activity.** High government borrowing needs are driving higher yields on government securities, which are often used by commercial banks to benchmark their private sector lending rates. Private sector credit is also being held back by concerns about the outlook as banks prefer to maintain liquidity given macroeconomic vulnerabilities. NAPSA's investments and its deposits in the banking sector have also been impacted by the governments' financing needs and delays in remitting pension contributions. Finally, difficulties at several micro-financial institutions pose challenges to the authorities' objective of increasing financial inclusion.

12. **These exposures increase the potential of a spillover of sovereign stress to the financial sector.** Banks' core function of supporting credit to the private sector is being constrained. In a shallow financial market, deepening sovereign-financial linkages can also amplify risks when liquidity conditions tighten.

³ Data on exact amount and nature of delays is under review by the MoF.

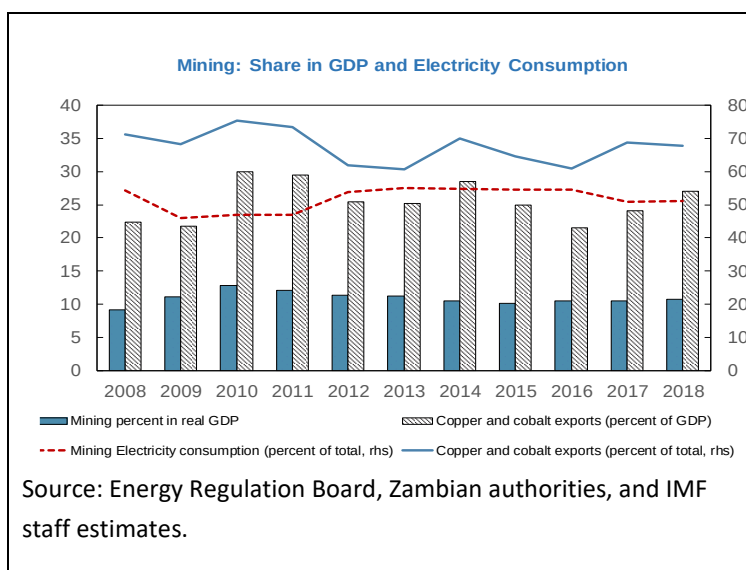
Addressing Vulnerabilities

13. **The 2017 FSAP highlighted the need to update and strengthen the crisis management framework.** The BoZ has proposed the creation of the Interagency Financial Stability Committee (IAFSC), which would be a platform for coordination between the BoZ, MoF, PIA, and SEC on crisis preparedness and management. The IAFSC would address both macroprudential policy and crisis management.
14. **Fiscal and external imbalances constrain the capacity to manage a systemic crisis.** This puts a premium on crisis prevention, and readiness, to ensure any emerging problems are tackled early and minimize the impact on financial stability. In this regard, fragilities related to the deepening sovereign-financial nexus bear close monitoring.

Annex V. Mining Sector

1. Mining is a key sector of the economy.

It is the most important source of foreign exchange, generating almost 70 percent of total export receipts; it contributes an average of 11 percent of GDP—making it the third largest sector after wholesale and retail trade and public services; and (considering direct and indirect effects) it accounts for almost 10 percent of total formal employment and about 25 percent of total private sector employment.

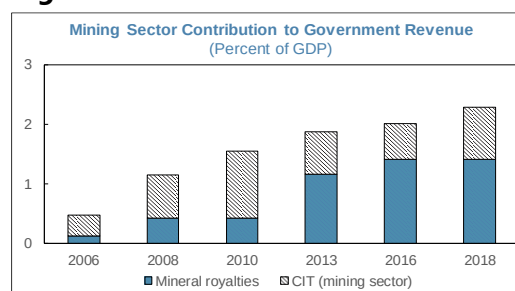


2. The sector can be a source –

or amplifier – of supply shocks. Mining production relies heavily on the availability of electricity—mining activities account for about half of electricity consumption—and thus is exposed to weather-related shocks since hydropower accounts for more than 80 percent of Zambia’s electricity generation. Mining production’s vulnerability vis-à-vis climate shocks was highlighted in 2015 when a severe drought caused a 7 percent drop in power generation, contributing to a 17 percent decline in copper and cobalt production. While power generation has been bolstered in recent years, the current drought represents a risk to mining operations. A further fall in international copper prices due in part to trade wars and the relative slowdown in China (one of the world’s largest consumers of copper), would be another source of risk to the outlook.

3. Over time, the sector’s direct contribution to budget revenues has increased with changes in the fiscal regime.

Mining’s contribution to domestic revenue has historically been low as the sector has benefited from various exemptions since being privatized in the 1990s and mining companies reported low or no profits, partly owing to significant capital investments. In the early 2000s the sector contributed less than 0.1 percent of GDP to domestic revenue, although that contribution increased to about 2 percent of GDP in recent years with changes in the fiscal regime.¹



¹ See International Monetary Fund (2015). Analysis of Change in Zambia’s Mining Fiscal Regime. *Zambia Selected Issues*

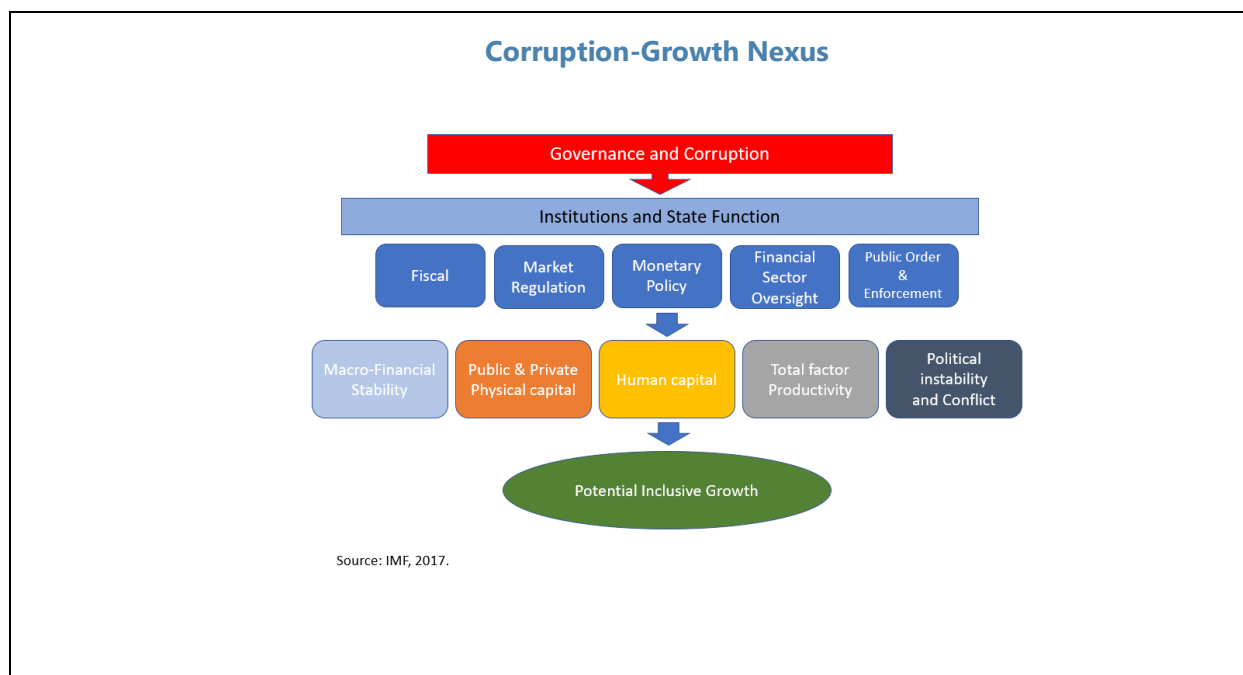
4. **The 2019 budget introduced policy changes aiming at further increasing the mining sector's contribution to budget revenues.**

Mineral royalty rates on copper were increased by 1.5 percentage points and the royalty rate on cobalt to 8 percent from 5 percent. Mineral royalties were also made non-deductible for income tax purposes. An import duty of 5 percent on copper and cobalt concentrates imports was levied to discourage processing of imported concentrates in favor of domestic ones. A 15 percent export duty on precious metals was also introduced. The budget also announced the intention to introduce a nonrefundable sales tax in lieu of the VAT. Focus has also been stepped up on enhancing compliance, and audits of mining sector operations were initiated in December 2018. Legal action was initiated against one firm in May.

Norm Price Range	Royalty rates (percent)	
	Previous	New
Less than US\$4,500	4.0	5.5
US\$4,500 but less than US\$6,000	5.0	6.5
US\$6,000 but less than US\$7,500	6.0	7.5
US\$7,500 and above	N/A	10

Annex VI. Institutions and Governance

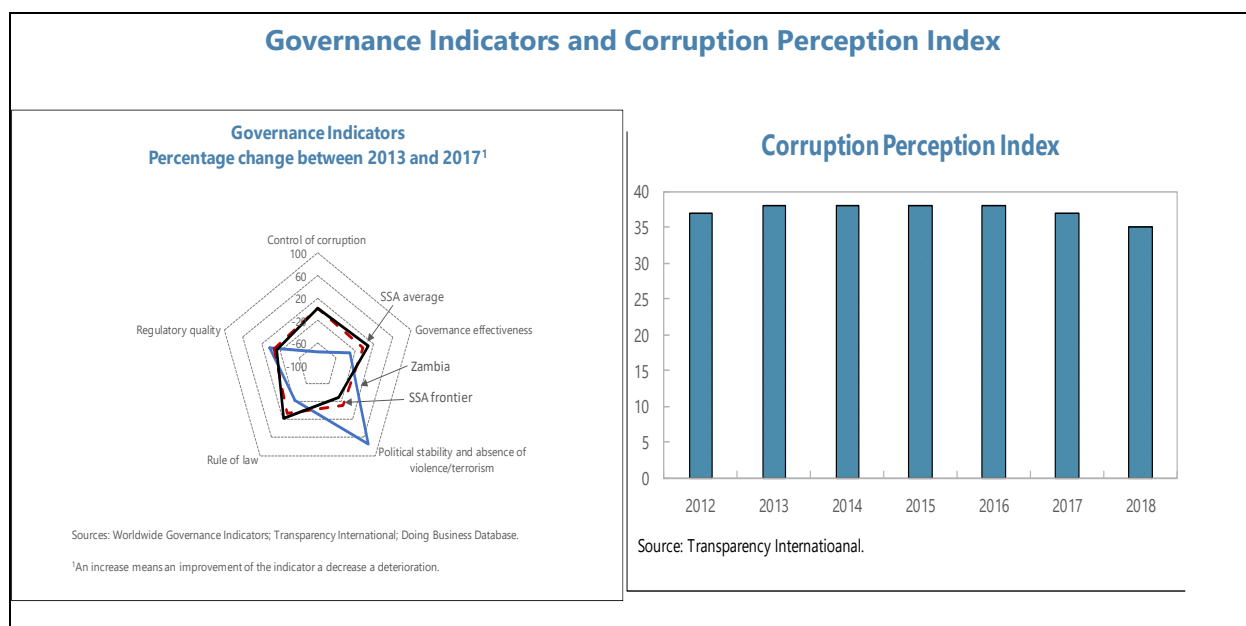
1. **Strong institutions that promote good governance and low corruption are key drivers of potential and inclusive growth.** These factors affect growth dynamics by enhancing macro-financial stability, helping in improving public investment efficiency and human capital accumulation, and increasing total factor productivity. The main channel through which governance and corruption impact the economy reflects key state functions such as the execution of budgetary policy, public financial management, tax collection, market regulation, financial sector oversight, and public order and enforcement.



2. **Potential growth and inclusiveness are hindered in Zambia by tax evasion, weak governance and corruption.** Current Worldwide Governance Indicators (WGI)¹ and Transparency International indicators for Zambia are close to the SSA average, but this represents a notable deterioration in governance and institutional quality in recent years. Zambia had seen a significant improvement in Worldwide Governance Indicators (WGIs) in the 2000s but has faced challenges in recent years, with indicators especially of governance effectiveness, control of corruption declining

¹ WGIs are third-party indicators which summarize views of many enterprises, citizens and expert survey respondents on the quality of governance in a country. The data are gathered from survey institutes, think tanks, non-governmental organizations, international organizations, and private sector firms. The index ranges between -2.5 to 2.5, with higher values representing more favorable governance. Note that given the confidence interval, uncertainties exist around Zambia's point estimate. The WGI scores are normalized each year to mean zero and hence measure relative performance.

significantly since 2012. Similarly, Transparency International's Corruption Perception Index (CPI)² shows a deterioration since 2014-15. This is against a trend of improving averages for Sub-Saharan African economies, albeit from relatively lower levels.



3. **Zambia has established a national agency, the Financial Intelligence Center (FIC), whose mandate includes informing the public of complaints related to corruption and tax evasion and disseminating financial intelligence to law enforcement agencies.** The FIC was established in 2010 following enactment of the Financial Intelligence Centre Act, No. 46 of 2010 and became operational in November 2013. The FIC is the sole designated government agency responsible for the receipt, analysis and dissemination of suspicious transaction reports to various Law Enforcement Agencies (LEAs) (e.g., Anti-Corruption Commission, Zambia Revenue Authority). The FIC has reported a significant increase in the total number of suspicious transaction and spontaneous disclosure reports from 719 in 2016 to 1,664 in 2017 and to 799 in 2018.³ (Table 1)

² CPI is a third-party indicator published annually by the Transparency International ranging between 0 (highest level of perceived corruption) to 100 (lowest level). It is a combination of opinion surveys and expert assessments of corruption, collected by twelve institutions. The CPI does not tell the full story of corruption in a country, only the level of corruption in the public sector within the past two years. Confidence interval for the 2018 score was between 32 and 38, with standard error of 1.93.

³ Assessment period for 2018 was from 1st January 2018 to 30th September 2018.

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Table 1. Trend in suspicious transaction and spontaneous disclosures

	Number of suspected Reports	Number of reports disseminated to LEAs
2014	487	-
2015	767	357
2016	719	114
2017	1664	425
2018	799	80 ⁴

Source: Various FIC Trend reports

4. **Most of the reports received by the FIC in 2017 and 2018 were related to suspected corruption, tax evasion and procurement violations.** In 2017, 425 reports were validated and disseminated to various law enforcement agencies (LEAs) for further investigation and prosecution. In 2018, 80 reports were transmitted to LEAs. Most of these reports are related to procurement corruption occurring in government and quasi-government institutions when the private sector is contracted for projects. The main method found for procurement corruption were direct bidding and subsequent variation of contracted amount.

5. **The Zambian authorities have placed the fight against corruption on the country's political agenda.** Institutional, regulatory and legal measures have been taken to prevent and fight corruption (including updating the Anti-Corruption Act). However, weak mechanisms of financial control combined with ineffectiveness in public financial management mechanisms, and the limited capacity of regulatory bodies to provide effective oversight, have hampered the ability to investigate and bring cases to trial.

6. **The authorities are digitalizing customs processes and undertaking initiatives to advance border coordination and trade facilitation.** In tax administration, progress includes increased uptake of electronic filing and payments methods, strengthened practices to manage tax arrears owed by corporations and individuals, and improvements to the dispute resolution process. However, more effort is required to: address the accuracy of the taxpayer registration database, ledgers and customs data; boost on-time filing across all core tax types; develop a strategy to address low rate of compliance across all taxes and obligations; and improve monitoring and reporting of performance against desired outcomes. Recent approval of the Public Financial Management Act provides a basis for further actions to strengthen the procurement process.

Annex VII. Capacity Development Strategy Note

CD Strategy

1. **Fiscal consolidation to reduce debt-related vulnerabilities and preserve macroeconomic stability is the key policy priority.** The IMF's CD strategy for Zambia is therefore anchored on assisting the authorities to achieve orderly and adequate fiscal adjustment through providing detailed technical policy advice and enhancing institutional capacity to implement needed reforms. CD on budget preparation and execution and debt management supports these goals. In addition, the last FSAP (2017) highlighted risks to financial stability due to insufficient capacity for bank supervision, systemic risk analysis and financial crisis management, and Fund CD has also focused on strengthening the Bank of Zambia (BOZ)'s capacity in those areas. Finally, capacity building continues to be provided in the areas of compilation and timely dissemination of economic statistics.

Key Overall CD Priorities Going Forward

Priorities	Objectives
Tax policy and revenue administration	Enhance domestic revenue mobilization as part of fiscal consolidation. Focus on widening tax base notably for income and consumption taxes and strengthening compliance.
Public finance management (PFM)	Enhance the budget preparation process; strengthen budget execution and control with the aim to avoid accumulation of payment arrears; strengthen identification and management of fiscal risks; improve public investment system to ensure better alignment of public investment projects with national priorities; strengthen public debt management
Monetary policy implementation and operations	Strengthen monetary policy implementation to facilitate transition towards a modern inflation targeting framework. Promote a well-functioning foreign exchange market. Upgrade BOZ's legal framework.
Strengthen macroeconomic and financial statistics compilation and dissemination for decision making	Improve the quality and coverage of national accounts, external sector statistics, and government finance statistics. Support the compilation of producer and import price indices.

Main Risks and Mitigation

2. **Poor coordination between government agencies and inadequate staffing continue to constitute important risks to the implementation of TA recommendations.** These risks could be mitigated by ensuring broader engagement and interaction with TA missions at the level of implementing agencies, proper sequencing of TA and training delivery, and longer term TA engagement notably through longer term/resident experts. Communication with various groups/stakeholders is also key to secure the proper buy-in.

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Authorities' views

3. The authorities are in broad agreement with the overall assessment, strategy and priorities.



INTERNATIONAL MONETARY FUND



Appendix I. Draft Press Release

Press Release No. 19/x
FOR IMMEDIATE RELEASE
[July 24, 2019]

International Monetary Fund
700 19th Street, NW
Washington, D. C. 20431 USA

IMF Executive Board Concludes 2019 Article IV Consultation with Zambia

On [July 24, 2019], the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation¹ with Zambia.

Zambia's development strategy has focused on a rapid-scaling up of public investment to address the country's infrastructure needs. While public investment has increased sharply, economic growth remains well below levels seen earlier this decade and is estimated at 3.7 percent in 2018. Inflation averaged 7 percent in 2018, but a depreciation of the currency late in 2018 and again this spring coupled with food price rises has pushed inflation above 8 percent. Fiscal revenues exceeded budget targets in 2018, but the deficit widened above 10½ percent on a commitment basis (over 8 percent of GDP on a cash basis) due to a rising interest bill and a surge in public investment reflecting faster than expected execution of public investment projects. Total public and publicly-guaranteed (PPG) debt including arrears at end-2018 was 78 percent of GDP. The current account deficit widened to 2.6 percent of GDP in 2018 due to higher imports and debt service, while reserves declined from 2.4 months of import cover in 2017 to 1.9 months at end-2018.

The outlook is clouded by the ongoing drought and heightened debt vulnerabilities. Growth is projected to slow to 2 percent in 2019, reflecting a decline in mining sector activity in an uncertain environment for mining companies and the drought's impact on hydro power production. Absent significant policy adjustments, growth is likely to remain subdued over the medium term as expenditure arrears and an ongoing forced adjustment in response to increasing debt-related pressures weigh on the private sector. Inflation is projected to remain above the top of the Bank of Zambia's (BoZ) target band in 2019 and 2020. The BoZ increased the policy rate by 50 bps to 10.25 percent in May. While the central bank has moved to shore up reserves as

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

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market conditions have permitted, reserves are projected to decline to 1.6 months of import cover by end-2019. Key risks include the uncertain impact of the drought, a potential tightening of global financial conditions, a further escalation in trade tensions, and the uncertain growth dividend from recent infrastructure investments.

Executive Board Assessment²

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² At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

Zambia: Selected Economic Indicators, 2017–24								
	2017	2018	2019	2020	2021	2022	2023	2024
	Proj.							
	(Percentage change, unless otherwise indicated)							
National account and prices								
GDP growth at constant prices	3.5	3.7	2.0	1.7	1.7	1.6	1.5	1.5
Mining	3.0	6.3	-2.0	2.0	2.0	3.0	3.0	3.0
Non mining	3.6	3.4	2.5	1.7	1.7	1.4	1.3	1.3
GDP deflator	10.1	9.5	10.0	9.7	8.2	8.3	8.0	7.7
GDP at market prices (millions of kwacha)	246,252	279,441	313,496	349,831	385,196	423,750	464,432	507,929
Consumer prices								
Consumer prices (average)	6.6	7.0	9.9	10.0	8.0	8.0	8.0	8.0
Consumer prices (end of period)	6.1	7.9	12.0	8.0	8.0	8.0	8.0	8.0
External sector								
Terms of trade (deterioration -)	16.0	-3.8	-6.4	-1.5	0.3	0.1	-0.2	-1.1
Average exchange rate (kwacha per U.S. dollar)	9.5	10.5	...	...	...	...	...	...
(percent change; depreciation +)	-7.7	9.9	...	...	...	...	...	...
Money and credit								
Domestic credit to the private sector	5.2	16.7	7.5	7.9	7.9	6.2	6.9	7.1
Reserve money (end of period)	-25.6	-0.6	10.3	13.4	11.0	11.9	11.6	10.5
Broad Money (M3)	21.4	16.5	11.9	11.0	10.1	11.0	10.7	10.5
	(Percent of GDP, unless otherwise indicated)							
National accounts								
Gross investment	41.0	43.3	41.1	40.2	37.3	36.6	36.0	35.7
Government	5.5	8.6	7.3	8.4	6.9	6.5	6.1	6.1
Private	35.5	34.8	33.8	31.9	30.5	30.2	29.9	29.6
National savings	39.3	40.7	37.5	36.8	34.4	34.0	33.7	33.7
External current account balance	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0
Central government budget								
Revenue	17.5	19.1	19.4	19.7	19.8	19.8	19.7	19.7
Taxes	14.8	15.8	15.7	15.9	16.0	16.0	15.9	15.9
Grants	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1
Other revenue	2.5	3.1	3.5	3.7	3.7	3.7	3.8	3.8
Expenditure	25.0	27.4	24.2	24.8	23.3	22.9	22.6	22.4
Expense	19.4	18.8	16.8	16.4	16.4	16.4	16.5	16.3
Net acquisition of nonfinancial assets	5.5	8.6	7.3	8.4	6.9	6.5	6.1	6.1
Fiscal balance (cash basis) ²	-7.5	-8.3	-4.8	-5.1	-3.4	-3.1	-2.9	-2.6
Excluding grants	-7.7	-8.5	-5.0	-5.2	-3.6	-3.2	-3.0	-2.7
Fiscal balance (commitment basis) ³	-6.8	-10.7	-9.0	-5.6	-4.0	-3.1	0.0	-5.6
Net acquisition of financial assets	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	0.3	-0.7	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrance of liabilities	8.1	7.6	4.8	5.1	3.4	3.1	2.9	2.6
Domestic	5.2	2.7	1.0	0.8	0.8	0.8	0.8	0.7
Foreign	2.9	4.9	3.9	4.3	2.7	2.3	2.1	1.9
External sector								
Current account balance	-1.7	-2.6	-3.6	-3.4	-2.9	-2.6	-2.3	-2.0
Gross International Reserves (months of prospective im)	2.4	1.9	1.6	1.3	0.9	0.6	0.6	0.5
Excluding FDI-financed imports	2.5	2.0	1.7	1.3	1.0	0.6	0.6	0.6
Public debt								
	(Percent of GDP)							
Total central government debt, gross (end-period)	65.5	78.1	91.6	95.5	98.0	97.6	96.7	95.1
External	38.2	48.1	59.9	65.6	69.5	70.8	71.5	71.3
Domestic	27.3	30.0	31.7	29.8	28.5	26.8	25.2	23.8
Sources: Zambian authorities; and IMF staff estimates and projections.								
¹ Excludes Zimbabwe.								
² Measured from total financing below the line.								
³ Adjusted for the accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment projects, and pensions.								